

Nava (NAVA)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Aug 2022

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Listing Department National Stock Exchange of India Limited Exchange Plaza, 5th Floor,

Plot No.C/1, G Block Bandra Kurla Complex, Bandra (E) MUMBAI – 400 051

NSE Symbol : 'NAVA'

Dept.of Corp.Services

BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street MUMBAI – 400 001

Scrip Code : '513023' / 'NAVA'

Dear Sir,

Sub: Transcript of the Conference call with Investors / Analyst s pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

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Please find enclosed the transcript of the Conference Call with Investors / Analysts held on August 12, 2022 on the operational and financial performance of the Company for the quarter ended June 30, 2022.

Kindly take the same on record and acknowledge the receipt.

Thanking you, Yours faithfully, For NAVA LIMITED

(Formerly Nava Bharat Ventures Ltd.)

VSN Raju Company Secretary & Vice President Encl: as above.

Transcript - NAVA LIMITED Q1 FY23 Earnings Conference Call - 1 -

NAVA LIMITED

(formerly Nava Bharat Ventures Ltd.)

Q1 FY23 Earnings Conference Call

Event Date / Time: 12/08/2022, 11:00 Hrs

Event Duration : 48 minutes and 30 seconds

CORPORATE PARTICIPANTS:

Mr. Ashwin Devineni

Chief Executive Officer

Mr. G.R.K Prasad
Executive Director

Mr. Nikhil Devineni
Senior Vice President

Mr. Sultan A. Baig
Chief Financial Officer

Mr. VSN Raju
Company Secretary & Vice President

Transcript - NAVA LIMITED Q1 FY23 Earnings Conference Call - 2 -

Moderator

Good morning, ladies and gentlemen. I'm Kritika, moderator for the conference call. Welcome to Nava, Q1 FY23 earnings call hosted by DAM Capital Advisors. As a reminder, all participants' lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar of DAM Capital. Thank you and over to you, Sir.

Mohit Kumar, DAM Capital

Thank you, Kritika. On behalf of DAM Capital, I welcome you all to Nava Limited Q1 FY23 earnings conference call. From the management we have with us, Mr. Ashwin Devineni, Chief Executive Officer; Mr. G.R.K Prasad, Executive Director; Mr. Nikhil Devineni, Senior Vice President; Mr. Sultan A. Baig, Chief Financial Officer; Mr. VSN Raju, Company Secretary and Vice President. Without much delay, I will hand over the call to the management for the opening remarks which will be followed by a Q&A session. Over to you, Sir.
Ashwin Devineni

Thank you, Mohit. This is Ashwin Devineni, CEO. So good morning, everyone. Thank you very much for joining us for our conference call for Q1 of FY23. I hope everyone's keeping well. I believe all would have seen our press release for the Quarter. Q1 earnings are hugely satisfying and a testament to our continued efforts and commitment. Global prices were supportive of our operations, and certain strategic initiatives helped further fortify the quality of growth. I will now begin this session by giving a quick run-through of our businesses and corporate plans. Manganese alloy business reported robust growth during Q1 FY23 on the back of sustained high demand from the steel industry.

However, some softening in ferro alloy prices is expected going forward with the correction in steel prices. The Company's subsidiary secured exploration rights for manganese ore concession in the Ivory Coast, West Africa, enabling backward integration and affording further value-add opportunities. We are currently in the exploration phase of evaluating the results. The Energy Division has witnessed remarkable improvement backed by the IPPs in Orissa and the 150 MW of Nava Bharat Energy India Limited, which gave a boost to our overall domestic earnings. Both units have reported robust operations with significant improvements in PLF and realization.

However, coal cost also played a role in overall things where margins were kept under check. The 300 MW power plant in Zambia is running at the total capacity post the major overhauls of both the units in FY22. Maamba Collieries Limited and ZESCO, the Zambian utility, have agreed on a new tariff and offtake mechanism for a revised capacity of 245.65 MW. Maamba Collieries Limited sells its surplus capacity in the open market. This provides certainty in cash flows, enabling debt restructuring with an eventual enterprise value appreciation.

We would also like to highlight that MCL has, to date, received full payments for the power sold in May and June 2022, in line with the new arrangement. We are evaluating options for monetizing the land assets in Hyderabad. Given that it's a fairly large landmass and is expected to take some time for maximum realization.

Most of the debt on the consolidated front pertains to the Zambia operations, which have no recourse to the parent company or its other subsidiaries. I trust you have gone through the detailed statement of

the financial results and the press release filed with the stock exchanges and posted on our website. I would now look forward to having an active interaction with all of you on this call.

Moderator

Thank you, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on a telephone keypad and wait for your turn to ask a question. If you would like to withdraw your request, you may do so by pressing * and 1 again. I repeat, ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. The first question comes from Mr. A M Lodha from Sanmati Consultants. Please go ahead.

A M Lodha

Good morning, Sir. Congratulations on a good set of numbers again. I have two questions. One is relating to your Maamba Collieries Limited, i.e., Zambian subsidiary. What was the old tariff, and what is the new tariff under the revised plan?

Ashwin Devineni

Yeah, So Mr. Lodha, in terms of the old tariff, and I am talking of the tariffs, including the transmission tariffs, it was about 11.57, and then the new tariff is 9.06.

A M Lodha

What was the prevailing rate in the open market last month?

Ashwin Devineni

The open market is similar to our exchange here; it changes constantly based on the supply-demand scenario. It's the Southern African power pool members which other countries and companies can buy power based on their requirements. So, it's a variable number and changes from time to time.

A M Lodha

For the sake of the information, if you can give the May or June any month break up, or the average rate of the May and June, that is also fine.

Ashwin Devineni

So basically, if you look at the month of May, we looked at an average rate of when I am talking about peak and non-peak it is sold at about 7-8 cents. But that being said, you know, if you look at the month of July, it was much higher; it almost went over 10 cents the average rate. So, it's very variable, and you know tariffs are based on the supply and demand for the Southern African region.

A M Lodha

Okay, understood. The second question is regarding Maamba Collieries again. How much is the total loan outstanding in your Zambian subsidiary, and what is the schedule of repayment of the loan to the bank?

G.R.K Prasad

The loan outstanding is \$413 million.

G.R.K Prasad

It is set to be repaid over the next 5-6 years. That is what we are talking to lenders now.

A M Lodha Thank you very much. If anything, else, I will rejoin. Thank you once again, and congratulations on the good set of numbers.

Ashwin Devineni

Thanks.

Moderator

The next question comes from Mr. Nikhil Abhyankar from DAM Capital. Please go ahead.

Nikhil Abhyankar

Thanks a lot, and congrats on a good set of numbers. I have a couple of questions. What is the NBEIL revenue and profit during the Quarter?

Sultan A Baig

Nava Bharat Energy's revenue was Rs. 120 crores for the current Quarter, and its profit was Rs. 30 crores after tax in the current Quarter.

Nikhil Abhyankar

Okay, and do we have any power tariffs for NBEIL?

Sultan A Baig

NBEIL has been trading on IEX exchange where the peak and off-peak rates have been varying. So average realization was good compared to the normal time, so we realized about Rs.7-8.

Nikhil Abhyankar

Okay, and Sir, what is your outlook on ferro alloys over the next few months or, say, a couple of quarters?

G.R.K Prasad Ferro Alloys prices especially have been a little volatile of late. But, if you have seen the Q1 results, the revenue and profitability were pretty robust. That is because of the carry-forward orders that we have from the earlier period. And we have seen some volatility in this space for some time. But even that is a regular phenomenon in a community of this nature, we expect the margins to sustain, though

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not at the same level as previous quarters. But at this point, it is difficult to predict what kind of profitability, but what we could see is the demand being pretty sustained with whatever is happening in the steel industry, as such.

Nikhil Abhyankar

Understood, Sir, you mentioned in the opening remarks that you're planning on monetizing some land in Hyderabad, so can we know about the area of the land and the location where it is?

Ashwin Devineni

Yeah, the total land size is about 65 acres, and the location is at Nacharam, East Hyderabad.

Nikhil Abhyankar Any ballpark figure about the valuation of the land?

Ashwin Devineni

No, I'm not going to speculate on the valuation of the land right now. Because it's a large parcel, we are in the process of engaging some very large firms to monetize it. But I think it's going to be our endeavor to get the best value for the land.

Nikhil Abhyankar

Understood, and just a final question, where are we with the arbitration proceedings, Sir? Is there any update?

Ashwin Devineni

No, I think it's an ongoing process. It's still continuing. So, I don't think we would want to give because it is still under process, so I don't think we'd want to comment on it. We hope for an early decision, but these things take their own time.

Nikhil Abhyankar

Okay, Sir. That's all from my side. Thank you and all the best.

Ashwin Devineni

Thank you.

We have a question from Mr. Siddharth Shah, MK Ventures. Please go ahead.

Siddharth Shah

Yeah, thank you, Sir, for the opportunity and congratulations on a good number and the restructuring of the revised understanding at Zambia. Sir, I just wanted some clarity on how will the profitability of Zambia operations be on a steady state basis. I think you had given some guidance for old tariffs in one of the conference calls. So, on the revised tariff and with 85 -90% PLF, what kind of EBITDA can these

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Zambian operations deliver, specifically on the thermal side? And probably you can add some for the merchant sale of coal.

G.R.K Prasad

Yeah, Siddharth, I think we are just not into this tariff number, you probably could have worked it out yourself, but as far as the projections are concerned, it depends on several factors. We will probably give guidance sometime later once we have all the figures in one place.

Siddharth Shah

Sure Sir, I just wanted to understand the free cash flows that this entity can generate annually. And this is pre and post debt repayment and interest payments. Are we expecting any free cash flow from Zambia in the next couple of years, or will this be only after 3-4 years when all the debt is repaid and that we'll be able to repatriate some of the capital?

G.R.K Prasad

That is exactly what I was referring to. We have been engaged with lenders and other stakeholders on the CAPEX. So, the clear picture will probably arrive in the next three months, and then I think we will be in a firm position to talk about it.

Siddharth Shah

The last question is on the receivables part. One is arbitration for about \$250 million, which is ongoing and further being challenged. But the remaining receivables also, I think, would be about \$300 million or something, which is the past receivables. So, are we in the process of any out-of-court settlement or something with them on this \$550 million of receivables, which is past receivables? And does the Zambian government or ZESCO have this kind of liquidity available? Is there any visibility to liquidate these receivables over the next 1-2 years, at least post some kind of negotiation?

Ashwin Devineni

The arbitration deals with the entire amount, not just \$250 million. It deals with the entire outstanding receivables.

es. The \$250 million was just an interim order. But when we talk about the ongoing arbitration process, we're talking about the entire number. Now in terms of ZESCO or Zambia having the money, once the order comes out to pay everything, then what we hear about that efforts are kind of underway, where they are talking to financials, IMF, and so on in terms of how to clear their debts, and we actually have been seeing a significant amount of seriousness from the government and ZESCO to really get this situation under control. But in terms of their current financial position and where they will be once the order comes, it is too early to comment.

Siddharth Shah

Oh, that is very helpful. Thank you so much. Ashwin Devineni

Thanks.

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Moderator

Thank you, Sir. The next question comes from Mr. P Vijay, an Individual investor. Please go ahead.

Vijay P

Yeah, I have a few questions. The first one is about the ferro- alloys operation. Can you hear me?

Ashwin Devineni
Yeah, please go ahead.

Vijay P

Yeah, the ferro-alloys capacity at Paloncha is 125,000 tonnes p er year, which gives us a per quarter capacity of 31,250 tonnes. But if you look at the production, i n spite of every con call the management emphasizing that the ferro-alloys production is sold out for th e whole of next Quarter that is Q1 FY23 included it was Q4 FY21 33,392 tonnes, Q4 FY22 24,634 tonnes, Q 1 FY22 24,330 tonnes, and this Quarter, it is just 21,810 tonnes. So, the superb results that we're showing in the ferro alloys division are entirely because of the higher prices of ferro-alloys and n ot because of production efficiency. Am I correct in saying that?

G.R.K Prasad

The production has been sustained on the same level as before, but the sales volumes have come down in Q1 FY23 because, one consignment for export got shifted to July and domestic supply also got deferred. Again, this is dependent on how the steel market is b ehaves as far as the domestic sales are concerned. We expect that to be addressed soon, but to put the record straight as far as the overhang inventory is concerned at the end of 30

th June, which has sin ce been liquidated.

Vijay P

So, what was the opening balance of ferro-alloy production on 1 st July?

G.R.K Prasad

About 7,000 tonnes.

Vijay P

Okay, next question is about NBEIL. Why is the PLF only 50% whe n there is a booming power market? Why could we not get the higher PLF and sell more? It's a merch ant plant.

Ashwin Devineni

Yeah, we understand that, but the issue that is prevailing in t he State and so on is a matter of fuel supply. While tariffs are high, we have seen a huge shortage in coal co ming from Singareni collieries, from where we primarily buy coal. What's been happening is when tari ffs go high, they di vert almost all the coal to government power plants and give us nothing. So, it's b een a huge challenge for us, although the tariffs are high, to secure t he right amount of coal to con tinually operate our plant.

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Vijay P

Okay, the next question is about coal sales in Zambia. They hav e come down to barely 70,000 tonnes in Q1 FY23, against 1,28,973 tonnes in Q1 FY22, that's almost a 50% drop. 1,16,964 tonnes in Q4 FY22. So why are the coal production and sales so low in this Q uarter? When is the coal market all over the world booming, including in the Democratic Republic of Congo, South Africa and Zimbabwe?

Ashwin Devineni

Yeah, so Congo doesn't produce much coal. I think it's Zimbabwe .

Vijay P No, I'm talking about selling the Maamba coal to these countrie s.

Ashwin Devineni

Yeah, we don't sell to Zimbabwe because Zimbabwe has got a very large mine. But the reason why the sales have gone down, there are two main factors. One factor i

s that our biggest customers are, i.e., a lot

of our sales depend on the cement industry. And we saw a real s lump in the cement industry during the past year. They were only operating probably like 30-50% out of the month. And then the second thing that emerged in the last year is we have started to see more co mpetition with new mines opening around

us by different players.

So, there was a certain level of a price war going on. But I am happy to note that this matter has been addressed. The cement production has increased slightly. And we've also started now to negotiate longer-term offtake agreements so that you know we have guaranteed monthly sales.

Vijay P

The last question is about the monetization of land assets. We have 65 acres of land at Nacharam, and my enquiries have revealed that you can easily fetch Rs.1,500 crores for that. The MCL interim settlement of 250 million US dollars is about Rs. 2,000 crores, which means Rs. 3,500 crores of the immediate windfall is there for the Company, given that you have committed in the past that 20% will be given back to the shareholders by way of dividends otherwise, can we expect a windfall in the coming months?

Ashwin Devineni

Please note that a dividend of 20% is based on standalone because it doesn't matter how much Maamba collieries make. We declare a dividend depending on the cash we have on a standalone basis within our Company. So, keeping Zambia aside because all these things take a little time, it's not like we're going to get the amount tomorrow; the matter is in arbitration. Now with respect to the Nacharam land, although summary judgment was received a little while ago, we only received the final order two weeks ago. This is the detailed final order we need to study before taking action.

Like I did mention earlier, we have been in discussions with large firms engaging in terms of getting the best value for this land. And the monetization takes time because this is not a small piece of land. So, we need to find the best strategy in terms of how to sell it and where we can get the best.

Vijay P

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No, I'm only hopeful in terms of a windfall gain for the shareholders who have waited for so many years in terms of a higher dividend than what you're paying now. Last quick question any update on the manganese mine in Ivory Coast?

Ashwin Devineni

In terms of dividends, you need to realize that we are one of the very few companies that consistently pays dividend yearly in good times or bad times. I mean, the same windfall dividends is a little relative, but I think we are proud of ourselves for paying dividends annually. So, whatever money we get, we will definitely have internal discussions, and the Board will decide on corporate actions that will benefit the shareholders.

Vijay P

Yeah, that's encouraging to hear, but the Company has been paying dividends, not at a consistent rate. It goes up, and it comes down. So, if you keep the base of Rs. 6/- this year as a base and go up a little every year or every Quarter or interim dividend, that makes sense. The last question was about the Manganese ore in Ivory Coast.

Ashwin Devineni

But in terms of fluctuating dividends, unfortunately, our profits keep fluctuating, the commodity cycles keep fluctuating. Nothing is constant and stagnant. So, when we get the money, we follow a dividend policy and make the payment. I will give it to G.R.K to answer your query on Ivory Coast.

G.R.K Prasad

Currently, exploration is on in Ivory Coast. We need to have the full assessment of the reserves, which could happen over the next 6-7 months' time, by when we will also decide on the next course of action.

Vijay P

How much have we invested in Ivory Coast so far?

G.R.K Prasad

Less than a million dollars.

Vijay P

Less than a mi

llion dollars, that' s fantastic. Thank you, that will be all from my side.

Moderator The next question comes from Mr. Nikhil Abhyankar from DAM Capi tal. Please go ahead.

Nikhil Abhyankar

Thank you for the opportunity again. Just a couple of questions . What is the state of receivables at Maamba, and can you just give a trend of it over the last 2-3 q uarters?

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Ashwin Devineni

So, the current status of receivables, like I said, after we re vised the tariff..... we've been paid in full for the months of May and June. This means that the outstandi ng amount will not increase anymore. The outstanding amount as of now is \$563 million.

Nikhil Abhyankar

\$563 million, and what was it in December and March quarters?

Ashwin Devineni I am sorry can you repeat it.

Nikhil Abhyankar

What was it in the previous Quart er, just the last two quarters ? If you can give us the numbers?

Sultan Baig

In the previous Quarter, outstanding receivables were \$550 mill ion. The only increment in the current Quarter is because of the April receivables. From May onwards, there is no increment in the receivables.

Nikhil Abhyankar

When is the new arrangement effective? Do we need any regulator y approval, or have we already received it?

Ashwin Devineni

No, a new tariff based on our discussion is effective from May 2022. It requires approvals from Lenders and Regulatory Authorities, whi ch are currently underway. But I think the good thing is we reached an agreement with ZESCO that while we work on these approvals, the y will pay us based on the new tariffs in full every month, which they have been doing.

Nikhil Abhyankar

Okay, Sir. That's all. Thank you.

Moderator

Thank you, Sir. The next question comes from Ms. Padma Sandhya, an Individual investor. Please go ahead.

Padma Sandhya

First of all, an excellent set of numbers, congratulations on t hat. We see this result after a long time and all the divisions have performed well. I would like to know the outlook in NBEIL going forward and wanted to see if it would remain in an opportunistic play or if some concrete plans are being worked out for that as well.

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Ashwin Devineni

In terms of the 150 MW power plant, which is under energy, as a company, we're still very bullish on the power market in India. But I think the biggest challenge we currently face is that of fuel. We in

Telangana have been unprecedented and very abnormal increases in coal prices. In fact, to the extent that it's gone more than 100% within one year. This is what the collieries do when the tariffs go up, and when tariff go down, they still maintain their fuel prices. So, we are looking at other alternates, where we can procure fuel for the 150 MW, which will make it, you know, wherever we can run the 150 MW at lower tariffs.

While we are looking for a longer-term solution, such as a group captive scheme or so on, there are certain issues and obstacles that we need to face, regulatory issues and obstacles that we are currently facing that we want to overcome. So, in the incident, we will need to basically trade on the IEX market or get into short-term supplies. But I think the key here is to figure out or get a coal supply that guarantees that we will make money on the 150 MW once you take it up.

Padma Sandhya

I also wanted to know about your new arrangement with ZESCO, what is the new tariff rate versus what was earlier and what would happen to the previous amount receivable also wanted to know if the Company is receiving any bonds or upfront payments or any one-time settlement amount that is, so just wanted to know and have a bit of clarity on that.

Ashwin Devineni

Yeah, so in terms of

the current deal, as I had mentioned earlier, the tariff is now 9.06 cents/kW-hours.

And you know, this is effective from May, and they've been paying in full on a monthly basis since then. The outstanding amount, about \$563 million, is currently in the process of arbitration. So, I think once the arbitration award comes out, which we hope will be sooner rather than later, then I think we'll have to sit down with ZESCO and the government in terms of how they will be paying, either in the form of a lump sum or a reasonable payment plan. But we have found that the situation is currently different from what we were experiencing 6-9 months

ago. We have been seeing a certain level of seriousness from both the utility and the government in terms of resolving the situation to the extent where they are proactively also starting to talk to banks, financial institutions and so on to take loans to kind of clear a lot of outstanding amounts.

Padma Sandhya

I already told you that the Company has reported good numbers and wanted to know that this Quarter we have also harnessed sufficient cash flows. Do you think that your Company has reached a point wherein we can say the revised amount will be received in continuity, or I'm repeating this question, but when would we finally expect cash flows back to India which can be used further for dividends or a buyback?

Ashwin Devineni One of the discussions we are having with the lenders is to start again at Maamba. Those discussions are currently ongoing. Definitely, I think once we get that larger chunk, we will look at it to deploy the funds, basically in two areas. One is corporate actions, which will benefit all the shareholders. And two is also in terms of investing in growth capital because while we are comfortable now, we have to plan.

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We are in the next phase. We finished 50 years, and we really need a kind of plan for the next 10-50 years of the Company. So, we would definitely want to reserve a chunk of that in terms of growth capital.

Padma Sandhya

Okay, Thank you.

Moderator

Thank you, ma'am. The next question comes from Mr. Anirudh, an Individual Investor. Please go ahead.

Anirudh P

Yeah, hi, congratulations on a good set of numbers. I would like to know if the management would like to throw some light on the health care services, we have forayed into in the past.

Ashwin Devineni

Yeah, so in terms of healthcare, which we see to be extremely promising down the line, we've seen significant traction as the pandemic is winding down, especially in Southeast Asia. YoY, we've seen a doubling in terms of the top line. Although small, we are increasing significantly. The wellness center is doing well. I think the Company is evaluating plans in terms of multiplying a lot of these wellness centers in other metropolitan cities within Southeast Asia and even the distribution side is experiencing

significant growth.

Now, the primary objective is to capture the opportunities when present themselves in the healthcare sector. So that's basically the kind of objective we are trying to meet. I'll give you an example: when COVID hit, we saw diagnostic centers as a very, very profitable business at that point, but without your foot in the door of the healthcare sector, just to set up a diagnostic wing is very, very difficult. So, this foot in the door of the healthcare sector will allow us to really expand in other upcoming healthcare-related opportunities down the line.

Anirudh P

Perfect, that looks out to be a promising thing for the Company. My second question is in the press release you gave, and you mentioned that we are yet to receive some receivables from the South African power pool. I think that's the press release given regarding the tariff's revision, so have you received that money?

Ashwin Devineni

i

Yes, we received it.

Anirudh P

Okay, so since the month of May, there's nothing pending from ZESCO to Maamba and whatever sales we have done outside of ZESCO also we have received the money?

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Ashwin Devineni

Yes.

Anirudh P

Would you also like to throw some light on the other land parcel you have other than the one in Hyderabad? I think the Company also has land in Dharmavaram.

G.R.K Prasad

Dharmavaram land has a 20 MW power station, which is idle. So, we need to have a proper plan to unlock that. So currently, discussions are going on that space, not probably in terms of outright sale but how to put that land to use?

Anirudh P

May I know the extent of the land parcel there in Dharmavaram?

G.R.K Prasad

It's about 200 acres. That belongs to two companies-holding Company and the subsidiary Company.

Anirudh P

My last question, Sir. I think almost the last three quarters or probably even 4. Every quarter, we have sold our order book for ferro-alloys in advance. So how has that been for this ongoing Quarter?

G.R.K Prasad

You see, whatever, you know, orders are there for exports, they are kind of pre-booked, we have a long-term contract for exports on a yearly basis, so that goes on. What has been a problem in the domestic market, but even that also is being addressed. As we speak, the order book position is very comfortable, even with this current scenario.

Anirudh P

That's all, thank you. I think the outlook looks good. Last two quarters, standalone, we have recorded over Rs. 170 crores. So, for an individual investor like me, that takes the figures to about Rs. 700 crores which not many Companies in the mid-cap space churn. Thanks for addressing my queries.

Ashwin Devineni

Thanks.

Moderator Thank you, Sir. The next question comes from Ms. Abhisri Shah, an industrial investor. Please go ahead.

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Abhisri Shah

Good morning, everyone. So, I just have two questions. I wanted to know what, according to you, might be the time frame one should look at when the land parcels decision would be taken. So as an investor, we have seen that in the past, everything on the table we have taken, but when we move back to square one, what would the management here say that all these things mentioned in the release can happen in FY23, except the arbitration things of course.

Ashwin Devineni

I mean, it's very speculative to tell you exactly when it will happen. Like in terms of the land parcel, as I mentioned before, this is a large piece of land. We as a company are not used to normally selling these large pieces of land. They have been kept for the real estate firms that are the experts at this. So, we will go as per their guidance regarding how to sell it to get the best value. I mean, it is in our interest to get these things done as soon as possible. And we will try for that. But, you know, these things take their own time. And that includes the arbitration that's going on in London, and it goes through its own process.

Abhisri Shah

Okay, and Sir, just one more question: it looks like we are kept out at Indian operations. So, what's the delta on earnings we can expect in the next 1-2 years? I mean, meaningful delta.

G.R.K Prasad

You said right. So, we have consolidated these operations because once it is done, we are in a serious commodity business where highs and falls are common. So, our idea is to see that we have reasonable control on the inputs. That's where our concentration is at this point, which would help really to help the Company sustain the margins as they are. So that is the plan for the next year or so. Then, I could say we could probably talk about other things that could improve delta and thereafter, at this

point in time, it is a consolidation phase which the Company is concentrated upon.

Abhisri Shah

Okay, thank you. That's it from my side.

Moderator

Thank you, Sir. The next question comes from Mr. Srinivasa Rao, an Individual Investor. Please go ahead.

Srinivasa Rao Mandava

Thank you, all my questions are answered.

Ashwin Devineni Thank you.

Transcript - NAVA LIMITED Q1 FY23 Earnings Conference Call - 15 -

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on a telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. We have a question from Mr. Naveen Jain from Florintree Advisors. Please go ahead.

Naveen Jain

Yeah, good morning, Sir. I have a question on ferro-alloy business. So obviously, the margins right now

are extremely healthy. And in the last few quarters, they've been really good. But, you know, we have seen in the past, and this is a very broad question. So, you know, we've seen in the past that, you know, the margins in this segment have been very volatile, right?

So, given that there are some headwinds, right now, as you said, steel prices are also connecting, or have connected, what do you think could be sustainable, you know, EBITDA pattern or sustainable margin in this business, you know, going forward? I know, it's a very broad question, your views would be appreciated.

G.R.K Prasad

You're right. It's very difficult to put a number or anything like that. But if you see, the last couple of years have been pretty good i.e., FY2021 & FY2022 & I mean current Quarter, last Quarter, which seem to be the peak of the times, as far as manganese alloys businesses are concerned and of course, we have reasons for that. But what we could expect is, a normative kind of EBITDA, could hover around 25%, I think is our expectation.

Naveen Jain

Which is significantly higher than what it used to be, right, just a couple of years back.

G.R.K Prasad

No EBITDA has been around 20-25%. Of course, the net margin could be much lower.

Naveen Jain

Okay, so another question was on Zambian operations. So, the Q1 revenue was about 65 million USD, and EBITDA was 37 just wanted to know if possible and if it is handy with you, what was the revenue number for the month of May and June and what was the EBITDA for those two months because you know, that is something that you are now getting paid in full. So that is why I wanted to understand that, and that is based on the revised tariff.

Sultan Baig

Thank you, Mr. Jain. We will revert back to you on the specific numbers. But just to confirm that we have realized the full revenue based on the month of May and June.

Transcript - NAVA LIMITED Q1 FY23 Earnings Conference Call - 16 -

Naveen Jain

Okay, I will take it separately. And Sir, finally on the health care thing. I think you have mentioned in an earlier call that you plan to, invest up to 10 million USD in that business eventually over two years, I think. Does that plan stay or are you looking to materially scale that up, given your work clarity and can I have some more clarity emerging?

Ashwin Devineni

Yeah, so I think earlier, we had earmarked that amount, but that is also subject to opportunities coming up. As a Company, we always calculated in terms of investments that we make and how much we make. So definitely, we have not invested 10 million, not even half of it. So, when the opportunities arise, we can certainly dwell on expanding these wellness centers and so on. Tomorrow when we see other healthcare opportunities that arise, we will deploy them to capitalize on.

Naveen Jain

Understood, are there any other areas like healthcare which we're looking at this stage?

Ashwin Devineni

Yeah, agricultu

re, one of the things we are looking at. I mean not looking at, but we are actually executing and growing sustainable fruits and crops at a fairly large scale, one being avocados, etc., a lot of potential. Prices are just skyrocketing Avocados are going to increase in demand and reduction in supply, because a lot of the countries that produce this fruit have less water supply and Avocados take a lot of water. So, the land we have, which is 10,000 hectares in Zambia, which is 25,000 acres, fits very well for it with a lot of water. So, if we are looking at a 3-5 year play which is normally what you see when you get into the agricultural space, we see this area to be fairly promising in terms of up-and-

coming sustainable foods or superfoods.

Naveen Jain

Okay got it, and nothing else beyond at this stage.

Ashwin Devineni

Thank you

Moderator

Thank you, Sir. That was the last question for the day. I would like to hand the floor over to management for closing comments.

Ashwin Devineni

Thank you all very much, and like to also thank everyone for the kind words on the results. If anyone has any further questions, please feel free to contact our Company Secretarial department. Thank you, everyone, and keep safe, bye

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Nov 2022

NAVA LIMITED

(Formerly Nava Bharat Ventures Ltd.)

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ISO 9001 | ISO 14001 | ISO 45001 | ISO 50001

NAVA /SECTL / 398 /2022-23

November 10, 2022

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Plot No.C/1, G Block

Bandra Kurla Complex, Bandra (E) MUMBAI – 400 051 NSE Symbol : 'NAVA'

Dept.of Corp.Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street

MUMBAI – 400 001 Scrip Code : '513023' / 'NAVA'

Dear Sir,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

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Please find enclosed the transcript of the Conference Call with Investors / Analysts held on November 4, 2022, on the operational and financial performance of the Company for the quarter and half year ended September 30, 2022. Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,

For NAVA LIMITED

(Formerly Nava Bharat Ventures Ltd.)

VSN Raju Company Secretary
& Vice President

Encl: as above.

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 1 -

NAVA LIMITED

(formerly Nava Bharat ventures Ltd.)

Q2 FY23 Earnings Conference Call

Event Date / Time : 04/11/2022, 16:00 Hrs.

Event Duration : 36 mins 26 secs

CORPORATE PARTICIPANTS:

Mr. Ashwin Devineni
Chief Executive Officer

Mr. GRK Prasad
Executive Director

Mr. Sultan A. Baig
Chief Financial Officer

Mr. VSN Raju
Company Secretary & Vice President

Q&A PARTICIPANTS:

1. Amisha Shah : Individual Investor
2. Nikhil Adhyankar : DAM Capital
3. Abhinav Gupta : ALD Dynatech Furnaces
4. Samil Hiren Surendran : Argus Media
5. Neha Sharma : Pearl Global Investment
6. Naveen Jain : Florintree Advisors
7. Sameer Joshi : Individual Investor
8. Mandava Srinivasa Rao : Individual Investor

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 2 -

Moderator

Good evening, ladies and gentlemen. I'm Pelsia, moderator of Nava Limited Q2 FY23 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participants will be in listen-only mode, and you will be able to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to

Mr. Mohit Kumar from DAM Capital. Thank you, and over to you, Sir. Mohit Kumar Thank you, Pelsia. On behalf of DAM Capital, we welcome you all to the Q2 FY23 earnings call of Nava Limited. From the management, we have with us. Mr. Ashwin Devineni, Chief Executive Officer; Mr. Sultan A. Baig, Chief Financial Officer; Mr. GRK Prasad, Executive Director; and Mr. VSN Raju, Company Secretary & Vice President. We'll start with brief opening remarks followed by Q&A. Over to you, Sir.

Ashwin Devineni

Thank you, very much, and good afternoon, everyone. Thank you very much for joining us on our conference call for Q2 and H1 of FY23. I hope everyone is keeping well and have had a joyous Diwali celebration. You must have gone through our statement of financial results for H1 FY23, posted on our website and filed with the Stock Exchanges. I consider the performance of Q2 and H1 FY23 to be quite satisfactory in the backdrop of the severe volatility in our operational segment, especially in Q2. Our diversified business strategies have definitely helped us to ride out of the several headwinds we faced. I would like to summarize the operations on a standalone and on a consolidated basis as follows.

Standalone operations, the total income for H1 FY23 grew by 17% year-on-year, and profit after tax for H1 FY23 grew by 58% year-on-year. Though, there has been a degrowth of income by 40% in Q2 FY23 quarter-on-quarter, the EBITDA fall was contained at 14% quarter-on-quarter. With respect to the consolidated operations, the total income for H1 FY23 grew by 33% year-on-year, and profit after tax for H1 FY23 grew by 22 times year-on-year. Though there was a slight degrowth of income by 21% in Q2 FY23 quarter-on-quarter, the EBITDA fall was contained at 4% quarter-on-quarter, which is almost nil. Some of the salient features, I think the power division sustained the growth for H1 and steady performance in Q2, with the 60 MW IPP in Odisha being the lead contributor. The power generation was, however, severely impacted by the low availability of coal and steep increases in costs and subdued merchant power market during the lean season in Q2. The manganese alloy went through the anticipated cyclical correction, both in export and domestic markets, with the latter taking the brunt on account of the slowdown in the domestic steel industry. Maamba Collieries Limited displayed a significant turnaround, both on the operational front and in the cash flow sustenance.

The prospective reduction of power tariffs had the desired result of Maamba Collieries Limited, with the entire power sales from May 2022 onwards being realized in full. With the clear visibility of cash flows, the debt restructuring package proposed by Maamba Collieries Limited is under consideration

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 3 -

by the lender. Though whole sales in MCL were far lower than anticipated owing to market constraints, momentum has since picked up. With the full-fledged membership in the Southern African power pool, Maamba Collieries Limited power operations have significant flexibility now to optimize the power operations with multiple offtake agreements. I would also like to appraise you of certain ongoing corporate developments as follows.

Exploration work on the manganese

ore concession in the Ivory Coast is in positive progress. The monetization plan of the urban land and sector bar is taking final shape and is expected to be firmed up by the year-end. The avocado plantation is ongoing on the initial parcel, which will be expanded in phases over the next two years. Yields are expected in 4 years. Other commercial agricultural and processing opportunities are currently under evaluation. The healthcare services operations in Singapore and Malaysia are on track, and we'll be turning cash-positive in the next financial year.

We, as a Company, affirm that our strategy of building resilience in our balance sheet has been repaying us with the benefits, and we will continue to do so going forward. With this, we should be open to any further detail the floor is seeking. I look forward to having an active interaction with all of you on this call. Thank you very much.

Moderator

Thank you, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. The first question comes from Amisha Shah, an individual investor. Please go ahead.

Amisha Shah

Hello. First of all, congratulations on your results. Sir, my first question is, you have INR 500 crore cash in standalone, which you won't be using to repay your MCL debt, as you have no recourse. That leaves us with a very interesting point now. Our cash balance is close to 15%-20% of the market cap. Plus, you have, sooner or later, coming up with your next HYD project, which will have a balance of more than INR 1000 crores to INR 1500 crores in our balance sheet. With no land for expansion in Ferro-alloys and no power plant, which is already running at a capacity of close to 50%, there's no Capex on that front. I want to understand that, by any chance, we are planning for delisting, as it makes more sense for promoters, or what's the imminent mindset of deploying cash which can give us an ROE of more than 20%? There are other businesses which promoters can take on an individual basis, like NBFC or some other kinds of businesses. We need to understand what is the ultimate roadmap or do you want to give a message to an investor that, you will come out with a dividend policy, so, an investor will be more assured, for something like that?

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 4 -

GRK Prasad

We take your point very well. In fact, that is one of the agenda items that management is on, in terms of how to do the capital allocation going forward. As you rightly pointed out, we are probably better off than many, in terms of the existing cash balance, which we would like to use prudently in whatever growth that could fetch us the return, more than what has been projected for the shares. So, at this stage, on the positive, we don't have more details, but a lot of work is going on in the backend. So, we would probably be coming out with a proper allocation of opportunities further.

Ashwin Devineni With respect to the Maamba Collieries debt, I think with on a non-recourse basis, there is absolutely no risk to the parent company as such. So, there's absolutely no need to use NAVA cash to repay any of Maamba Collieries' obligations.

Amisha Shah

I have one more question. The volume of Q2 FY23 on Ferro-alloys is significantly lesser, and it's an obvious reason for the export decision taken by Diwali. So, we assume, you would have at least four or five months of sales volume to be done in Q3 FY23. Can we assume that the quantum of numbers would be higher than in Q1 but the margin low

wer for FY23?
Ashwin Devineni

Well, the inventory, as you find out, we're getting liquidated as we speak, and we don't expect the same kind of performance as in Q1 for the balance months. But we see some uptick in performance levels which will be correctly reflected in Q4.

Moderator

The next question comes from Nikhil Adhyankar from DAM Capital. Please go ahead. Nikhil Adhyankar I would like to know the status of the arbitration case for the Africa business.

Ashwin Devineni

The arbitration on the areas with ZESCO is currently underway, and the final hearing is scheduled during mid-December timeframe of this year.

Nikhil Adhyankar

Okay. Have you started selling power in pool from Maamba?

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 5 -

Ashwin Devineni

Yes, we have started selling power. Some power in the Southern African power pool.

Nikhil Adhyankar

What are the realizations over there? Ashwin Devineni The Southern African power pool is kind of like their exchange. The rates fluctuate. So, if I just give you the average, in terms of the Southern African power pool rates, how they have been, the one-year average is around 9 cents, and then the six months average is about 10.4 cents. The rate has been varying.

Nikhil Adhyankar

What are the receivables in Zambia?

Ashwin Devineni The total outstanding? Nikhil Adhyankar

Yes.

Sultan A Baig

The outstanding is only till the 30th of April 2022, because from 1st May onwards, we have a revised tariff agreement with ZESCO, and we are getting paid in full for the energy that is being supplied. The receivables under the old PPA, which have been stalled or not increasing since 30th April, stands at \$577 million. Nikhil Adhyankar Regarding the Indian business, do we have any power tie-ups for the Indian power plants?
GRK Prasad

No, we don't have a PPA. We sell separate power on either IEX or short-term contracts.

Nikhil Adhyankar

Are we not looking at any PPA to be signed in the near future?

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GRK Prasad

No. We cannot get into a PPA because of the size of the power plant, one. So, that effort is on in the setup of our Indian subsidiary, which is 150 MW.

Nikhil Adhyankar

Can you just give us an outlook regarding the ferro-alloys industry for H2 FY23 or, say, for FY24 as well? GRK Prasad
We can only, at this point, estimate what has been happening in the last few months, including October. What we saw is a severe dip in August and September and a definite recovery in October, and we see some firming up of prices in the coming Orders as well. That being so, we expect some kind of normalcy will be in place in terms of pricing, effective from Q4. Q3 also could be slightly subdued, maybe better than Q2 in terms of realization, but I think normalcy is expected only in Q4, and we look forward to a better time definitely in FY24.

Nikhil Adhyankar

One last question. What were the operating profit and net profit for Zambia operations?
Sultan A Baig

EBITDA is at \$40.3 million, which is 57.2%.

Nikhil Adhyankar

Okay, 57.2%. And Sir, profit?

Sultan A Baig Profit is \$14.7 million. Nikhil Adhyankar \$14.7 million. Thanks a lot.

Moderator

Thank you, Sir. I request the participants to restrict to two questions in the initial round and join back the queue for further questions. And the next question comes from Abhinav Gupta from ALD Dynatech Furnaces. Please go ahead.

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Abhinav Gupta

This is regarding the \$250 million arbitration that you had for MCL. You have given a note that arbitration has settled in your favour. Can you just comment on that?

Ashwin Devineni

Yes. The arbitration is for a much larger amount of outstanding. The \$2

50 million you're talking about

was an interim payment award that was passed by the Tribunal. That award was subsequently challenged by ZESCO, and it went into a hearing at the High Court in the UK. We are happy to note that we won that hearing just recently in the month of September. And the final hearing for the entire arbitration is due during the mid-December timeframe of this year.

Abhinav Gupta

Okay. So, now we are sure to get this \$250 million, correct?

Ashwin Devineni

Well, I'll put it this way the \$250 million has already been passed. Out of the total amount, the Tribunal has decided that we are definitely owed \$250 million. Now, over and above that, that's basically what is going to be discussed during the hearing in December. Abhinav Gupta

Okay. Thank you, Sir.

Moderator

The next question comes from Samil Surendran from Argus Media. Please go ahead.

Samil Surendran Would it be possible to get your production as well as sales detail for this quarter for the Ferro-alloys section? Sultan A Baig

It has been published as a part of the results, but for your benefit, I'll briefly go through it. Ferro-alloy's revenue was INR 204.94 crores.

Samil Surendran

I'm asking about the output volumes in tonnage.

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 8 -

Sultan A Baig

25,697 metric tonnes, and sales were 15,428 metric tonnes of silico manganese.

Samil Surendran

What about Ferrochrome? Did we have any ferrochrome production this quarter? Sultan A Baig It was 14,600 tonnes. Yes.

Samil Surendran

Okay. And similar would be the sales figure?

Sultan A Baig

Yes, because the ordered quantity has been produced and transferred to TSML.

Samil Surendran What would be the total for the H1?

Sultan A Baig

H1 total for silico manganese was about 52,000 tonnes and sales 37,000 tonnes

Samil Surendran

The last question is, would you expect any drop in your output levels in this quarter?

GRK Prasad

Silico manganese should continue. So, a small reduction might be there because of a lack of power and some planned outages, but as far as Odisha operations are concerned, as you probably know, we are switching over to manganese alloy. So, the plant will remain shut for one month in November, and to that extent, there will be a shortage of production.

Samil Surendran

Okay, Sir, that's all from my side. Thank you for taking my question.

Moderator

The next question comes from Neha Sharma, Pearl Global Investment. Please go ahead.

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Neha Sharma

I just wanted to know, as we speak, we see our power rates have come down sharply, but offtake might have got affected. So, what's an internal target for the year for our all-Indian power plants?

GRK Prasad

I think Indian power plants have certain challenges. One is, of course, rates, as you pointed out. The other thing is the coal availability and the cost of coal for power generation, which seem to be going up without any reference to the stages. So, what we are currently doing is to make the sales on the merchant market where there is a clear trade-off, especially what is happening in Odisha operations, but in Telangana operations, we do not see that opportunity because the cost of coal is higher here.

Neha Sharma

Okay, and Sir, one more, I want to understand now that as we are receiving the payments from ZESCO regularly, so you will be repaying the debt, obviously, but ultimately, at any given point of time, does a thought come across the management's mind, that when would we get the money back to India?

Ashwin Devineni

Yes, I think that thought has always been on our minds. I think our efforts have always been to declare dividends there, so it comes back to India. Fortunately, I think things have taken a positive turn, and

with the recent events where we've renegotiated the tariffs, and we've been paid in full, and we've also approached the lenders for restructuring, which essentially would give way for us to declare dividends, we hope that it will happen sooner rather than later.

Neha Sharma

Okay, that's it from my side.

Moderator The next question comes from Naveen Jain, Florintree Advisors. Please go ahead. Naveen Jain I just wanted to check what is the debt on the books of the Zambian entity right now and the resolution process that we are working on. What is the kind of broad terms that we're looking at? Is it like we are going to repay the entire thing in full or part, or how is it? What is the outcome that one can expect?

Sultan A Baig

The principal outstanding on the Zambian Subsidiary is \$413 million.

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 10 -

Naveen Jain

Okay.

Ashwin Devineni

Yes, and on the restructuring, it's a little bit early to disclose what the proposal is now, but I think our efforts are essentially to work on a proposal so that as we continue to pay the principal and interest. Naveen Jain And this \$250 million, or whatever we get in arbitration eventually, by what timeframe do you think the final hearing is expected? Soon, as you mentioned, and after that, by what timeframe do you think this payout will happen? Roughly, I mean.

Ashwin Devineni

The \$250 million is an interim payment award. The final hearing is in mid-December. We have been engaged with ZESCO, and they are aware of what is going on, and they have been engaged with us in terms of figuring out a way and a plan in which they will pay the arrear. So those discussions are still underway, but I think we need to get a grasp on the quantum first, and then they can jot out a plan.

Naveen Jain

Is it fair to assume that the debt resolution plan is also dependent on this? I mean, whatever money comes in, a part of it goes towards this debt resolution, right?

GRK Prasad

In a sense, to some extent, but we need to have a clear plan, as Ashwin said, to really talk about numbers in detail. Naveen Jain Just one last question on the monetization plan of the land bank. I guess you've made some progress in this quarter, as you mentioned in your opening remarks. Any broad prospect as to what we are looking at? Are we looking to develop this land bank? Or are we looking to sell out entirely the land itself? Any broad sense that you can share?

Ashwin Devineni

See, I think development was on our mind, but then I think we are looking at a sale, for the most part of it. This is a large parcel, as you're probably aware. We've been taking various actions to ensure that we get the best valuation, and we've also been engaged with some of the top real estate firms in terms of how to position it so that we get the best plan. But I think we are more inclined right now towards a sale, as opposed to development.

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 11 -

Naveen Jain

Considering that we have a fairly strong balance sheet and one of the participants asked that there's no real CapEx plan as far as the Indian Business is concerned. So, looking at the development opportunities

here, you are not very inclined towards it.

Ashwin Devineni

No, I think we don't rule out any opportunity. We, as a company, are very conservative in terms of the actions we take. We really make sure that risks are mitigated. But when the right opportunity arises, we are fortunately in a very financially sound position that we can jump on it, domestically or internationally.

Moderator

The next question comes from Sameer Joshi, an individual investor. Please go ahead.

Sameer Joshi

Basically, I have two questions. One is, how much incremental or differential EBITDA has been received, by switching from fer-

erro- alloys to silico manganese? And the second thing is, which part of the business will get affected in Q3 because of either shut down or overhaul of any of the plants within the company?

GRK Prasad

Well, I guess whatever you're asking probably can't be answered now. Our idea is to get into silico manganese production in Odisha, to have a better and higher platform for manganese alloys, given the underlying strong demand that is coming from the steel industry. In terms of the downside on account of the shutdowns and all, some of these shutdowns are planned, and some are forced. We can't really put a number immediately.

Sameer Joshi

Basically, how much impact will it have on the revenue of Q3 or Q4 because of this?

GRK Prasad

I'd say, at this point in time, we can only say qualitatively what is the production available and what is not available, but not in numbers.

Sameer Joshi

Okay.

Moderator

The next question comes from Mandava Srinivasa Rao, an individual investor. Please go ahead.

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 12 -

Mandava Srinivasa Rao

What about the manganese mining prospects in Africa?

Ashwin Devineni

Yes, in West Africa in Ivory Coast, we have acquired an exploration license, so exploration for the manganese mine is currently ongoing.

Mandava Srinivasa Rao

Any foreseeing regarding the availability of the manganese there?

Ashwin Devineni

Ivory Coast is rich in manganese ore. We currently do procure quite a bit of manganese ore from the Ivory Coast, but in terms of our concession, it is too premature to say what the potential is because these exploration works take time, and they're currently ongoing.

Mandava Srinivasa Rao

Okay. Thank you. Moderator We have a follow-up question from Nikhil Adhyankar from DAM Capital. Please go ahead.
Nikhil Adhyankar

Just a follow-up question to the question earlier asked. Can you just give us a timeline as to the sale of the land, what will be the realization through it, and how should we expect that you'll use that cash?
Ashwin Devineni

So, in terms of timeline and realization, Nikhil, I wish I could answer it, but unfortunately, I can't because the size of the land is very large. It's 65 acres, and we're right now working extremely hard to complete certain processes so that we get the best valuation and close the sale in the shortest time period, but in terms of exact numbers, we cannot commit now.

Nikhil Adhyankar

Just a clarification, will we get 100% of realization from the land?

Ashwin Devineni

What do you mean by, will we get?

Transcript - NAVA LIMITED Q2FY23 Earnings Conference Call - 13 -

Nikhil Adhyankar

Like, is there any other partner? Is anyone else getting a stake in that land?

Ashwin Devineni

No, this entire land belongs to NAVA. Nikhil Adhyankar Okay, Sir. How do we intend to utilize the cash, maybe a dividend or a buyback? Ashwin Devineni

I think there are various things we will consider. We will definitely, like what you mentioned, we will consider corporate actions that would enhance shareholder value. But also, I think we're in a stage where we are growing in different areas and current areas internationally, so we would need to also reserve some amount for growth capital.

Nikhil Adhyankar Okay, Sir. Understood. Thanks a lot. That's all from my side. All the best.
Moderator

Thank you, Sir. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. I repeat, ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. That would be the last question for the day.

Now, I hand over the floor to management for closing comments.

Ashwin Devineni Thank you very much, everyone, for your participation in the call. I hope we've addressed all the queries adequately.

Or, if there are any questions or clarifications that remain unanswered, please get back to us, and we would be more than happy to provide answers on a wider investor platform. Thank you all once again.

Moderator

Thank you, Sir. Ladies and gentlemen, this concludes the conference call for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant evening.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Feb 2023

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NAVA /SECTL / 558 /2022-23

February 9, 2023

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Plot No.C/1, G Block

Bandra Kurla Complex, Bandra (E) MUMBAI – 400 051 NSE Symbol : 'NAVA'

Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street

MUMBAI – 400 001 Scrip Code : '513023' / 'NAVA'

Dear Sir,

Sub: Transcript of the Conference call with Investors / Analysts pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

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Please find enclosed the transcript of the Conference Call with Investors / Analysts held on February 3, 2023, on the operational and financial performance of the Company for the quarter and nine months ended December 31, 2022. Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,

For NAVA LIMITED

(Formerly Nava Bharat Ventures Ltd.)

VSN Raju

Company Secretary

& Vice President

Encl: as above.

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 1

NAVA LIMITED

(formerly Nava Bharat ventures Ltd.)

Q3 FY23 Conference Call

Event Date / Time: 03/02/2023, 16:00 Hrs.

CORPORATE PARTICIPANTS:

Mr. Ashwin Devineni, Chief Executive Officer

Mr. GRK Prasad, Executive Director

Mr. Sultan A. Baig, Chief Financial Officer

Mr. Nikhil Devineni, Senior Vice President
Mr. VSN Raju, Company Secretary & Vice President

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 2 Moderator

Good evening, ladies and gentlemen. I'm Vidya, the moderator for the conference call. Welcome to Nava Limited Q3 FY23 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participants will be in listen-only mode, and you will be able to ask questions after the presentation concludes. If you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar from DAM Capital. Thank you, and over to you, Sir.

Mohit Kumar Thank you, Vidya. On behalf of DAM capital, we welcome you to the Q3 FY23 earnings call of Nava Limited. From management, today we have with us Mr. Ashwin Devineni, Chief Executive Officer; Mr. GRK Prasad, Executive Director ; Mr. Sultan A. Baig, Chief Financial Officer; Mr. Nikhil Devineni, Senior Vice President; Mr. VSN Raju, Company Secretary, and Vice President. Before we go on to the main call, I would like to read the standard disclaimer. There are many forward-looking statements about the Company and its subsidiaries, which are based on the beliefs, opinions, and expectations of the Company's management as of the date of this conference call. The Company does not assume any obligation to update its forward-looking statements if those beliefs, opinions, expectations, or other circumstances should change. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. Consequently, investors/readers should not place any undue reliance on such forward-looking statements. We will start with brief opening remarks, followed by a Q&A. Over to you, Sir.

Ashwin Devineni

Thank you, Mohit. A very good evening and a warm welcome to all the participants. The statements of financial results, both on a standalone and consolidated basis detailing the operations of Nava Group for Q3 FY23, have already been filed with the stock exchanges and posted on our website. I hope you have looked at them and trust that they provide adequate information on our performance for the quarter ending December 31, 2022. Given the above, we would like to proceed with a question-and-answer session and request you all to seek clarifications as you may desire. Thank you.

Moderator

Thank you, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad, and wait for your turn to ask the question. If you want to withdraw your request, you may press * and 1 again. We will wait for a moment while the question queue assembles.

The first question comes from Kalpesh Agarwal, an individual investor. Please go ahead.

Kalpesh Agarwal

The numbers are very good for nine months ended on a consolidated basis and congratulations to the team for the good numbers. We have been holding ourselves since 2013 now, Sir. In the last ten years, we have received INR 22 dividend cumulatively.

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 3 I want to understand about the Arbitration Award that you have recently received and that by August,

you are entitled to receive the whole amount. And we have a land parcel which is in Hyderabad, which you will be able to realize in the coming years, plus for these nine months, we have around INR 900 crore of a PAT. So, if we just look up the calculation, it comes to around INR 4,000-5,000 crores of cash flows which will come in, say, one year down the line. I want to understand what the roadmap is for the future.

Ashwin Devineni Okay, I understood. So, as you mentioned, we are financially healthy. We've always reported a healthy profit. In terms of bulk payments being received, you are right. Both the land parcels

would be

materialized. It may take some time, but it will eventually materialize. It'll get us a good amount and the arbitration consent award.

Concerning the company growth path, we have reiterated in previous calls that we are expanding within our current verticals. Some of the expansions include the expansion of the ferro-alloys division at Ivory Coast, and expansion, possibly in the power division in Zambia, expanding our 300MW capacity to something higher. We are also in the agricultural sector in Zambia.

So, all these require capital, and some of the proceeds of the amount received or to be received will be utilized towards these expansions. Then, we will look at certain corporate actions that will improve shareholder value, including dividend distribution amongst various other such initiatives.

Kalpesh Agarwal Okay. But don't you think we are too late to start something at this point? Because I want to understand that when we call from the last three or four calls, we've been asking the same question, and we have been replying, but not a single amount has been allocated to date for any kind of a number. What we want to understand is that we waited patiently for that MCL to get operationalized and rationalized, that looks on the thing. But I guess the difference between the standalone and consolidated number is more to do with the number, which has performed excellently well, which we can see from the result in the power segment. But we, as investors, are a bit worried that the Company gives no proper guidance regarding the absolute quantity of ferro-alloys you want to expand. What megawatt you're looking at in Zambia? Any concrete plan will be much appreciated, Sir.

Ashwin Devineni

Yeah. But, for many of these capital expansions, including ferro-alloys and power, there is a lot of due diligence work that goes in. You would appreciate that we are not one of those companies that announce large numbers, get into projects, take on huge debts, and end up like a lot of the other companies that have ended up in the place that they're currently in. So, it's not that we have not done anything. There's a lot of homework going on in the various areas we are expanding. But, in due course, when we finalize the number in terms of capacity or capital outlook, we will let the wider investors know.

Kalpesh Agarwal

Can we expect a big dividend in FY24, Sir? Is this the right platform to ask, or shall we wait?

Ashwin Devineni See, it is a little premature for me to answer that because it depends on certain cash flows coming in. Since the land sale, as I said, is a large chunk, it will take some time. And even concerning Maamba, we need to get the utility to pay Maamba, Maamba needs to get their dividends, and then we can

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 4 announce it. So, it's in our minds, but in terms of timing, I know it's difficult for us to commit at this stage. Kalpesh Agarwal
Okay. Thank you.

Moderator

The next question comes from Nikhil Abhyankar from DAM Capital. Please go ahead Nikhil Abhyankar
What is the reason for this almost 9-percentage -point expansion in our EBITDA margins for this quarter?

Sultan A. Baig Hi Nikhil, thanks for your question. The primary reason for the additional margin in the quarter is the better performance of Maamba Collieries. One, on the sales, which is slightly higher, because we had USPPi increment on the sale tariff to ZESCO and also slightly higher realization on the sales to SAPP. And if you may go through the notes, you will also find that we have not made any provision on the expected credit loss because the dispute with the ZESCO has been resolved. So, these factors contribute to the additional margin in the quarter.

Nikhil Abhyankar Okay, and back to the arbitration questions, the excess amount that we're going to receive is only till May 2022. So

, is the payment regular for the period after May 22?

Sultan A. Baig

Yes, Nikhil. We have been receiving payments regularly as per the new tariffs from ZESCO.

Nikhil Abhyankar

Okay, and Sir, what is the debt payment schedule?

Sultan A. Baig As we declared in the financials, we have five overdue installments to be paid by Maamba Collieries Ltd. As of December 31, 2022, we were able to pay one installment. Post that, we were able to make some small payments. But once we receive amounts from ZESCO, we will clear the outstanding.

Nikhil Abhyankar

Okay, and already we were thinking of restructuring the debt. So, any progress on that?

Sultan A. Baig

It is too premature for us to answer that, Nikhil because it depends upon the realization and the lender's discussion.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. I repeat. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. We have a question from Yash Sarda from Sushil Finance. Please go ahead.

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 5 Yash Sarda

Good afternoon, Sir. I have couple of questions. Looking at the quarterly results, my first question would be that the margins in the Ferro-alloys business have reduced drastically. I'm guessing a part of the reason would be that you have completed the contract with Tata Steel. So, could you throw some more light on when we can achieve the same level and the margins front, which we used to achieve with Tata Steel? How long will it take us, and what is our roadmap?

Ashwin Devineni Can you repeat the second question, please, relating to Tata Steel?

Yash Sarda

Sir, like, we did a contract agreement with Tata Steel. Right?

Ashwin Devineni Correct.

Yash Sarda

So, I wanted to understand why our margins are reduced drastically in the Ferro-alloys business. So, what is the roadmap going ahead? When will we be able to match Tata Steel's margins and then beyond?

Nikhil Devineni

Okay, got it. So, Yash, firstly, thank you for your question. I think you've rightly pointed out Q3 has been an extremely challenging period for all bulk alloy producers across the country and the world over. There were two main contributing factors. One was concerning the sales price, falling by almost 15% from Q2-Q3. This, coupled with significantly high raw material costs, have impacted margins very badly.

Now, going forward, fortunately, there's been a big drop in raw material costs in this particular case with respect to the manganese ore, which has dropped by almost 50% QoQ. And we are also witnessing an increase in sales price from Q3-Q4 by about 10%. We are therefore, bullish on the way forward for the ferroalloys market. Now, coming to your second question. See with Tata Steel, the margins were fixed, despite how the market behaves. In this case, we stand to benefit from any increase in the market because we're doing the entire production and marketing on our own.

Secondly, the switchover to silico manganese in Odisha was based on long-term planning. The main purpose was to increase our market share in the manganese alloys segment. As you may be aware, there has been a 5.5% increase in steel production in India, at 124 million tonnes. This figure is slated to increase to 300 million tonnes by 2030, as per the National Steel Policy Association. So, going forward, we wish to enhance the market share in this particular segment.

Yash Sarda

My second question, another question, would be whether the management has entered into businesses like Healthcare and Agri. So, what exactly is the management's thought process? Given as a shareholder, if I'm investing in a company that is into ferro-alloys and power, I'm looking at the Company to be focusing on its core and dedicate 100% of its time and effort to

to the same business because earlier we

also faced an issue when we entered the sugar industry. We took an exit in that business, and still we

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 6 have an asset of INR 25-odd-crores, they're still lying on our books, and we are not able to monetize

the same. So, I don't understand the framework of the management team thinks that this might not be the expertise of the management, since they're coming from a power business. Healthcare is different, but it's booming in India, that's something very unrelated. So, I wanted to get your views on that.

Ashwin Devineni I think we have to correct you on the sugar part of things which CFO will explain. But about our diversification strategy, you need to understand that we are in thermal-based, coal-based power. The scope of expanding and constructing new coal-based power plants in India or many other parts of the world, say apart from Africa, are extremely limited. Now, it's not like we're not expanding on the power side. Like I just talked about the expansion, possibly

in Zambia, and on the ferro-alloys side, we're looking to expand at Ivory coast, where we also have the security of our raw materials. So, while we expand in these verticals, it's always healthy for companies to look at new upcoming verticals and plant seeds, which we see could yield good benefits, say, 3-5 years, 10 years down the line. And that's one of the reasons why, one, on the agricultural side, we've gotten into avocado growing in Zambia. Also, on the health care side, we are in Singapore and Malaysia.

Sultan A. Baig

And regarding the sugar business, you'll have to understand the history. We've been in sugar production for almost four decades, and one of the reasons for us to come out of the business was the non-availability of sugar cane in that region. It was difficult for us to operate on such a large scale. And we have monetized all the assets of the sugar division with profit.

Yash Sarda

Okay. Sir, I can just ask one last final question.

Ashwin Devineni Please go ahead.

Yash Sarda

I also understand that we are receiving \$518-odd-million from ZESCO. Could you just give us the details of timelines on a quarterly basis?

Sultan A. Baig

As and when we realize the amount from ZESCO, we are declaring it to the stock exchanges.

Yash Sarda

Okay. So, I think it's safe to assume that you have received only \$10 million as an upfront payment from them right out of \$518 million.

Sultan A. Baig

Yes.

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 7 Moderator

Next question is from Mr. Sameer Shah, an individual investor. Please go ahead. Sameer Shah

Sir, I wanted to ask for \$518 million, the agreement that we've made with Zambia. Have we offered them any discount on that?

Ashwin Devineni

Yeah, we have offered them. So, the entire outstanding includes principal and interest. We offered them a \$60 million discount on that.

Sameer Shah

Okay, and there was a tariff rationalization with ZESCO. At that time, was it a unilateral concession from our side, or was there a quid pro quo, where they extended the concession tenure?

Ashwin Devineni

No. So, firstly, with regards to the previous answer, the total outstanding initially was \$578 million. So, when I talk about a \$60 million discount, the number you have mentioned factors in the discount. Okay. And as regards your second question, We had very lengthy discussions and negotiations. We looked at, basically, our numbers. ZESCO looked at their payment profile, and then when we are in the process of amending our existing PPA. There's no increase in tenure.

Sameer Shah There's no increase in tenure. And in the arbitration, you said \$518 million is net of the \$60 million. There was some tax component also, which has to be reduced from that.

Ashwin Devineni

That's right

. Yes, there's a VAT component which, in essence, we were paying. So, basically, ZESCO used to pay us the money, and then a part of that money we used to pay the VAT. Now, what we have agreed with ZESCO, they will be liable to pay the VAT directly to the government.

Sameer Shah Okay. So, in essence, there is no discount concession on that. It's just the methodology change.

Ashwin Devineni

Exactly. Basically, the outflow from ZESCO to us would be slightly less because they won't have to pay us that VAT component. They could deal with it directly with the government.

Sameer Shah

Okay. All right. Got it, Sir. Thank you.

Moderator

Thank you, Sir. The next question comes from Vijay P, an individual investor. Please go ahead.

Vijay P

Similarly, this time after declaring the results, the Company has not issued a press release. So, the

investors are not aware of the happenings in the last three months on the production front, sales front, etc. You had made an announcement that the Odisha ferro-alloys plant will be shut down from

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 8 November 1 for conversion from ferrochrome to silico manganese. Is the conversion work over? Is the plant producing silico manganese now? Nikhil Devineni
The production began on December 15 of last year, and the monthly production currently is at 4000 tonnes.

Vijay P Is it's going to go to 75,000 rated capacity for the year?

Nikhil Devineni

No. 4000 is the actual monthly production as of now.

Vijay P So, we are targeting 75,000 on a full-year, 12-months basis.

Nikhil Devineni

No. See, 75,000 was the rated capacity when it came to the ferrochrome operation. Currently, the specific power consumption in silico manganese is far higher. And as a result of that, the actual production of silico manganese is far lesser than what it used to be with ferrochrome. So, what we're essentially targeting is about 50,000 tonnes per annum of silico manganese.

Vijay P Thank you. That's good. That helps. Now, regarding the plans to produce silico manganese in Ivory Coast. What is the capacity the Company is looking at?

Nikhil Devineni

It is extremely premature at this juncture to comment on that because the plan to expand hinges on whether or not the mine that we currently have, proves to be successful in two aspects. One is with respect to quality, and the other is quantity. Currently, we are in the process of exploration. Phase B works have begun. So, in about six months' time, we should have clarity on that. Vijay P
So, the mine is not producing anything as of now?

Nikhil Devineni

No, it's not.

Vijay P

Okay, the last question is about the Zambia coal-based power plant. In the past, once the Company stated that producing any more power from coal, even the Chinese companies were not ready to supply plant and machinery because of the stigma associated with it. So, if we are going to go, if you are looking at expanding the capacity from 300 to maybe, say, 600 MW, who will be supplying the plant and machinery, or is Nava going to source it from India?

Ashwin Devineni So, with regard to what he said previously, I don't think it was to deal with Chinese equipment. It was to deal with Chinese money and lending. I think Chinese banks are right now refraining from lending

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 9 toward any coal-fired power projects. But Chinese equipment suppliers are still producing. So, while we are exploring the expansion, we are looking at both Chinese vendors, Indian vendors, and other vendors and basically zeroed out on the most cost-effective solution.

Vijay P

Sir, if you may allow me, I'll ask one more question. When the consent terms we're signed with ZESCO, they made a token payment of only \$10 million so far. We are already a more than a month, about a month-and-half from

that date of award, and we have got about seven months left and to receive about \$500 million. Is there any roadmap, or is there any payment schedule?

Ashwin Devineni

Yes. So, I mean, as far as ZESCO is concerned, they're not defaulting on the payment terms. The end of August marks the time when they will basically pay the entire amount they have till then. So, that's what they are sticking to.

Vijay P

So, there is no monthly payment schedule.

Ashwin Devineni

So, there's no monthly payment schedule. But I think the main number to or date to keep in mind is August, which is a significant one.

Vijay P Thank you very much, Sir. That's really all from my side.

Moderator

Thank you, Sir. The next question comes from Mohit Rath from CCIPL. Please go ahead.

Mohit Rath

Hello, Sir. Is there any update on the monetization of your land in Nacharam.

Ashwin Devineni We engaged JLL basically to monetize the land, and works are under way. So, there's nothing to report further on that. As we indicated to you previously, this is a large parcel. It's going to take a little time, and JLL, a reputed firm, is on it.

Mohit Rath

Okay, Sir, I have one more question. Our Company has a history of buying back its shares as our shares are undervalued. And now, since our situation is improved with the regular payments, can we expect some buyback or something like that?

Ashwin Devineni

See, I think, we've done this buyback twice. So, it's not like we've done it several times. With regards to a further buyback, as I mentioned, once we see larger amounts come in due to various actions or items that are due, we will definitely take corporate actions that will improve shareholder value. One is a buyback. We may consider.

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 10 Mohit Kumar

Okay, Sir. Thank you. All the best. Moderator

Thank you, Sir. The next question comes from Vandhana Rajpai from Axis Energy. Please go ahead.

Vandhana Rajpai

I have two questions for the CEO. My first is that you're looking at the expansion of your coal project in Maamba. Like, how do you plan to tie up your offtake for this considering the fact that the Zambian government has not been very supportive of your earlier projects? My second question is, with the drive towards sustainability, how do you plan to tie up this debt since most of the international lenders would not be willing to finance coal projects anymore? And my third question is, what are the sustainability initiatives that are completed? Thank you.

Management Team

Can you repeat the question again? You have three questions. Can you be precise and just repeat the questions clearly?

Vandhana Rajpai

My first question is about the expansion plans that you've stated, wherein you said that you would be expanding the capacity of the Zambia plants. So, how do you plan to tie up the offtake of that plant, considering that the Zambian government has not been very supportive of the first investment case there? And there has been a good \$60 million that has been written off.

My second question is, how do you plan to tie up debt for any further investments in the coal segments considering that there is a sustainability drive across the globe? That still would be difficult to get. My third question is about the sustainability initiatives being taken by the Company. I do not see any of the filings of the companies. If you could please elaborate on that? Thank you.

Management team

Okay. So, on the first point with regards to offtake, I don't think I'll agree with the point that the Zambian government has declared it in the past. I don't think we were receiving our payments duly. But since May 22, we've been receiving all our payments on time and in full. And the fact that we have reached this consent award through the arbitration tribunal clearly shows that there was consent, and things are

different now,

and both, I think, us and the Zambian government, including the utility, want this to work.

We also need to keep in mind that while everyone talks about renewable, Zambia's 85-90% is renewable, and that's one of the reasons why they're facing a huge power crisis right now because of bad rains in the last two to three years, they've almost had about 12-13 hours of power cuts on a daily basis. So, there is a huge urge for us to expand by the Zambian government so that we can increase the base load. The other thing to add in terms of the offtake is what is different now is we have another offtaker. We are also now members of the Southern African power pool. So, in the event the state utility is unable to offtake the power, we have the option to create it in the SAPP network.

Regarding the question on debt and coal, you are right, it's not as easy today to kind of raise debt on coal-based projects. But

that being said, it's not impossible. I mean, there are not a lot of people expanding in coal, and the only people I think that are doing it are where there is an imminent need.

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 11 And I think this is an area where the need currently exists. There is an interest. We don't know if it's going to be with the existing set of lenders, but there definitely are parties that are still interested in financing coal projects as long as the margins are healthy. Yes, in terms of sustainability. Correct me if I'm wrong, but you're talking about the green initiatives taken by the Company?

Vandhana Rajpai

My reference is for any sustainability initiatives that have been taken up, considering that most of the projects are power intensive and run on the process used by coal. GRK Prasad I think on the sustainability part, Nava has had a good history in terms of how the operations would not impact the environment. We have had several efforts going on with the impact in Zambia too. There's been a transformational change, which the Company intends to pursue in all its projects, including the current proposed expansion.

Ashwin Devineni

Just to kind of add, just because we use the coal, the word coal, it doesn't mean, in terms of, it's not negative. Because if you look at Zambia, especially, the coal was being mined for customers that are buying the high-grade coal, but what we do is take the low-grade coal that was previously termed as waste, and it was just burning, and we feed it to a power plant, we capture 100% of the ash, we recycle 100% of the water. And therefore, preventing the environment from being polluted by sulfur and so on emissions. So, it's actually an environment investment action that we have done, and this is something that we follow in all our operations.

Vandhana Rajpai

That's it from my side. Thank you.

Moderator

Thank you, Sir. The next question comes from P Anirudh, an individual investor. Please go ahead.

P Anirudh Yes, thanks for the opportunity. I would like to ask my questions regarding the power sector, the domestic power business the Company has. Last time, I remember in the call, we were told that NBEIL was shut down due to a lack of coal availability, coupled with poor tariffs. Would appreciate, if the management could throw some light on the prevailing situation and also the outlook for the future.

GRK Prasad

Yes. Nava as we went through that stress of low coal availability as well as unremunerative prices of power on the IEX. So, the operations were definitely impacted in the previous quarters. What we decided was to use the time to undertake a major overhaul which has been planned in the month of November. So, the unit has been taken for that major overhaul, and it will be resuming generation later this month, if not by the end of this month. And this period has been advantageously equalized by the Company to stock up the coal

. So, we expect that unit to be ready when real up-take is likely in the IEX markets from March onwards. So, we expect at least reasonable performance in the next quarter or so. We'll see how it pans out. But I think that's where the Company's 150 MW stands.

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 12 P Anirudh

Thanks for that, Sir. One more question I have. We've spoken about Maamba also selling power to the grid other than what has been given to the Zambian utility. So, in the last quarter, were there any sales to the African grid? And what was the PLF for the last quarter, Maamba?

Sultan A.Baig

Maamba, the last quarter's PLF was 99.5%, has been fully operational, and about 20% power has been sold to the SAPP platform. P Anirudh That sounds very promising, Sir. Thank you. That's all I have.

Moderator We have a follow-up question from Sameer Shah, an individual investor. Please go ahead.

Sameer Shah

Sir, I wanted to check with you. What is the tariff realization we've got on the South African power pool?

Ashwin Devineni

So, we had an average of about \$0.14.

Sameer Shah \$0.14. And we would be with ZESCO at about \$0.09-odd, right?

Ashwin Devineni

Our current tariff with ZESCO is slightly over \$0.10.

Sameer Shah

Over \$0.10, okay. And about NBEIL, we've been going through hoops in terms of trying to sell it to merchant power whenever the price is right, and then there is a non-peak period where we are not able to utilize the plant. Is there any long-term plan that you have for NBEIL versus this yearly merry-go-round?

GRK Prasad

You're right. At this point, it's merry-go-round, but I think what we are trying to see is whether we can have a long-term tie-up for coal on alternative schemes. The government has been talking about some schemes, so once we have some such scheme, which probably could be tied with some kind of PPA as well. I think long-term sustenance should come in. But we can't tell you any timeline, but the efforts are in those directions.

Sameer Shah

Okay. Thank you.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. We have a follow-up question from P Vijay, an individual investor. Please go ahead.

Transcript – Nava Ltd Q3 FY23 Earnings Conference Call pg. 13 Vijay P

My question is, we seem to have forgotten about the parcel of land in Kakinada, some 200 acres, which you were trying to put up some technology park or an export park or something. Are there any further developments on that, or is it in cold storage?

Ashwin Devineni

Well, I don't think we've forgotten about it, Mr. Vijay. It's just that we've had all these other actions that took precedence. Right now, we're also looking at land values in Andhra Pradesh and so on, and they're not too attractive for any kind of sale at this stage. So, I think we've been concentrating on the current efforts, and when things look better in Andhra Pradesh, I think we will take appropriate actions.

Vijay P

So, we don't have any concrete plans as of now? Ashwin Devineni
Currently, no.

Vijay P

Okay. Thank you very much.

Moderator

Thank you, Sir. There are no further questions. Now, I will hand over the floor to the management team for closing comments.

Management Team

Thank you very much for your participation in this discussion. I hope we've addressed all your queries adequately. If there are any questions or clarifications that remain unanswered, please get back to us, and we'd be happy to provide answers on a wider investors platform. Thank you.

Moderator

Thank you, Sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you, and have a good day, everyone.

Note: 1. This document has been edited to improve readability

2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: May 2023

NAVA /SECTL / 109 /2023-24
May 30 , 2023

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Scrip Code : '513023' / 'NAVA

Dear Sirs,

Sub : Transcript of Conference Call .

Ref : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
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Please find enclosed the transcript of the Conference Call with Investors /Analysts held on May 25, 2023 on the operational and financial performance of the Company for the quarter and year ended March 31, 2023.

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED
(Formerly Nava Bharat Ventures L td.)

VSN Raju
Company Secretary
& Vice President

Encl: as above.

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NAVA LIMITED
(Formerly Nava Bharat ventures Ltd.)

Q4 FY23 Conference Call

Event Date / Time: 25/05/2023, 11:00 Hrs.

CORPORATE PARTICIPANTS:

Mr. Ashwin Devineni, Chief Executive Officer
Mr. GRK Prasad, Executive Director
Mr. Nikhil Devineni, Senior Vice President
Mr. Sultan A. Baig, Chief Financial Officer
Mr. VSN Raju, Company Secretary & Vice President

MODERATOR :

Mr. Mohit Kumar – ICICI Securities

Nava Limited

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Moderator: Good day, ladies and gentlemen, I am Zico, the moderator for the conference call. Welcome to the Nava Limited Q4 FY23 Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you and over to you, sir.

Mohit Kumar: Thank you, Zico. On behalf of ICICI Securities, we welcome you to the Q4 FY23 Earnings Call of Nava Limited.

From the Management, today we have with us Mr. Ashwin Devineni – Chief Executive Officer, Mr. GRK Prasad – Executive Director, Mr. Nikhil Devineni – Senior Vice President, Mr. Sultan A. Baig – Chief Financial Officer, and Mr. VSN Raju – Company Secretary and Vice President.

Before we go on to the main call, I would like to read the standard disclaimer: There may be forward-looking statements about the Company and the subsidiaries, which are based on the beliefs, opinions and expectations of the Company's Management as on the date of this call. The Company does not assume any obligation to update their forward-looking statements if those beliefs, opinions, expectations, or other circumstances should change. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. Consequently, listeners should not place any undue reliance on such forward-looking statements.

With this, I will hand over the call to the management to take it forward. Over to you, sir.

Ashwin Devineni: Ladies and gentlemen, a very good morning to you all! I'm pleased to welcome you all to the investor call for Nava Limited and address you on behalf of the Board of Directors.

I am sure you all have gone through our "Press Release" on the website and on the stock exchange platforms presenting the financial results for the 4th quarter and year Nava Limited
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ended March 31, 2023. Allow me to highlight some key achievements from our performance.

Firstly, Nava Limited has delivered exceptional Financial Results for FY2023. We have achieved the highest ever income of INR 3,928 crores on a consolidated basis, which is a remarkable achievement in our industry. Moreover, our profit after tax for the year stands at Rs. 1,222 crores, showcasing the effectiveness of our strategies and the dedication of our team. This robust financial performance is a testament to the resilience and commitment of Nava Limited.

One of the significant contributors to our success has been the turnaround of our Zambia operations. Maamba Collieries Limited (MCL) has demonstrated its potential by achieving its highest power plant availability of 92% in the financial year 2023 since the commencement of power generation in 2016. Furthermore, (MCL) has made substantial progress in the debt repayment, having repaid overdue loan installments of US \$98.5 million by March 31st 2023, and an additional US \$49 million thereafter. To date, MCL has significantly reduced its long-term debt by US \$147.5 million and we anticipate the balance overdue long term debt of US \$59 million to be addressed in the near future.

The success of our Orissa based 150 MW power station and the robust performance of our manganese alloy business, particularly in H1 has also contributed significantly to

our consolidated performance. We have witnessed a positive momentum in our manganese alloy production with facilities in both Telangana and Odisha. Our firm contracts for raw materials and sales give us confidence in our ability to increase

volumes and drive future growth.

Looking ahead, Nava Limited remains confident in its ability to capitalize on emerging opportunities and overcome challenges in the industry. We are dedicated to delivering long-term value to our shareholders while providing innovative solutions and exceptional service to our customers. Once again, we would like to express our gratitude to all our investors and shareholders for their unwavering support and trust in the Company. We look forward to your continued partnership as we navigate the exciting path ahead. Thank you all and I wish to open the floor to any questions you may have. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Jatin Damania from Kotak Securities. Please go ahead.

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Jatin Damania: First question is on the payment that you are supposed to receive from the ZESCO. We were supposed to receive this payment in the month of August, however the same has been delayed and will receive in the month of December 2023 & 2024 in two parts.

So can you highlight the reason why the payment got delayed and is there any assurance from the ZESCO regarding this payment?

Ashwin Devineni: I think Mr. Damania, you're talking about the arbitration of award payments, right? so it was mentioned in the previous investor call that, we had a meeting with ZESCO where they expressed their difficulty in terms of paying the entire amount as a lump sum, and we have agreed to a specific payment plan with ZESCO and so far they have been adhering to that payment plan. The payment plan stipulates that, out of the total outstanding of US\$ 414 million, they would be paying about US\$ 234 million by the end of 2023 and the balance US\$180 at the end of 2024. And they've been adhering to that and they've been making all the payments on time.

Jatin Damania: So just because of the inability to pay in a lump sum, we have changed the repayment schedule?

Ashwin Devineni: Yes, they pay on a monthly basis certain amounts.

Jatin Damania: Are you receiving the amount in the escrow account or we are seeing a delay in that as well?

Ashwin Devineni: No, we have been receiving those monthly payments on time.

Jatin Damania: What is the quantum of that?

Ashwin Devineni: It's not a static amount, it differs month on month. They have put in some thought in terms of how they would gather funds and how the year would look like. So every month it is a different quantum. For example, last month we got US \$16 million from ZESCO.

Jatin Damania: The second question on the MCL, now we are operating at almost about more than 90% PLF and we have more about US\$59 million of overdue which we will be paying in the near term. So post that, I just wanted to understand what is the capital allocation because the majority of the overdue will be paid probably in this financial year looking at the cash flows, so is that the capital allocation strategy?

Ashwin Devineni: I think you said it right. Right now, out of 6 installments that were overdue, we paid US\$118 million and now the only overdue amount is US\$59 million, which equates to

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about two installments. We hope to clear that very soon. Once that is done, there are certain conditions as per our contracts with the lenders that we need to adhere to, such as debt plan and so on, but once that is done, then distribution will be allowed, and we hope to see that soon.

Moderator: Thank you. Our next question is from the line of Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Sir in the previous call, you mentioned your intention to expand power capacity in Zambia and also expand your ferrochrome business. So, have you come out with any concrete plans for the same?

Ashwin Devineni

: So with regards to Zambia, the interest to expand or requirement to expand has actually come from the government side given the energy crisis in the Southern African region.

So, we are in discussions with the government with regards to the expansion. And I will pass it on to Mr. Nikhil to talk about the ferro alloy expansion.

Nikhil Devineni: Were you referring to ferrochrome expansion in Zambia?

Nikhil Abhyankar: Yes, Zambia and in domestic market.

Nikhil Devineni: In Zambia, we have no plans to set up an alloys industry and in the Domestic market, we were producing ferrochrome for most of H1 and some part of H2. From 15th of December onwards, we have switched over from the conversion of ferrochrome for TSL to manufacturing of silico manganese. So currently both our units in Telangana and Orissa are producing silico manganese.

Nikhil Abhyankar: And we have stepped down on ferrochrome. Are we not producing that much?

Nikhil Devineni: No, we're not producing anymore.

Nikhil Abhyankar: Coming back to the Zambia expansion, what kind of size are we expecting to add over there? And again, will it be going through a global multilateral agency for the funding and all the financial tie-ups?

Ashwin Devineni: In terms of size, we would preferably like to replicate what we currently have, which is 2 * 150 which is 300 MW. And with regards to funding, we're exploring various options. One is talking to international banks, but also talking to the government if they can kind of extend a loan from their side. So all the discussions are underway.

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Nikhil Abhyankar: Any plans on Agri and basically I want you to paint a broad picture as to where do you see this Agri business in Zambia in next 5 years?

Ashwin Devineni: On the Agri side, we have been gaining large momentum. We have a large 10,000 hectare piece of land, out of which we've portioned a certain area for avocados and then we plan on using the rest of the areas for other crops. But on the avocado front, we progressed well. We are first targeting the initial phase of 275 hectares, which we plan on completing the plantations by the end of 2023. We are essentially looking at fairly high value crops such as avocado. We see a lot of traction being gained with avocado in the international markets because demand is increasing and supply is decreasing, but it takes time. We would expect the fruits from the first batch in 2026.

Moderator: Thank you. Our next question is from the line of S.G. Kankani from S.G. Kankani & Associates. Please go ahead.

S.G. Kankani: I am S.G. Kankani from Raipur. So my question is that in financial year 2021-22, the profit before tax was around INR 890 crores for which you made the tax provision of INR 276 crores. And in the financial 2022-23, the PBT is 1,264 crores and the tax provision is INR 130 crores. So what is the reason for less provision for tax in spite of higher PBT?

Sultan A. Baig: Good morning, Mr. Kankani, there are two factors. The overall consolidated tax provision consists of stand alone Nava and its subsidiaries. So in Nava Limited from this year onwards, we have shifted to new tax regime of lower taxation of 25%. That's why the tax on the Nava standalone front is lower. On the other subsidiaries, MCL, power sector enjoys a tax holiday and there has been some reversal of deferred tax assets and liabilities. That's why the overall tax provision is looking lower.

S.G. Kankani: No, sir, I am not talking about reversal of deferred tax. I am talking about PBT where if you say the calculation is made at 25% even this tax provision for year 2022-23 is just INR 130 crores that is roughly around 110%.

Sultan A. Baig: It is because of two factors standalone as well as consolidated. Standalone, it is standard at 25%. At the consolidated level, at MCL, there has been lower taxation

because of the tax holiday on the power sector.

S.G. Kankani: Sir, my second question is that in the consolidated financial statements, the receivables other than this non-current assets, I think presumably that non-current assets consists of dues from ZESCO. So in the current assets we have shown that, trade receivables have increased from INR 1,075 crores to INR 2,337 crores. There is increase of around

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INR 1,300 crores in the receivables. So in spite of ZESCO payments we are receiving back and debts have been shown under non-current assets. So what is the reason for increase in trade receivables which have shown in our current assets?

Sultan A. Baig: Earlier the classification of the receivables from ZESCO was under non-current. So it's only the change in classification from non-current to current. The overall receivable number from the ZESCO has significantly come down; firstly because of the payment

against the arrears . Second, because of the regular payments which is happening from May 22 onwards, there has been no increase in the monthly receivables.

S.G. Kankani: That is right, sir. I am talking about trade receivables, which have been shown under current assets. So that does not include dues from ZESCO . So the current assets receivables have gone up from INR1,075 crores to INR 2,337 crores. There is increase of around INR 1,300 crores. So I presume that ZESCO receivables are not included in current trade receivables. So what is the reason for increase in trade receivables under current assets?

Sultan A. Baig : That has been a transfer from non -current to current. The overall receivable number has come down but it's only classification difference from non -current to current because now we are considering the entire receivables from arbitration proceeds as current receivables.

S.G. Kankani: Sir, you have shown that INR 3,400 crores are still dues from ZESCO , so these payments are to be cleared in monthly installments as mentioned in the arbitration award ?

Sultan A. Baig : Yes, sir. Absolutely right.

Moderator: Thank you. Our next question is from the line of Falguni Dutta from Jet Age Securities Private Limited. Please go ahead.

Falguni Dutta: Sir, I have three questions. One is, what are the outstanding dues from ZESCO as on date, I mean as we speak ?

Ashwin Devineni : The current outstanding amount, it is US\$ 397 million right now.

Falguni Dutta: And sir, what is the loan outstanding at Zambia?

Ashwin Devineni: US \$ 265.5 million as on date.

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Falguni Dutta: And sir, one more question is on the power plant. Sir, why are we considering of the increase in the size of the power plant there even though, notwithstanding that there is a power crisis since our experience in terms of payment has been poor. So what gives us confidence in going ahead with the new expansion that you spoke of, 2 * 150 megawatts ?

Ashwin Devineni : One is there is a lot of demand. The second thing , is now we're also a member of the Southern African Power Pool . So it's not the experience with ZESCO has been poor in the past, but now we are a member of this Southern African Power Pool, we have another window where if we do experience a vast amount of defaults from ZESCO or we are not happy with the ZESCO's offtake, we can always resort to selling in the Southern African Power Pool grid, which is kind of an exchange. The other thing you have to keep in mind is the second phase is essentially like a no brainer because all the auxiliaries for 600 MW already exist.

Falguni Dutta: And sir one last question, this is just a clarification . In your notes to accounts , I saw some discount which was if I'm not wrong included in that figure of US\$180 million odd, so what was this discount provided for? If yes , in which year?

Sultan A. Baig : If you could

I'd recall , our overall outstanding dues from ZESCO when we have gone into arbitration was \$578 million and in the mutual discussions between ZESCO and us during arbitration, we have given them a discount of \$60 million. So this \$60 million doesn't hit the P&L because it has been adjusted against the existing provision.

Moderator: Thank you. Our next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Two questions from my side. First, I just need this clarification again. So if I'm not wrong, regarding payment plan, the money that has to come from ZESCO is around US\$ 397 million . How much would we get in FY23 and how much in FY24 or CY23 or CY24 ?

Ashwin Devineni : The total amount is US\$ 397 million . As per the plan, we should be getting USD 234 million by the end of calendar year ie. December 2023, not FY23 and USD 180 million by the end of calendar year 2024 ie. December 2024 .

Vignesh Iyer: And this payment would be on a continuous basis, means every month basis,?

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Ashwin Devineni : It is not a constant number. It is on a monthly basis and we have been getting it as we disclosed last month, they were supposed to pay a US\$16 million as per the payment plan and they paid us US\$16 million.

Vignesh Iyer: Yes, got it. so my other question is that, the power plant availability is at 91%, which

is quite high . What is the situation right now? I mean, after almost two months done in this quarter and how confident are we that we can maintain at this rate going ahead? Because that is your major chunk of business to your entire Nava consolidated?

Ashwin Devineni : No, I think owing to the team we have at Maamba who are operating the power plant, they've been doing an excellent job and hence the high availability. So apart from your usual planned shutdown and maybe one or two unplanned shutdowns, we're not facing any major issues there and we are confident that we will be operating it at high availability.

Vignesh Iyer: How much was the planned shutdown days or unplanned one in the Q4?

Ashwin Devineni : Annually, we basically operate at about 85%, that's the target.

Vignesh Iyer: But we did have some shutdown in the current quarter, right?

Ashwin Devineni : That is after taking into account the shutdown period. Q4 availability was 88. There have been no unplanned shutdowns. This is basically all planned.

Moderator: Thank you. Our next question is from the line of Jaitra Mayani from ICICI Securities.

Please go ahead.

Jaitra Mayani: And my question is that, what is the realization on merchant sale from the South Africa pool and what is the outlook on merchant sales for FY24?

Ashwin Devineni : I wouldn't like to get into details now with regards to how much we're making on the SAPP and ZESCO. The arrangements we have with the ZESCO is basically that, if they are not able to take power, they let us know and then we sell that in the Southern African Power Pool . But during the past few months, they've been taking 100% of the power , paying us for 100 % of the amount. So our SAP P sales have been fairly minimum in the past few months because of the fact that ZESCO wants and is taking all the power.

Jaitra Mayani: Can you give the break up of outstanding loans ?

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Sultan A. Baig : Outstanding long -term debt as on date is \$265 million . I mean this is for Maamba Collieries .?

Moderator: Thank you. Our next question is from the line of Kalpesh Agarwal from Lloyds LLP.

Please go ahead.

Kalpesh Agarwal: I would like to understand one thing. You know in the first line you have said that the Board of Directors considered that improved cash flow position at MCL merits a higher dividend payout. So want to understand that , are we getting cash flows remitted from Maamba to India? As early

as we had some kind of resistance from getting back the cash flows and even when we see the cash flow number, the consolidated cash bank balance remains same but stand alone has seen some kind of reduction in cash balance and though there is no CAPEX in standalone, so I just want to understand this anomaly and if you can guide us through ?

Ashwin Devineni : With regards to our dividend policy, we generally go with stand alone numbers. So what I meant by board of Directors considered a higher dividend is because of the turn of events from Maamba Collieries . The cash has still not come from Maamba to the Company , otherwise it would have been reflected in the standalone. Because what Maamba has been doing in the past few months is using the cash it has been generating to reduce the debt significantly. We've come down from \$483 million as of April 22 to now we are only at \$265 million and this happened essentially in the last 6 months. We almost paid off \$218 million of debt. What we foresee and what the directors foresee is now with this improved position and once we clear all the overdue payments of the lenders and meet the requirements after the loan agreement, we will be able to start distribution in the near future. So given that progress , I think we have agreed and recommended to pay 300%.

Kalpesh Agarwal: And one another question is that the cash flows we are generating, we are using it to primarily repay the loan as you said in Maamba. So over the period of time now we have something around INR 2,700 crores outstanding on a consolidated basis. And considering that you pay every 6 months, so I guess what kind of run rate you are expecting the kind of repayment?

Ashwin Devineni : It's not our intention to pay the entire loan before we start distributing. I think the issue here is there are overdue amounts with the lenders because previously there were 6 installments that were overdue once and today they're only two because we paid off 4 of them. So once we pay the other 2 and meet certain conditions that the lenders have put in the agreement, we will be parallelly in a position to basically start distribution

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while we continue paying off the debt as per the 6 monthly installments. So it would run in parallel. But the key thing here is to pay off the overdue amounts.

Kalpesh Agarwal: Because we are making around INR 800 crores yearly profit and I understand that cash profit will be significantly higher when it comes to Maamba because INR 100 million comes to INR 800 crores. So cash flow is something INR 1000 odd crores. So INR 1000 crores, how much percentage you can remit after meeting the conditions sir?

Sultan A. Baig : Mr. Agarwal, as our CEO pointed out about \$59 million we have to repay the outstanding lenders amount as and when we realize the receivables and post that, we have to fulfill the debt covenants like filling DSRA account so on. Post that the distribution window opens for Maamba Collieries to distribute dividends to the shareholders. Once the distribution window opens, that is when the dividend starts, Nava Directors will take a call to take upon the requisite corporate actions.

Kalpesh Agarwal: Yes, that I understood. What I'm trying to understand is that out of \$100 million yearly profit or say \$125 million cash profit, what internally the management will be able to remit after all taking everything you said right now?

Ashwin Devineni : This on a normative run rate, we would do get around 9,200 million cash in Maamba and as we see it, the repayment requirement is about 60 million a year. So this will continue till 2026. So balance money other than for keeping the office, we will hope to have distributions and we would be entitled for 65% thereof. That is how the plan should work. Once the overdue payments are done and we meet the loan covenants in the balance

of the year, we probably would be in a much better position to give you exact numbers and how it pans out.

Kalpesh Agarwal: So round about we are working, with \$20 million that accounts to 1,700 crores which will be comfortable number.

Moderator: Thank you. Our next question is from the line of Vijay P, Individual Investor. Please go ahead.

Vijay P: I have a question about the dividend. You're paying out INR 80.5 crores as dividend this year, which works out to 25% of your stand alone profit as per your stated policy of 25% outgo. But if you look at the consolidated profit, it is 5.3%,

Sultan A. Baig : The dividend payout this year is slightly higher. If you would recall in our history, we've been generally paying about 20% to 23% of stand alone part as a dividend. But

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this year, if you take into consideration the INR. 6 dividend which is working out to INR87 crores, it is about 27% of the PAT on the stand alone basis.

Vijay P: Why are we distinguishing between standalone and consolidated when the difference is so much. Standalone profit is only INR 322 crores. The consolidated profit is INR1,518 crores.

Ashwin Devineni: The reason we differentiate is because there is a difference in terms of the cash on hand, the Company has to distribute dividends from the stand alone. Once the consolidated operations start distribution or declaring dividends to the parent Company, it will come to the parent Company and reflect on the stand alone numbers. So basing it as a percentage of the consolidated profits would not make sense for us because that wouldn't be cash that would be available to distribute.

Vijay P: Just for the clarification the 2-3 managerial representatives of the board get 2% of the net profit of the Company as commission. Is this 2% also paid on standalone and not on consolidated?

Ashwin Devineni : Yes, it is paid on stand alone.

Vijay P: I'm moving to the next question that, what is the status of the manganese mine in Ivory Coast? When is it going to come on the line?

Nikhil Devineni : The exploration works are underway. Prima facie what we have seen that, there is a presence of manganese. Probably by H2, we will be able to ascertain in terms of what the probable reserves are as well as the suitability of the ore for producing manganese alloys.

Vijay P: So the manganese ore mine is still not on production. It's still on exploration.

Nikhil Devineni: Correct.

Vijay P: The second question I had was about the monetization of assets that has been there on the card for more than 2-3 years. The latest one is the land at Nacharam where we are employed the services of JLL.

Ashwin Devineni : So with regards to Nacharam land like you rightly said we had engaged JLL. What has happened since then is you probably remember there was a Urban Land Ceiling matter

that we were fighting in court which we won. The government has appealed that judgment which is going to be admitted in the High Court and due to that , the offers of Nava Limited
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the interest we have been getting were slightly subdued. And in addition to that, what we have been realizing is in Nacharam, the land prices, the valuations have been increasing at a very drastic pace. So what we have decided is to kind of pause the activity of selling it right now and probably resume it at a later point in time when we get a much better valuation.

Vijay P: But is the land currently sal eable since the government has gone on appeal ?

Ashwin Devineni : We consider that appeal to be vexatious,

Moderator: Thank you. Our next question is from the line of Nikhil Abhyankar from ICI CI Securities. Please go ahead.

Nikhil Abhyankar: What were the merchant sales in India? And how is the trend in the last 2 months ie. April and May?

GRK .P rasad : You're talking of power ?

Nikhi

I Abhyankar: Power.

GRK .Prasad : In Q4, much of the prices weren't that great where we were getting really kind of margin that we were expecting over the variable cost of coal. But we see a clear uptick from April onwards. And so Q1 of the current financial year , we see a much better performance in terms of merchant power sale. Though we cannot put a number out now, but a better performance is definitely there.

Nikhil Abhyankar: And sir just a final question, any up date on Hyderabad or Dharmavaram landings?

GRK .Prasad : Our CEO has just covered it, but on Dharmavaram land, I will leave it to him.

Ashwin Devineni: On Dharmavaram land, there has been no progress. I don't think that's something we are concentrating on right now to liquidate because valuations are fairly low there. But on the Hyderabad land , I just did communicate that there is an appeal on the ULC matter and also given t he trend of prices moving upwards with regards to that area, we want to hold it. So we get a better valuation in the future.

Moderator: Thank you. Our next questio n is from the line of Falguni Du tta from Jet Age Securities Private Limited. Please go ahead.

Falguni Dutta: Sir, one question from my side again. Sir, what is the volume of our merchant sales let's say in FY23 in a million units?

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Ashwin Devineni : You're talking about power, right?

Falguni Dutta: Yes sir.

Sultan A.Baig : 580 million units.

Falguni Dutta: And Sir, this number is constant through each of the years or it undergoes a change

Sultan A.Baig : It changes depending upon the market condition s.

Falguni Dutta: Then the sales volume also changes ?

Sultan A.Baig : Yes.

Falguni Dutta: In case if we don't sell it to the merchant market, Do we enter into some agreements with anybody ?

Ashwin Devineni : We have been doing this merchant sale through IEX mostly excepting for some contracts which are for a month or two kind of a time frame, but otherwise it's been mostly on I EX sale. So as my colleague pointed out, the volumes keep changing depending on how the merchant power prices behave vis-à-vis our cost of generation.

Falguni Dutta: One more question is what is volume of our sales in India

Sultan A. Baig : It is 1,230 million units, captive as well as third party sales .

Moderator: That was the last question of our question and answer session. I would now like to hand the conference over to the management for closing comments.

Ashwin Devin eni: I'd like to thank each and every one of you for your earnest participation in today's call. Thanks to all of you for your unwavering support once again, and I hope for all your questions have been answered. In case you have more questions, please reac h out to us on a wider Investor Platform and we'll be happy to provide our answers . Thank you everyone.

Moderator: On behalf of ICI CI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: 1. This document has been edited to improve readability

2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

NAVA /SECTL / 239 /2023-24
August 10 , 2023

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051
NSE Symbol: 'NAVA'
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Dalal Street
MUMBAI – 400 001

Scrip Code : '513023' / 'NAVA'

Dear Sirs,

Sub : Transcript of Conference Call.

Ref : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
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Please find enclosed the transcript of the Conference Call with Investors /Analysts held on August 07 , 2023 on the operational and financial performance of the Company for the quarter ended June 30 , 202 3.

This is also available on the Company's website at www.navalimited.com/financials/

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED
(Formerly Nava Bharat Ventures Ltd.)

VSN Raju
Company Secretary
& Vice President

Encl: as above.

Nava Limited Q1 FY24 Earnings Conference Call - 1 - 07/08/2023

Nava Limited
(Formerly Nava Bharat ventures Ltd.)

Q1 FY24 Earnings Conference Call

Event Date / Time: 07/08/2023, 11:30 Hrs.

CORPORATE PARTICIPANTS:

Mr. Ashwin Devineni, Chief Executive Officer
Mr. Nikhil Devineni, Senior Vice President
Mr. Sultan Baig , Chief Financial Officer
Mr. VSN Raju , Company Secretary and Vice President

MODERATOR

Mr. Bharat Jain -ICICI Securities Limited

Nava Limited Q1 FY24 Earnings Conference Call - 2 - 07/08/2023

Moderator : Good morning, ladies and gentlemen. I'm Vidya, moderator for the conference call. Welcome to Nava Limited Q1 FY24 Earnings Conference Call.

As a reminder, all the participants will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call please signal an operator by pressing * then 0 on your touch -tone telephone. Please note that this conference is recorded. I would now like to hand over the conference to Mr. Bharat Jain from ICICI Securities Limited. Thank you, and over to you, sir.

Bharat Jain : Thank you. On behalf of ICICI Securities, I welcome you to the Q1 FY24 earnings call of Nava Limited.

From the Management today, we have with us Mr. Ashwin Devineni -Chief Executive Officer, Mr. Nikhil Devineni -Senior Vice President, Mr. Sultan A.Baig - Chief Financial Officer, and Mr. VSN Raju - Company Secretary and Vice President.

With this, I will hand over the call to the management to give their opening remarks. And after that, we'll open it up for Q&A. Thank you and over to you, sir.

Ashwin Devineni : Thank you, everyone, and greetings to all on the investors call. Thank you for joining. I'm delighted to put forward the impressive financial results of Nava Limited for the quarter ended 30th June 2023. We have once again achieved several remarkable milestones reinforcing our position as a leading diversified conglomerate in metals, energy, mining and emerging business. On a consolidated basis, we've reached our highest ever quarterly EBITDA of INR 572.4 crore and a profit of INR 342.7 crore, a testament to our strong

performance. Despite challenges in the metals division, our Company continued the trend. Notably, Maamba Collieries Limited (MCL) achieved significant milestones including the repayment of an overdue loan of INR 890 crore, which relates to US\$108 million, clearing the entire overdue loan.

MCL made substantial progress in reducing receivables under the arbitration award. The due amount now stands as INR 2,735 crore against the total of INR 4,763 crores. MCL also gained an impressive 95.2% plant availability, contributing to exceptional financial performance and improved cash flows. The mining

division saw a turnaround in external coal sales due to effective marketing efforts. Looking ahead, we anticipate MCL to realize the balance receivables from ZESCO as per the agreed payment plan.

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Our energy segment maintains its impressive momentum achieving the remarkable 31.6% growth in revenue compared to the previous quarter driven by improved operational performance in Orissa and Telangana power plants.

While our Manganese Alloys business faced challenges due to weak demand in the export market, we actively explored new market opportunities to drive sales growth. On the other hand, the Energy division significantly improved its operational and financial performance during the quarter offsetting the lower revenue in the Ferro Alloys division. Overall, our consolidated revenue reflects sustainable growth with healthy increases in both EBITDA and profit before tax. I extend my gratitude to our dedicated team and value stakeholders and shareholders for their unwavering support. Nava Limited remains committed to delivering exceptional performance and creating sustainable value for all stakeholders. Given the above, we would like to proceed with a question-and-answer session and request you all to seek clarification as you may desire. Thank you.

Q&A

Moderator : Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. The first question comes from Srikrishna Agarwal, an Individual Investor. Please go ahead.

Srikrishna Agarwal : First of all, I congratulate the management of the company for their excellent financial performance. I have two questions. The first one is that the company is having INR 414 crores of cash and cash equivalent. So, what are the plans for the utilization of this cash balance?

My second question is, you have a vast experience in your business of this ferro alloys. This division is not doing well. So, what is your future outlook about this segment?

Mr. Sultan A.Baig : Okay. Thank you, Mr. Agarwal. Coming to the first question of the cash available in the Company. So, the cash will be utilized partly for distribution and partly for future growth prospects.

Nikhil Devineni : Mr. Agarwal, let me answer your second question. As you rightly pointed out, the ferro alloys industry is going through a challenging time. We witnessed a drop of prices to the extent of almost 15% on a quarter-to-quarter basis. Having said that India is turning out to be a bright light in terms of both steel production as well as ferro alloys production. This particular quarter we have surpassed Japan to be the

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seco

nd largest producer of steel. Now, going forward we project that, post the monsoon seasons, we would see a revival in terms of finished goods prices. This is primarily because of the construction sector, which accounts for almost 60% of steel consumption. That particular sector is right now going through a loss, but the post monsoon we see that the sector will be revived. And as a result, that would have a positive impact even on the ferro alloys' prices.

Srikrishna Agarwal : Thank you, sir. Thanks a lot for the detailed answer.

Moderator : Thank you, sir. The next question comes from Jatin Damania from Kotak. Please go ahead.

Jatin Damania : Sir, just wanted to check the last proceeds that we received from MCL, was US\$60

million. Have you received any further proceeds on the arbitration amount?

Ashwin Devineni : Mr. Damania, we received, like you rightly said US\$60 million, post that they're essentially paying us based on an agreed monthly plan. So, every month we receive a different amount based on the plan. So, after the US\$60 million we received \$5 million more from ZESCO in relation to the arbitration award.

Jatin Damania : That was probably during the month of June. So, any money which is due in the month of July and August?

Ashwin Devineni : Yes. July, the amount is actually \$40 million that we are to receive. And what we hear from the utilities our payment is being processed. Today is of course it's a public holiday there, but we expect to get that sometime during this week.

Jatin Damania: Yes, sir, that's a good amount. But, now since the major overdue which we hardly paid in the last quarter, post this I just wanted to understand the capital allocation policy and as a Company have we framed any roadmap in terms of expansion in Zambia and the ferrochrome in the domestic business?

Ashwin Devineni : Yes, so firstly, with regards to the amount. Although we have cleared the overdue amount, there are still certain conditions and requirements that we need to meet prior to us being able to start distribution. So, the Company is currently working hard to meet those conditions so that the vendors permit distribution. Once distribution is permitted, then that money comes to the parent Company and could be used for various actions with regard to plans on how to utilize the money. Firstly, I think we're looking to reduce our debt. Secondly, we're looking at funding a lot of our growth plans. In terms of our growth plans, we're looking at expanding in Zambia with another phase, discussions on Phase 2 for another 300 megawatts are currently underway with the government and the relevant authorities.

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In Ivory Coast, we are looking at expanding our metals business. Currently, we are conducting exploration activities on manganese mines there. And there is a possibility we could even set up a smelter. And apart from that, we are also investing in other emerging sectors such as agriculture, our avocado projects in Zambia is also going well. So, funding all those would be a priority. And then post that we will definitely look at taking corporate actions to improve shareholder value.

Jatin Damania: We'd like to see that various growth projects are there in the pipeline. But what is the amount that we'll be actually spending across this like Zambia Phase 2, in Ivory Coast and the agriculture? Any broad roadmap? And how do you see the avocado business turning out further in the next five years?

Ashwin Devineni : Okay. So, there are two different questions. Let me start with the avocado business. The planting is already being done. We expect fruits to be born in the year 2026, we're covering

about 1,150 hectares of land. That is with regards to the avocado project.

Sultan A. Baig : Mr. Damania, for avocado project for the next four years the additional plantation, we anticipate to fund about US\$30 million to US\$40 million, that's on the agriculture side.

Jatin Damania: And, sir, what about Zambia and Ivory Coast? Have you drawn any roadmap or it's still under discussion phase?

Ashwin Devineni : In terms of the total project cost we're estimating it to be around US\$450 million for the Zambia Phase 2. And in terms of the Ivory Coast project we're estimating a total project cost of about US\$80 million.

Jatin Damania: Thank you, sir. Thank you for the answer.

Moderator : Thank you, sir. The next question comes from Vignesh Iyer from Sequent

investments. Please go ahead.

Vignesh Iyer: Thank you for the opportunity. Just want to understand the receivable side. What is the outstanding receivable we would be having by the end of Q4FY24? What is our internal target to get the money from MCL?

Sultan A.Baig : Mr. Iyer, if you recall the total outstanding from ZESCO was US\$517 million against that current outstanding as on the case it is only \$332 million. From this

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\$332 million the end of the calendar year we anticipate to recover about US\$150 million.

Vignesh Iyer : Sir, you mean to say another US\$150 million by quarter four FY24, right?

Sultan A.Baig: No. Another US\$152 million by end of December 2023 and balance US\$180 million in the calendar year 2024.

Vignesh Iyer : Okay, I got it. Thank you, sir. That's all from my side.

Moderator : Thank you, sir. The next question comes from Falguni Dutta from Jet Age Securities Private Limited. Please go ahead.

Falguni Dutta: Good morning, Sir, just to clarify as regards our current billing, we are getting everything from ZESCO. So, there are no monthly overdue that are occurring, right?

Ashwin Devineni : Yes, correct. From May 22 we've been receiving the payments in full without any overdue.

Falguni Dutta : Sir, if you could broadly just directionally give us an idea how is this ferrochrome, manganese division doing for the current quarter versus the previous quarter? Is it same? Is there some improvement? Or has it gone even bad?

Nikhil Devineni : As I mentioned, we have seen a dip in prices to the extent of almost 15% on a quarter -to-quarter basis. But having said that, we also find that the raw material prices in this case being manganese ore, which accounts for the bulk of your costing has gone to historical low levels. So, I think we could also be better positioned to tackle the market, given these low prices.

Falguni Dutta : Okay. Thank you. My last question would be, in how many years' time, given we have spelled out various expansion plans and in how many years' time do we expect to get some dividends from the money repatriated from Africa?

Ashwin Devineni : We are hoping it's not years and it's just months. Like I said there's a lot of light at the end of the tunnel now. Payments are current, ZESCO is also meeting with its arbitration payments as per schedule. So, I think once we meet these conditions laid out by the lenders, we will be in distribution. So, we're hoping that it's going to be sooner rather than later. Although we have expansion plans, it's not that we're going to utilize 100% of the money for the expansion, we definitely will be starting distribution.

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Falguni Dutta : Thank you so much, sir. That's all from my side. Thank you. All the best.

Moderator : Thank you, sir. The next question comes from Dhruv from Shree Info. Please go ahead.

Dhruv: Hi. I just wanted to understand on the CapEx that we plan to do in Zambia power plant. What could be the timeline for it? And what would be the equity and debt allocation that we look at out there?

Ashwin Devineni : So, in terms of the Phase 2 expansion, the capacity we're looking at is identical. It's another two -times 150, which is 300 MW. We're still finalizing numbers, but the expected project cost is approximately US\$450 million. And with regards to timelines, once we commence, once we receive the financial closure and commence the project, we anticipate about two -and-a-half years. It's a fairly optimistic timeline, but we are fairly confident we'll achieve it.

Dhruv: Secondly, on the broad base capital allocation. We are looking at a lot of activity in infrastructure CapEx cycle in India and everything including mining and other metals as well. So, are we not finding any opportunities in India on an IRR basis or is there any strategic decision to go ahead and look at Africa as a place where we would like to expand?

Ashwin Devineni : No. I think as a Company, we're always looking at opportunities everywhere. In fact, we've prioritized our opportunities when they come up if they are within the Indian subcontinent. But we do balance risk and reward. At the end of the day, while there are opportunities, there are a lot of risks to as long as, if you do not have security on the raw material, for example, there's a lot of risk you take. So, we're always open to expand in India, when the right opportunity arises.

Dhruv: The third question is on the Indian power operation. So, what we understand is that we don't have PPAs and we have the benefit of selling it out there in the open market. And given that India is facing a deficit, we should be able to get a good rate of return on the power as we are able to sell in open market. Is it true? And usually during the summer months, we would be able to get that. So, have we got that bump up in this particular quarter? Because from the results it was not too clear.

Ashwin Devineni : No, we definitely have gotten that bump up. I think one of the benefits of trading in the open market is when prices are high and that is seasonal, we do take advantage of it. Whereas one of the negatives is when prices are low, when there is heavy rains, you don't do that well. But if you look at our results on the power sector, we have posted extremely good results both from Telangana side and from the Odisha side.

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Dhruv: Okay. And are we looking at any sort of further expansion in the power space ? Because that's forms a very small component of our total mix. So, are we looking at exiting it or are we intend to deploy further capital to set up new capacities or it will be as it is?

Ashwin Devineni : No. I think on the power side, the largest challenge we face is essentially coal. The coal prices here are just increasing exponentially. Whereas the power tariffs are not increasing at the same rate. Therefore, it's kind of a crunch in terms of generating at a low cost. Therefore, I don't think we are looking at expanding on the coal fire power plants side in India.

Dhruv: Okay. And just one thing, are we looking at any strategic partner in our avocado business in Africa? Or it will be just the us to unlock value or anything on that front?

Ashwin Devineni : The avocado is a new business for us. Fortunately, things are going well, things are progressing well with the plantation. There has been a lot of interest from other players to do with our avocado project, but we are going to be selective. And we'll always be open for partnerships but that will only be evaluated in due course.

Dhruv: Okay. And what sort of metals are we looking at in the Ivory Coast or country that does have a future capital allocation?

Ashwin Devineni : One is, we currently have in exploration works going on in, a manganese ore mine. And in addition to that, that being the main raw material for silico manganese production, we are looking at setting up a smelter there, which would, enable us to have extremely good cost control because of the backward integration. And also opens up the new markets for us. Particularly in North America and Europe, which are extremely close to Ivory Coast in terms of proximity.

Moderator : Thank you, sir. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. The next question comes from Aditya Shrimal from PCS Securities. Please go ahead.

Aditya Shrimal : Hi, congratulations on a good set of numbers. I had a couple of questions. One was on the power demand. How is the power demand currently in Zambia and which are the industries driving this growth? I also wanted to know how much of this demand is linked to copper mining.

Ashwin Devineni : So, in terms of the power demand, the way we look at it is not only in Zambia, we look at it as Zambia and its neighboring countries, which is the southern part of Africa. And it's extremely high. I mean probably of what's going on in South Africa

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with a shortage of power, more than four or five hours of power cuts every day. Zambia is a country exports power too. They almost export about 400 MW to all its neighboring countries. And within Zambia, you rightly said, the largest demand comes from copper production. But then, if you look at the neighboring countries like Congo and so on too there's a high demand from the copper industries there. And now a lot of these industries are also expanding, and there's no new power coming. So, the demand is good currently, and we look at the demand are only increasing in the years to come. And that's what's leading us to seriously consider expanding.

Aditya Shrimal : Okay, got it. So, as a percentage, would you be able to quantify how much of goods it would come from copper production?

Ashwin Devineni : No, I can't.. Because from us at the end of day we're committed 100% to the utility. It's up to the utility to determine how much is going to the copper industries and how much in the export. But I think from the latest numbers, we export about 400 MW. And from what we hear from them, there's still a lot more demand in terms of neighboring countries.

Aditya Shrimal : Alright, sure. Got it.

Moderator : Thank you, sir. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. The next question comes from Viraj Mahadevia, an Individual Investor. Please go ahead.

Viraj Mahadevia: Hi, congratulations on making progress. Question to you sir, regarding your Zambia expansion Phase 2 plan. Given that you have already been scarred in Zambia, and I know, that's on a path to recovery. How do you feel about the certainty of ramp up and payments coming in, and how do you de-risk yourself on that?

Ashwin Devineni : So, I mean we still feel the scars. We've learned what to do different this time. So, we've taken that all into account. So, the way that we would be structu

ring Phase 2

would be very different from the prior phase, where risk would be mitigated through certain requirements from our side. And I think we'll implement all those before we embark on Phase 2.

Viraj Mahadevia: So, requirements in terms of the ZESCO, is the local utility or you have these commitments before going ahead with your CapEx plan or before you commence supply after CapEx is complete?

Ashwin Devineni : No, I'm talking about how we get the funding, what those conditions are. In terms of, is it external funding or is it funding from the government itself, which would

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be a huge part of the risk. So, these are the various things. I don't want to get into too much of detail right now, just because it's premature, but that's something we are looking at very seriously.

Viraj Mahadevia: Yes. The idea is to just create some wiggle room for eventualities, right, things going wrong. So, you don't land up in a similar situation again. Secondly, you have the option, obviously, of supplying to the South African power pool, from what I understand. So, that is a natural mitigant?

Ashwin Devineni : Yes, that's true. Because at the end of the day, the same utility is unable to pick up the power, we can sell it to the Southern African power pool.

Ashwin Devineni : In fact, for the couple of months we were selling a certain amount of power, but then after that ZESCO has been taking 100% of power.

Viraj Mahadevia: Right. I mean, given your level of performance at INR 2,000 -plus-crore EBITDA, you're tracking with your debt coming down. Your share price still seems to be severely undervalued. What steps do you see yourself taking, including in particular buyback as these cash flows improve leverage comes down? Is that something you're considering?

Ashwin Devineni : No., I think as we rightly said we're in a very good financial position. I think one of the reasons we've is because of the strategies we've had, the risk we've taken. Now, in terms of the share price, I don't want to comment too much, because that's not what how we run. But, yes, once we reduce our leverage, once we start getting the money back, we definitely would look at certain corporate actions that would improve shareholder value and buybacks is one of them.

Viraj Mahadevia: Excellent. All the very best. Thank you.

Moderator : Thank you, sir. The next question comes from Vishesh Jain, an Individual Investor . Please go ahead.

Vishesh Jain : Could you please give an indication of ROI or ROE that you would expect in this incremental US\$450 million power plant investment? Is there some internal benchmark on that investment that you are targeting?

Ashwin Devineni : I think currently it's a little too premature to discuss that because we've not even finalized the total project cost and that's still in, its under discussion. And all that would also relate to the tariffs that we would be signing up with the utilities. So, all those are still in the negotiation phases. So, I think it's a little too early to talk about your return on investment now.

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Vishesh Jain : Would there be a threshold that you would have in mind?

Ashwin Devineni : No, we have certain benchmarks always. But, I don't think we want to put out those numbers at this stage. But definitely I think it's something that we would be looking at. We are investing in Zambia. And at the end of the day, we have gone through a certain experience with Phase 1. So, taking that into account we would definitely look at the optimistic return on investment.

Vishesh Jain : Thank you.

Moderator : Thank you, sir. The next question comes from Anant Sarda from Chhattisgarh Investment Limited. Please go ahead.

Anant Sarda: Sir, congratulations for the result. First of all, I want to ask an accounting question. So, you know that we have taken some allowances of expected credit loss, right, and we're reversing it right now. So, for example, in this quarter we have reversed on INR 92 crore expense that we had taken in the past. Do you have any kind of schedule or something, where will you reverse the remaining INR 300 -odd-crores?

Sultan A. Baig : Yes, Mr. Sarda, you've sorted it up correctly. We have reversed US\$11.3 million in the current quarter. If see this is in proportionate to the amount that we have recovered from ZESCO. As and when we receive the arbitration proceeds we'll reverse the proportionate ECL in the books on a progressive basis.

Anant Sarda : Okay, sir. And also, one other thing that I read that Telangana government was giving you some issues with selling in the open, I think, in the IEX, and you had to go through the High Court route. So, is that being sorted?

Ashwin Devineni : Yes. Essentially the SLDC has been rejecting all the applications, it's not just us, but any power producer here to export power and it's just the usual thing where we can go to court and get approval for open access. So, that has been sorted and as we speak, we are exporting today.

Anant Sarda: Thank you, sir. All the best.

Moderator : Thank you, sir. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. We have a follow up question from Falguni Dutta from Jet Age Securities Private Limited. Please go ahead.

Falguni Dutta : Sir, what would be our sales volume for power in India excluding captive consumption, for the quarter?

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Sultan A. Baig : 213 million units.

Falguni Dutta : This is all combined. Can you give me any one either Telangana or Odisha so that I can know the other ones out of this 213?

Sultan A.Baig : We will revert back to you, Mr. Falguni.

Falguni Dutta : Okay, fine, sir. No problem. Thank you.

Moderator : Thank you, sir. We have a follow up question again, from Aditya Shrimal from PCS Securities. Please go ahead.

Aditya Shrimal : My question was regarding the Nacharam land. Over there the real estate market is a little weak right now. So, are we open to development there compared to selling it outright?

Ashwin Devineni : No, we are open for various options. But right now, that's not a priority for us. The reason being is the market prices have been going up in that area. And we do see that in the near future there is going to be a significant growth at least looking at the momentum. So, I don't think we're in a hurry. I think when the time is right, we will look at other opportunities in terms of either developing the land or possibly an outright sale.

Aditya Shrimal : Alright. And I had another question. Are there any funds due from our Singapore subsidiary to Nava India?

Sultan A.Baig : There is no outstanding dues from Singapore subsidiary to Nava India.
Aditya Shrimal : Okay.

Moderator : Thank you, sir. Ladies and gentlemen, if you have any questions please press * and 1 on your telephone keypad. Next question comes from Nikhil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar: Thank you, sir. Thanks for the opportunity. So, I just wanted to know what is the status of receivables from Maamba?

Sultan A . Baig : Mr. Abhyankar, if you read our press release, we've recovered about US\$60 million in the month of June subsequently we realized another US\$5 million. So, as of now, overdue amount still to be recovered is US\$332 million.

Nikhil Abhyankar: Okay. And sir, have you started selling power to the African pool from Maamba?

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Ashwin Devineni : So, we did that for two months. But the way it works is that prior to every month ZESCO, which is a state utility indicates if it wants all the power. So, for the past few months, ZESCO has been taking all the power. So, in the event, they say we don't want to take all the power, then we have the opportunity to sell the remainder of the Southern African power pool.

Nikhil Abhyankar: Okay, for two months you have done it in the previous quarter.

Ashwin Devineni : Not previous quarter. This is a little while ago. This is last year.

Nikhil Abhyankar: Okay. And sir, what is the outlook on ferro alloys? Because QoQ, YoY we have made an EBIT loss over there so?

Ashwin Devineni : As you may be aware these ferro alloys industry is critical in nature. For the past last two financial years, we had a very good run. And currently we were witnessing a downturn wherein prices were fallen close to 15% QoQ. But having said that, with the monsoons approaching, there is historically been a null, in terms of steel consumption, because particularly the construction sector, which accounts for 60% of steel is right now on a downturn. So, we believe that from Q3 onwards, we should see a revival in the ferro alloys industry.

Ashwin Devineni : So, to add to that, I think one of the major milestone for this particular quarter was that India has surpassed Japan to be the second largest producer of steel. So, now that even our Odisha unit is producing silico manganese, we are in a better position to capture that increased market share going forward.

Nikhil Abhyankar: Okay, sir. Wish you all the best going forward. Thank you.

Moderator : Thank you. So, ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. We have a follow up question from Anant Sarda from Chhattisgarh Investment Limited. Please go ahead.

Anant Sarda: Sir, do you see any kind of currency risk? I mean, is your PPA in dollar terms or is it in the rupee in quarter?

Ashwin Devineni : It's all in dollar terms. Our PPA is in dollar terms, even the coal sales that we make are in dollars. So, there's no currency risk there.

Anant Sarda : Sir, what is your debt repayment strategy? So, are we paying all the loans upfront or you've repaid by the schedule? What is the outstanding loans in the MCL?

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Ashwin Devineni : We have both the options. We're current on our payments right now. The next payment is due in September. So, we have the option to prepay if we deem fit and we will evaluate that basically.

Anant Sarda: Okay, sir. let's say that if Zambian government or ZESCO still fails to pay or there's some kind of issue, I thought that there's some kind of issue after the arbitration. So, does the insurance cover the outstanding loans if the Zambian government fails to pay again?

Ashwin Devineni : No, it's a lot more complicated than that, in terms of. Some of the commercial banks have insurance cover, whereas the developing banks don't, that's on the lender side of things. But in the event,

if the utility ZESCO fails to pay there are various actions we can take. Both under the arbitration award and secondly, with regards to the agreement that they have.

Anant Sarda: Okay. Thank you, sir.

Moderator : Thank you, sir. That will be the last question for the day. Now, I hand over the floor to the management team for the closing comments. Over to you, sir.

Ashwin Devineni : Thank you very much, everyone, for your participation in the discussion. I hope we have addressed all the queries adequately. If there are any questions of

applications that remain unanswered, please get back to us, and we'd be happy to provide answers on a wider Investor Platform. Thank you very much.

Moderator : Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation, and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good day everyone.

Note: 1. This document has been edited to improve readability
2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: Nov 2023

NAVA /SECTL / 390 /2023-24
November 16, 2023

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051
NSE Symbol: 'NAVA'
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Scrip Code : '513023' / 'NAVA'

Dear Sirs,

Sub : Transcript of Conference Call.

Ref : Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
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Please find enclosed the transcript of the Conference Call with Investors /Analysts held on November 10, 2023, on the operational and financial performance of the Company for the quarter and half -year ended September 30, 2023.

This is also available on the Company's website at www.navalimited.com/financials/.

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above.
Nava Limited 10.11.2023
Q2 FY24 Results Conference Call
Nava Limited
Q2 FY24 Results Conference Call

Event Date / Time: 10/11/2023, 11:00 Hrs.

CORPORATE PARTICIPANTS:

Mr. Ashwin Devineni, Chief Executive Officer
Mr. GRK Prasad, Executive Director
Mr. Nikhil Devineni, Senior Vice President
Mr. Sultan A Baig, Chief Financial Officer
Mr. VSN Raju, Company Secretary and Vice President

MODERATOR

Mr. Mohit Kumar - ICICI Securities Limited

Nava Limited 2 10.11.2023

Q2 FY24 Results Conference Call

Moderator : Good morning, ladies and gentlemen. I'm Pelsia, moderator for the conference call. Welcome to Nava Limited Q2 FY24 Results Conference Call hosted.

As a reminder, all participants will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar from ICICI Securities. Thank you and over to you, sir.

Mohit Kumar : Thank you, Pelsia. On behalf of ICICI Securities, I welcome you all to the Q2 FY24 earnings call of Nava Limited.

We have with us, Mr. Ashwin Devineni, Chief Executive Officer; Mr. GRK Prasad, Executive Director . Nikhil Devineni, Senior Vice President; Mr. Sultan A Baig, Chief Financial Officer; and Mr. VSN Raju, Company Secretary and Vice President.

With this, I'll hand over the call to the management for a brief opening remark, which will be followed by Q&A. Thank you and over to you, sir.

Ashwin Devineni : Thank you, Mohit. A very good morning, ladies and gentlemen. I would like to extend a warm welcome to all of you for joining the investor call today. I'm truly delighted to share with you some remarkable highlights from our recent performance. Nava Limited has demonstrated extraordinary financial growth and resilience in the first half of 2023 . One of the most significant achievements has been the reduction of our consolidated long -term debt, by an astounding 70% YoY . This has strengthened our financial position and reflects our commitment to sound financial management.

In a testament to Nava's strategic vision and resilience, our operational revenue and profit after tax saw impressive growth, with a 24% and an 8% increase respectively in the corresponding quarter. This remarkable performance can be attributed to the improved operations of Nava Bharat Energy India Limited (NBEIL) and Maamba Collieries Limited (MCL), which played a pivotal role in sustaining our growth.

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Q2 FY24 Results Conference Call Despite challenges in the metal division, Nava Limited sustained its financial performance with a total revenue of INR 961.8 crores, and a profit after tax of INR 193.2 crores on a consolidated basis. We are making good progress in the maintenance activities at the ferro alloys plant in Odisha with the expectations of it becoming operational by December 2023. Our commitment to sustainable growth and innovation is evident from the remarkable 21% YoY revenue growth in the Energy segment driven by operational excellence in the 150 MW power plants in Odisha and Telangana.

Moreover, we have achieved a significant milestone by becoming entirely long-term debt free in our Indian operations and we are well on our way to achieve the same for MCL in the coming months. The successful clearance of long -term debt not only signifies our financial prudence, but also positions us for even greater success and value creation for our stakeholders. We remain unwavering in our commitment to growth, innovation, and financial prudence. I look forward to discuss our financial results in more detail in addressing any questions or comments you may have. Thank you very much.

Q&A

Moderator : Thank you, sir . Ladies and gentlemen, we will now begin the question - and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask a question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if you have any question, please press * and 1 on your telephone keypad. The first question comes from Mr. A M Lo

dha
from Sanmati Consultants. Please go ahead.

A M Lodha : Good morning. As far as financials are concerned, the Company has repaid the long -term loan and even prepaid the loans after paying the required amount of the charges to the banker. So, my question is that, the MCL 's loan was INR 2,700 crore and you have repaid INR 1,641 crore till September. So, INR 1,059 crore is still payable to the MCL lenders for the project loan. Can we expect this loan to be cleared by March 2024, sir?

Ashwin Devineni : Mr. Lodha, I think, we are endeavoring to clear our long -term debt on a consolidated basis as soon as possible. And our efforts will be on to clear everything before the end of this financial year.

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Q2 FY24 Results Conference Call A M Lodha : Sir, continuing this question , we incorporated a Singapore Company and bought the stake in the MCL i n 2016. And as we invested in the Singapore company it has further invested in MCL in the form of equity as well as the loan, on which Singapore company (i .e. Holding company of MCL) is making the provision of INR 43 crore towards interest every year. Ca n you tell us how much quantum is payable both the loan and interest to the Singapore company?

Sultan A Baig : Loan amount payable from MCL to Singapore subsidiary is US \$89 million, Mr. Lodha as and when the distribution starts from MCL, the Company wil l take a call to discharge the interest and the loan.

A M Lodha : So, US \$89 million includes the interest thereon or it is only a loan amount?

Sultan A Baig : It is a loan amount, Interest is \$37 million.

A M Lodha : Interest is accumulated for the last 6-7 years?

Sultan A Baig : Yes.

A M Lodha : Total is US \$126 million approximately.

A M Lodha : After the repayment of this long -term loan taken by MCL to the lenders under project , can we expect that this US \$126 million will be first refunded to Singapore subsidiary?

Sultan A Baig : Yes, Mr. Lodha. Once the long -term debt is cleared by MCL. MCL 's Board will decide upon the distribution to the shareholders.

A M Lodha : Distribut ion to the shareholders is a different thing, sir. This US\$126 million is a loan amount given to MCL and it is a repayment of a loan

Ashwin Devineni : Mr. Lodha, the shareholder loan actually constitutes project equity. Once the external loans are dist ributed, then MCL 's Board is free to determine in terms of repayment of the loan, i.e. interest first, and then repayment of loan, subject to the cash that is being available.

A M Lodha : Okay, sir. Thank you very much for the clarification, there 's anothe r important point, that there is a considerable lower profit in power business on consolidated basis. Sir, I understand that the sales is lower by INR 125 crore, and the profit is down by 50% from the last June quarter. INR 223

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Q2 FY24 Results Conference Call Crore against the INR 405 Crore. We also understand that, last year you had a write-off of INR 98 crore and return back. This year it is lesser amount of INR 44 crore. This means INR 55 crore, is a less write-off. Therefore, the profit may be lower, but even then the profits are lower in the power business. Can you explain to me ?

Sultan A Baig : Sir, in the Indian power business, the net realization was lower as compared to the previous quarter. That's one of the reasons. And in Maamba Collieries, MCL has paid excess monthly fee of about US\$4 million to the O&M operator, that's why the profit is also lower.

A M Lodha : But US\$4 million is paid on account of what, sir?

Ashwin Devineni : The US\$4 million is an O&M half -yearly operational bonus paid to the O&M operator, which is a subsidiary of Nava and it is provided when certain operational parameters are met.

Moderator : Thank you. Next question comes from Mr. Nik

hil Abhyankar from ICICI Securities. Please go ahead.

Nikhil Abhyankar : Thank you for the opportunity and congrats on being debt free on standalone level, Sir. We have, dues remaining worth INR 24 billion. So, what is the timeline for realization of all these dues? And have the payments been in time till date?

Sultan A. Baig: Mr. Abhayankar, if I would talk in US dollars, it is much simpler for everyone to understand. We are yet to realize about US\$280 million plus, out of which in the next calendar year, as per the press release we have given earlier, we will realize US\$180 million, balance \$100 million -plus we'll realize in this calendar year.

Nikhil Abhyankar : Okay. And sir, can you also comment on the operational performance of our ferro alloy segment as to the production, sales and the average realizations in the quarter?

Nikhil Devineni : Nikhil, with regards to the production volumes, we have currently two units in India operating for ferro alloys where we produce silico manganese. The Telangana unit for the quarter produced about 23,000 tons. And the plant in Odisha contributed about 3,000 tons. The production volumes in the Odisha unit were lower this quarter, mainly on account of the accident that occurred in the first week of August, wherein there was a collapse of the bunker which led to the conveyer system being also

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Q2 FY24 Results Conference Call damaged. So that is currently being fixed. So, we envisaged that from January onward that plant would be in operations fully.

Nikhil Abhyankar : Okay. So, the losses that we have reported is majorly because of lower production and not because of realization?

Nikhil Devineni : No, it's actually because of realization. Today, the ferro alloys market, world over is going through a very sluggish phase. And one of the main reasons for this is that the Ukraine war has led to very high energy costs in Europe. And Europe being one of the main destinations for Indian exports, that market is sort of is no longer available. And as a result of that, most of that material, which was earmarked for Europe is right now being dumped in the Indian market, leading to further pressures on the pricing.

Nikhil Abhyankar : Okay. And sir, among the Indian power plants, how much do we have as merchant capacity as on date?

Sultan A Baig : So, merchant capacity, we have independent power plant of 60 MW and 150 MW in NBEIL, 210 MW totally. And we are on short term PPAs, we don't have a long term PPAs for this.

Nikhil Abhyankar : So, on bilateral basis?

Sultan A Baig : Yes.

Nikhil Abhyankar : Okay. So, can you just give us the revenue PAT for the 150 MW power plant? And what is our outlook for H2 as well?

Sultan A Baig : In the current quarter, revenue was INR 150 crores, Mr. Abhyankar. And we have made an operating profit of about INR 16 crores.

Nikhil Abhyankar : And how much was it for Q1?

Sultan A Baig : Q1 was INR 37 crores. Overall, for the half -year, it was about INR 53 crores.

Nikhil Abhyankar : Okay. So, should we expect a similar performance in next year as well, given the rise in power demand?

Sultan A Baig : It's difficult to comment on this, Mr. Abhyankar. It depends upon the power scenario and monsoon and various other factors.

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Q2 FY24 Results Conference Call Nikhil Abhyankar : Okay, sir. That's all from my side. Thank you.

Sultan A Baig : Thank you.

Moderator : Thank you. Next question comes from Mr. Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Sir, thank you for the opportunity, and congratulations on good set of numbers. Sir, my first question would be, I would like to know, our MCL, PLF is now somewhere around 83%, w

hereas we have been doing 90% plus constant for last two quarters. Can we say that, we're getting back at 90% plus for the next two quarters? I mean, is there any impact usually that happens in Q2?

Ashwin Devineni : Yes. So, the reason we had 83% was because we had two scheduled maintenances for both the units. So, this is the half -yearly scheduled maintenance that we conduct and carry. That's why it was 83%. So, I think now moving on, it will be back to the above 90% hopefully. And It's only in the months where we're taking the units down for scheduled maintenance , where you see a lower PLF.

Vignesh Iyer : And, sir, my next question would be, so what is our plans moving forward when it comes to power plant in Zambia. Are we eyeing for some expansion going ahead? we have got a decent set of cash flows that are coming and we are set to pay off our debt as well , probably in next three or four quarters. So, if you could just tell us what is the plan going on for MCL?

Ashwin Devineni : Yeah. we are fairly bullish on the power scenario in Africa, and especially since we've laid all the groundwork there, it makes sense for us to expand. We are currently in discussions with the Government in terms of financing the expansion. So, those meetings are currently ongoing. So, when something materializes, I think we will go forward with the Phase 2 expansion of another 300 MWs possibly.

Vignesh Iyer : Sir, but just to get an understanding on how the cash flow would be utilized going ahead. first would be any cash flow that generated gets used towards repayment of debt followed by any subsequently paying off to the Singapore holding company, right? And any cash left after that would be utilized for CapEx? Because the Singapore subsidiary payment has been pending for some time now.

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Q2 FY24 Results Conference Call Ashwin Devineni : So firstly, cash flows, whatever we get in the form of monthly revenue and payments from ZESCO with respect to the arbitration award, we first want to clear our long-term debt, so that to enable distribution. Because with the current lender group and distribution is posing to be very tough given the conditions that they have placed. So once that is done, then whatever cash flows come in, MCL board will basically decide with regards to distribution. The amount, what my colleague mentioned previously that was, put in, as a shareholder loan from Nava Bharat Singapore was actually in the form of equity.

The same was done by our 35% partner ZCCMIH too. Their contribution has also been recorded as a shareholder loan. So, as and when the loans are cleared and we have surplus cash, the MCL board will take calls in terms of distribution, which will allow funds to flow back to the parent company, which is Nava Bharat Singapore and Nava. And then, as and when the equity requirement for Phase 2 arises, we will use those funds plus internal resources to fund our equity.

Vignesh Iyer : Right, sir. Just one last question, if I could speak in. Would it be better, I mean, if this setup of through Singapore is simplified in some manner where the holding company is Nava Limited which is listed in India. I mean, we can have our stake in MCL directly. That way, it is easier to understand the setup. I mean, it's kind of a bit complex setup, right? And if you could just help us understand on this part.

GRK Prasad: Nava Bharat Singapore was setup with a view that we would have an energy vertical intermediate holding company, which would hold initially MCL energy assets. But our idea originally was to see that, that space actually got expanded. Of course, it hasn't happened. The reason why this structure was created especially for that. Because holding from Singapore would make imminent sense. But even now also, it's not that structure is preventing us from flowing. Because the monies could flow from Z

ambia to Singapore and Singapore to India. In a similar fashion, there will be some tax implications, though. But, in Singapore there is no tax implication. That way the money doesn't lose any value.

Vignesh Iyer : Okay, sir. That's all from my side. I'll get back in queue. Thank you.

Moderator : Thank you. Next question comes from Mr. Govindlal Gilada, an Individual Investor. Please go ahead.

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Q2 FY24 Results Conference Call Govindlal Gilada : So, I have got two questions, sir. One, any update on our land at Nacharam.

What is happening there?

Ashwin Devineni : Yes. So, the land is still there, Mr. Govind. I don't think we're taking any actions right now. What we see is upward trend with regards to valuation. I think prices, land prices, in that region given the development are just increasing. So, as a Company, we've taken a decision not to take any action currently. Let's sit on the land, let the values go up and then at a later point in time we can evaluate what actions to take.

Govindlal Gilada : Sir, there are two things. Just on investment perspective, okay, land prices may go up, that's why we are holding or some technical problems are also there. Just one line answer, if today we want to sell, can we sell or any hiccups are there from government?

Ashwin Devineni : No, there are no hiccups or anything. It's basically we're looking at the upward trend in terms of valuation, it's more of a commercial decision. We'd rather sell the land when the valuations are a lot higher. And especially when it's in an upward trend, it makes no sense to do it right now.

Govindlal Gilada : Okay. So, how much land we have there?

Ashwin Devineni : 65 acres.

Govindlal Gilada : Tentative what is the price going right now?

Ashwin Devineni : Sorry, I can't mention anything on prices.

Govindlal Gilada : Okay. I understand, sir. Then my last question is about, this US\$280 million, what we have to receive US\$100 million and next year US\$180 million of dues. We are confident, no, sir ? there is no, any issues in that for what time period you have given. We are confident to receive all these things, sir?

Ashwin Devineni : I think from our end, we are confident that's why we ' have started even repaying a lot of the long -term debt with the cash we've received. And to be honest, ZESCO has been paying our ongoing bills regularly on time. And they are meeting their commitments with regards to the arrears too. I mean, as on date, we've received \$291 million, which is a very large amount. So, there's nothing to kind of hint at this stage that for us not to feel confident about getting the remainder.

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Govindlal Gilada : So, this US\$1 00 million, what we have to receive. Any status, sir, when we can expect to receive in next one or two month?

Ashwin Devineni : From what we hear, ZESCO is working on it. And as far as whatever communications we've received from them, they seem fairly confident about paying that now.

Moderator : Thank you. Ladies and gentlemen, if we have any question, please press * and 1 on your telephone keypad. I repeat, Ladies and gentlemen, if you have any question, please press * and 1 on your telephone keypad. Next question comes from Mr. Vijay P, an Individual Investor. Please go ahead.

Vijay P : I have a question about the ongoing projects of Nava Limited. In Zambia, we have the avocado project. In Ivory Coast, we have the manganese mine. And in Singapore and Malaysia, we have the health care project. Surprisingly, this time, the press releases didn't mention anything about these projects. So, can you please let us know what the current status on these three projects is ?

Sultan A Baig : Yes. Maybe we can start with Avocado Project, Mr. Vijay. Project is progressing well. Our Investment i

s on course for the development of the entire plantation. This year we'll be finishing plantation for about 275 hectares of land. The reason for not mentioning is, this is an ongoing and there's no major ups and downs in the project.

Vijay P : When is the product going to be in the market?

Sultan A Baig : Sir, Avocado generally takes 3 to 4 years for the fruiting. We anticipate the crop from the first division to hit the market in 2026.

Vijay P : Okay. The Manganese mine?

Nikhil Devineni : So, Mr. Vijay, I think the exploration works are still underway. So far the results have been encouraging. However, I think by the end of Q4 is when we will know precisely in terms of what the quantity and quality of the mine is.

Vijay P : Okay. And the health care project in Singapore and Malaysia. Is it making any money?

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Q2 FY24 Results Conference Call Sultan A Baig : Yes, Mr. Vijay. Health care project is a cash neutral as on today. We are not infusing any funds. It's sustaining on its own. And we are also evaluating adding additional products for distribution. I think in few months down the line, we'll have a basket of products to start distribution in Singapore and Malaysia.

Vijay P: Yes. And, just for the record, someone asked about the Nacharam land. We have also two land parcels of one, 200 acres, and other of 20 acres, in , Dharmavaram and Kakinada. So, any progress on liquidity in those or encashing those?

Ashwin Devineni: No. But I think, with regards to those lands, right now, we don't have plans to liquidate them or so, because their valuations are not great currently. So, we don't see a point of liquidating them at this point of time.

Vijay P : Okay. Thank you . That will be all from my side.

Moderator : Thank you. Next question comes from Mr. Srinivas AP, an Individual Investor. Please go ahead.

Srinivas AP : Good morning, everyone. It looks like a fantastic quarter, because of repayment of loans and all the things. I have only one question. While the loan amount has come down, the finance cost for quarter ended September 30, on a sequential basis has increased from INR 80 crores to INR 95 crores. Is there any specific reason for the increase in the finance cost when the loan has come down substantially?

Sultan A Baig : Yes, sir. There are two factors. First is, the loan was repaid on 30th September. So, you have the interest cost on the total loan that was outstanding in the quarter. Second factor was, if you compare with the corresponding quarter in the previous financial year, the dollar was at INR 78.55, whereas in the current quarter dollar is at almost INR 83, which is INR 82.5. So, you'll have a 5% difference over there.

For June quarter also there was a slight increase. And also, there was unwinding of the hedging cost, which hit our P&L of about USD 1.4 mn, whereas it was negative in the previous quarter because of the MTM and all, so that's the difference.

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Q2 FY24 Results Conference Call Srinivas AP : And the number would be somewhere around INR 80 crores now as an interest cost or it will be INR 95 crore also in the next quarter. Because this is what I was expecting that, the interest cost will be substantially lower because of which your profit will be higher. But, yes, I saw a surprise on the interest cost.

Sultan A Baig : Yes. It will get reflected in the next quarters onwards, the lower interest cost.

Srinivas AP : Okay. Thank you.

Moderator : Thank you. Ladies and gentlemen, if you have any question, please press * and 1 on your telephone keypad. I repeat, ladies and gentlemen, if you have any question, please press * and 1 on your telephone keypad. We have a follow-up question from Mr. Vignesh Iyer and Sequent Investments. Please go ahead.

Vignesh Iyer :

Hello sir , regarding the balance sheet, I was going through your balance sheet, and we have got trade receivables under non-current asset . We just see a significant movement from INR 1,160 crore to INR 530 crore. I mean, as of now, we have given the discount that is needed to be given to MCL. So, what is stopping us from reclassifying it from a non-current to

current? Because it's very unlikely that trade receivables are classified under non-current, right? I mean, we have done the settlement and arbitration is done. So, what stops us from classifying it as a current asset? Do we still have any doubt on if the money can be recovered or not?

Sultan A Baig : Thank you for your question, sir. There is no question on the recoverability of the amount. If you see the repayment schedule proposed by ZESCO, they proposed a repayment of US\$180 million in the next calendar year. That is the reason that amount has been classified under non-current, because when we have a communication from ZESCO that amount will come in the next year, auditors would not allow us to be classified as a current. Whatever is due in next six months has been classified into current.

Vignesh Iyer : Okay. And sir, going ahead now, we have been consistently making a good progress. What would be the blended level at consolidated numbers for our taxation percentage?

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Q2 FY24 Results Conference Call GRK Prasad : It's actually a function of the local jurisdiction. In Maamba, for example, the power would not be subjected to tax. The mining division is subjected to tax. In India, the tax regime is a lower tax regime, which we opted for. So, accepting for some deferred tax provision and all, I guess, the standalone tax rate could be in the region of about 27% to 28%. And as far as Maamba is concerned, I guess, that's including deferred tax, it will be about 15%.

Vignesh Iyer : Okay. So, I mean, then you would have visibility. Right? If Maamba power is not subject to tax there, and you're paying 15%. So, on a blended basis, it should be, around 18% to 20%.

GRK Prasad: No, the applicable rate is 30% - 35% in fact. But we are on tax holiday basis for power. So, that tax holiday will last for another five years.

Vignesh Iyer : Okay, sir. That's all from my side, and all the best, sir, and Happy Diwali.

Moderator : Thank you. We have a follow-up question from Mr. Vijay P, an Individual Investor. Please go ahead.

Vijay P: Yes. I was just wondering we have got a very steep fall in the value of Zambian currency kwacha in the last two months. It's fallen to almost 20%. How does it affect our receivables and the repayment schedule for the loans?

Ashwin Devineni : Yes. So, it doesn't really affect us because all our transactions both on the power side and in fact, also on the coal side are USD denominated. So, the kwacha depreciation per se has not really affected our receivables, both on the coal side and also on the power side.

Vijay P : But does it affect in any way the repayment capacity of ZESCO? Because they are receiving their payments for power sold in kwacha and they're paying you in US dollars.

Ashwin Devineni : Yes. So, with regards to ZESCO, they don't receive all their payments in kwacha. Their kwacha payments are mainly from the residential and the smaller commercial. But what we count our payments on is basically the large industries they supply power to, and the PPAs and the power supply agreements that they have with the larger players, which are the copper mines, the manganese, smelting units and so on, are USD based.

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Q2 FY24 Results Conference Call Vijay P : So, as far as ZESCO is concerned, their payments to us are absolutely up to date?

Ashwin Devineni : Yes. Completely. I mean, apart from the arrears that they owe us. On a

monthly basis, they pay us on time and in full

I.

Vijay P : Yes, thank you very much. And my compliments to the management team and Happy Diwali to all of you.

Moderator : Thank you, sir. That will be the last question for the day. Now, I hand over the floor to the management team for the closing comments. Over to you, sir.

Ashwin Devineni : Thank you very much, ladies and gentlemen. As we conclude our investor call today, I would want to express my gratitude for your participation and your continued confidence in Nava Limited. Our journey and achievements position us for greater success and the value creation for all our stakeholders. And it underscores our commitment to setting the stage for sustained success in the years ahead.

I encourage you to reach out to our team with any further questions or inquiries you may have. Your feedback and engagement are crucial to our continued progress and we are here to provide the information and support your needs. Once again, thank you very much for your time and your trust in us and a very, very happy Diwali. Thank you.

Moderator : Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good day.

Note: 1. This document has been edited to improve readability
2. Blanks if any in this transcript represent inaudible or incomprehensible words.

Call: Feb 2024

NAVA LIMITED

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Listing Department
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Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051
NSE Symbol: 'NAVA'
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Phiroze Jeejeebhoy Towers,
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MUMBAI – 400 001

Scrip Code: '513023' / 'NAVA'

Dear Sirs,

Sub: Transcript of Conference Call.

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
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Please find enclosed the transcript of the Conference Call with Investors /Analysts held on February 2 , 202 4, on the operational and financial performance of the Company for the quarter and nine months ended December 31 , 202 3.

This is also available on the Company's website at www.navalimited.com/financials/ .

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above.

Nava Limited - 1 - 02.02.2024
Q3 FY24 Earnings Conference Call

Nava Limited
Q3 FY24 Earnings Conference Call

Event Date / Time : 02/02/2024, 16:30 Hrs.

CORPORATE PARTICIPANTS:

Mr. Ashwin Devineni , Chief Executive Officer
Mr. GRK Prasad , Executive Director
Mr. Nikhil Devineni , Senior Vice President
Mr. Sultan Baig, Chief Financial Officer
Mr. VSN Raju , Company Secretary and Vice President

MODERATOR

Mr. Mohit Kumar - ICICI Securities Limited

Nava Limited - 2 - 02.02.2024
Q3 FY24 Earnings Conference Call

Moderator : Good evening, ladies, and gentlemen. I am Pelsia, moderator for the conference call. Welcome to Nava Limited Q3 FY24 Earnings Conference Call.

As a reminder, all participants will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. Mohit Kumar from ICICI Securities Limited. Thank you and over to you, sir.

Mohit Kumar : Thank you, Pelsia. On behalf of ICICI Securities, we welcome you all to the Q3 FY24 earnings call of "Nava Limited".

We have with us Mr. Ashwin Devineni, Chief Executive Officer; Mr. GRK Prasad, Executive Director; Mr. Nikhil Devineni, Senior Vice President; Mr. Sultan A Baig, Chief Financial Officer; Mr. VSN Raju, Company Secretary and Vice President .

With this, I'll hand over the call to the management for a brief opening remark which will be followed by Q&A. Thank you and over to you, sir s.

Ashwin Devineni: Good evening, ladies, and gentlemen . This is Ashwin. I am pleased to welcome you all to the Nava Limited conference call discussing our financial results for the Q3 and nine-months period of FY24. It is with great satisfaction that we share the highlights of our achievements across various segments, demonstrating commitment to financial stability, operational excellence , and sustainable growth.

Firstly, I'm delighted to announce that Nava Limited has achieved its highest ever quarterly profit of INR 465 crores during the Q3, making a record profit of INR 1,001 crores for the nine -month period ending 31st December 2023. One of our significant accomplishments is the substantial reduction in our consolidated debt which has decreased by 93% compared to December 2022.

Nava Limited - 3 - 02.02.2024
Q3 FY24 Earnings Conference Call

Our Zambian subsidiary Maamba Collieries Limited has made substantial progress in repaying its long-term debt and we are on

track to achieve a debt -free status by the end of this fiscal year.

These exceptional results and our operational performance across other divisions such as the Agri business in Zambia and mining explorations in Cote d'Ivoire, underscore our commitment to creating long term value for our shareholders and we remain optimistic about the future as we continue to focus on achieving our goal of becoming long -term debt -free at the group level.

Thank you very much for joining us today and I look forward to an engaging discussion on our financial performance. Thank you. We can take questions now.

Q&A

Moderator : Thank you, sir. Ladies and gentlemen, we will now begin the Q&A session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. First question comes from A M Lodha from Sanmati Consultants. Please go ahead.

A M Lodha : Congratulations for good set of numbers as well as very good operational performance of merchant power plant in India, along with the 300 MW in MCL also. I have a few questions regarding your results. Firstly, what is the status of arbitration award money , which our Company was supposed to receive by December 2023?

Ashwin Devineni : Thank you for the comments, Mr. Lodha. In terms of the arbitration amount , till-date we've received US\$264 million and US\$254 million is pending, which we expect to receive by this calendar year end.

A M Lodha : No, the money was to be received in two tranches. Some money was to be received by the December 2023 and U

S\$180 million

was to be received by December 2024. I am not discussing about \$180 million Company is supposed to receive by December 2024.

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I am just asking about the money which was supposed to be received by the Company by December 2023. How much is pending and when do you expect to realize it?

Ashw in Devineni : No, in terms of 2023, out of what was supposed to be received , there is about US\$75 million still pending. But we have been in discussions with the utility because it's a very large amount. And also, we are getting it in US dollars . So, there are some currency issues. But things are going as per plan and discussions are going well. And based on the new plan that we keep agreeing with ZESCO, they are performing. So , as of date, they still have to pay us INR 254 million before this calendar year ends.

A M Lodha : Okay, sir . Sorry to interrupt you. Is the Company receiving the Current monthly billing, on time?

Ashwin Devineni : Yes, we've been getting that on time. There's no issue.

A M Lodha : Okay, sir. My second question. Since the Company is likely to pay entire external loan by March 2024 . What will be the allocation plan of the Company when the arbitration money or the cash surplus arises out of the normal operations of the Company ? And

can we expect the money due to holding company of MCL in Singapore, which is due along with interest. Can we expect that money to be brought back in Singapore subsidiary and then ultimately to Nava?

Ashwin Devineni : Yes. So , I think one of the reasons we are accelerating to pay off this debt and prepaying a lot of this debt. One is because interest rates are extremely high and number two is , also to allow us to access the cash that MCL generates in the form of MCL declaring dividends or paying off the loan from the holding company, Nava Bharat (Singapore) Pte. Ltd . So , like you rightly said, our intentions and plans once we pay off the debt are, to pay off the shareholder loan and the interest , and then also further declare dividends post that, which will come that up to the parent company Nava.

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A M Lodha : Okay, sir. My last question is regarding power. Power is a core business of the Company . Whether Company is likely to expand this business in India as well as in MCL, where the plenty of coal is available ?

Ashwin Devineni : Yes. Let me start off with MCL, which is probably the easier question. We do have intentions to double the capacity at MCL. In fact, a lot of the technical work is being carried out. We have in fact spoken to the Government and we've indicated that they need to provide funding given that not a lot of banks come forward towards coal funding now. So , the Government is also working on that. So , we do have intentions of doubling our capacity in Zambia to 600 MW.

A M Lodha : Thank you very much.

Ashwin Devineni : In India, Mr. Lodha, the issue is with coal. Fortunately, right now we do see a positive swing with regards to the power market. But in terms of setting up a new plant, there are a lot of uncertainties. And especially given the fact that coal prices have gone to a level where you only make money if the power tariffs are high which does not validate , possibly setting up a new coal-fired power plant at this stage in India . So, currently that's not what we're looking at.

A M Lodha : Thanks a lot sir for clarification. and congratulations again for the good set of numbers.

Moderator : Thank you. Next question comes from Bharat Sheth from Quest Investments Advices Private Limited. Please go ahead.

Bharat Sheth : Hi sir, thank you for the opportunity and congratulations on good set of numbers. On power side, you have already replied

everything. I want to get some sense on ferro alloys business. So where do we see? Currently still we are incurring losses, but in your fair opinion, when we can really see that turnaround of business.

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Nikhil Devineni : Mr. Bharat, thank you for the question. Unfortunately, in Q3 we did not see much of an increase in ferro alloys prices. It was more or less similar to that of Q2. But going forward we have witnessed about a 10-15% increase, particularly in the export market. So, going forward, we see that there would be improvements in the ferro alloys vertical. Having said that, we have also taken certain corporate actions to derisk ourselves from a single product line, because currently we're only producing silico manganese, which is a bulk alloy. In January, we had diversified one of our furnaces to produce even Ferrosilicon. Now with Ferrosilicon, we are fortunately witnessing a margin as opposed to silico manganese, and the delta being of about INR 15,000 -20,000 between the two. So, if this does sustain, the train of thought is to convert one more furnace for ferrosilicon production so that the realizations of the ferro alloys vertical would improve.

Bharat Sheth : Of course, I do understand. So, what kind of a demand scenario is there between this silico manganese and ferro -silicon? And cost of production also, is there any delta between these two?

Nikhil Devineni : Yes, the delta in terms of cost of production is about INR 25,000 between ferro -silicon being on the higher side owing to higher power consumption. With respect to demand, there is sufficient demand for the silico manganese in the silicomanganese market. In fact, as we speak today, we have essentially a complete order book even for Q4 with respect to silico manganese. But the issue is of pricing. Given that there is a lot of surplus production available. There is heavy pricing pressures in the silico manganese market, whereas ferrosilicon, given the entry barriers, we find that the number of suppliers are less and as a result of that the prices are much higher.

Bharat Sheth : And both are for the export purpose, is that fair understanding?

Nikhil Both for domestic and export there is a good market for ferro -silicon.

Bharat Sheth : And how is the scenario for this ferro -manganese ?

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Nikhil Devineni : Ferro -manganese too is very similar to that of silicomanganese. Essentially, it's the same raw materials with the same power consumption and so on. So, there is demand, but there is again a lot of pricing pressures to a point that most producers are unable to recover their full cost given the current pricing.

Bharat Sheth : Okay. Thank you very much, sir, and all the best.

Nikhil Devineni : Thank you.

Moderator : Thank you. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. Next question comes from Jatin Damania from S AVAN Investments. Please go ahead.

Jatin Damania : Thank you for the opportunity and congrats to the entire team for delivering the financials. Just wanted to check in CY24, the last commentary, you said that we will be receiving US\$180 million which was the leftover. So, US\$75 million, which has been carried forward to CY24. Do we expect that to receive in the current

quarter? or probably it should also get delayed to second -half of this calendar year?

Ashwin Devineni : I think the question you have asked is with regards to when we will be receiving the US\$75 million. US\$75 million is a large amount. We've been in discussions with ZESCO and they've been very positive. They look like they have a very definitive plan. I don't want to commit in terms of when exactly

we'll get it because the discussions are still going on. But we are positive that we'll get it sooner rather than later.

Jatin Damania: But I agree that because of the currency issues and everything which has got delayed, but it was supposed to come in the December. So , is it that the debtors or the financing situation at the ZESCO is in problem and there we could see a further receivable piled up for CY24?

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Ashwin Devineni : No, it's nothing to do with their financial situation. You got to understand that the arrears amount is a large amount. And the fact is, in order to meet the arrears, they need to also take on certain loans and so on. So , some of the reasons for the delay of the US\$75 million have been caused because of certain external financials as opposed to ZESCO's health. In fact, ZESCO 's health is only improving. And that's the fact that we get our monthly payments on time and they paid \$264 million to -date clearly shows that their financial situation has greatly improved. With regards to US\$75 million also learns that it has not come as a complete surprise. We've been in discussions with them , every time they are facing certain difficulties or, we've been in discussions, and we agree to a new plan. So , the plan now is that they will be paying us US\$254 million before this calendar year ends.

Jatin Damania: And sir, what is the monthly payment that we are getting from the ZESCO?

Ashwin Devineni : It depends on the amount of power we sell to them. And our current tariff is around US\$10.3.

Jatin Damania : So, that amounts to about US\$15-US\$20 million, right? Anywhere between that?

Ashwin Devineni : Yes, around that.

Jatin Damania : Now , you will soon be the debt free by the end of this financial year. Post that, are we supposed to go back to lenders to take an approval for any corporate action and the CapEx that we will be doing it? Or we are free to announce that by the Board itself without taking a lender approval?

Ashwin Devineni : No, the whole point of paying off our debt is , so that we don't have the lenders anymore. And there are no restrictions from the lenders. Because today, although we may have cash sitting at the Maamba level, we can't pay dividends or pay off the shareholder loan because of restrictions by the lenders. So, our intention is once we settle everything with the lenders, we will be able to take corporate actions based on Board decisions at the Maamba level.

Jatin Damania : So, mostly by next quarter we could hear some announcement in terms of the benefit of the shareholders.

Ashwin Devineni : Let's hope so.

Jatin Damania : Last two updates. Now, since you've already highlighted the capital allocation that you will be doubling up the CapEx in MCL from 300 -600 MW. So , can you throw what is the CapEx that you will be spending ? And secondly, update on your Ivory Coast and your agriculture business.

Ashwin Devineni : For the expansion at Maamba , we've envisaged a project cost of about US\$400 -US\$450 million. That's a project cost, that's not the equity portion.

Nikhil Devineni : With respect to the Ivory Coast, we are making headway into the last phase of the exploration. We have completed two phases right now. The last phase pertains to the drilling of the key borehole sites where manganese ore deposits have been identified. So , we feel that within about four to five months, we should have a clear - cut idea in terms of both quality and quantity available at this mine . In parallel, we are also getting the ground ready for setting up 22.5 MV A furnace to produce silico -manganese in Cote d'Ivoire. So , the land acquisition process for this particular project is underway as we speak.

Jatin Damania : Broadly , sir, can you highlight what is the amount that you will be spending just for the Ivory Coast and the 22.5 MV A furnace out there?

Nikhil Devineni : Well, right now it's tentative , but we are looking at about US\$150 million.

Jatin Damania : Thank you, sir. That's all from my side. Congrats once again and all the best.

Nikhil Devineni : Thank you.

Moderator : Thank you. Next question comes from Viraj Mahadevia from Money Grow. Please go ahead.

Viraj Mahadevia: Hi, congratulations to the management team for such a fantastic job, on turning around the balance sheet. I saw in your press release you have a debt reduction of INR 2,962 crores. Out of which , the arbitration, as you mentioned Ashwin , is approximately INR 2,000 crores. So , does that mean we can understand that INR 1,000 crores was generated as free cash flow from operations over the period?

Ashwin Devineni : Yes.

Viraj Mahadevia : Okay, great. Secondly, you mentioned that the equity contribution, the overall project of the 300 MW additional and Zambia is about \$450 million. What would be the equity

contribution towards that? Roughly \$100 million?

Ashwin Devineni : No. I think it's too early to say right now, because like I mentioned earlier, we're currently looking at a very unique financing structure where we're talking with the government. So , it won't be the vanilla debt equity structure that we followed with the current project. So , we can't really comment on what it would be at this stage .

Viraj Mahadevia : Understood. And in the Ivory project, I just heard the previous caller, it's US\$150 million project . So again, what would be the equity contribution there?

Nikhil Devineni : About 30%.

Viraj Mahadevia : And in the 300 MW of Zambia, the Phase II , at full ramp would you generate about close to INR 500 crores of EBITDA?

Ashwin Devineni : It's all a function of the tariffs . So, we got to also keep in mind that one of the reasons the government wants Phase II is so that the average tariff cost comes down. So , it all would be a function of what tariff we agree for Phase II and what 's the average tariff of Phase I and Phase II would be.

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Viraj Mahadevia : Understood. How far would this plant be from completion, if you start, say, six months from now?

Ashwin Devineni : So, post financial closure and from ground breaking day , we estimate about two years.

Viraj Mahadevia : Okay, which doesn't start really contributing till FY26, may be FY27. .

Ashwin Devineni : It all depends on the start date. So , I think we've learned a lot from Phase I in terms of what to do and what not to do and how to structure the deal so that the risk is minimal for us as the parent company. So , unless the terms are the way we want them , I don't think we will go forward. But I think the government understands and they're working on a solution. So , when they're ready, I think we'll be able to start.

Viraj Mahadevia : Great. My last point is on a buyback by the Company, given that you just mentioned free cash flows of upwards of INR 1,000 crores annually with US\$250 million yet to come in arbitration this year, you should have sufficient money for equity contributions, both for 300 MW Zambia as well as Ivory. I'm hoping the management would consider a buyback while prices continue to remain attractive for the Company over the next twelve months.

Ashwin Devineni : Yes, I think we're always looking at positive corporate actions that benefit the shareholders. But let's take it step by step. I think once we get the cash in, definitely we would like to look at certain corporate actions that make sense.

Viraj

Mahadevia : Excellent. Thank you. All the very best, Ashwin.

Moderator : Thank you. Ladies and gentlemen, if you have any question,

please press * and 1 on your telephone keypad. Next question comes from Vignesh Iyer from Sequent Investments. Please go ahead.

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Vignesh Iyer : Congratulations, sir, on good set of numbers and thank you for the opportunity. My first question would be, I just want to know how much money we have spent on the exploration activity that you are doing in Ivory Coast and how much money have we spent on avocado project till now.

Nikhil Devineni : So, for the Ivory Coast until now, we 've spent about US\$2 million .

Sultan A Baig : So far, we have spent US\$12 million for development of full plantation in 275 hectares and land development of 275 hectares.

Vignesh Iyer : Okay. When I was going through your balance sheet that you posted for the half-year ended FY24. So , there was some trade receivable amount into roughly INR 530 crores that was standing under non-current asset. Could you help me understand what that number would be as of now?

Sultan A Baig : It's the receivables in MCL from arbitration proceeds.

Vignesh Iyer : Yes, I know . I got the nature of the amount that has to be received. But what has been the change? Has there been certain shifts that have happened from non-current to current?

Sultan A Baig : We have classified everything as a current receivable , except US\$180 million which we anticipate to receive in the next calendar year.

Vignesh Iyer : Okay. That amount is yet to be received , right?

Sultan A Baig : Yes.

Vignesh Iyer : Okay. Next question would be on the income tax that the Company is paying. So , there has been quite a change when it comes to the tax percentage. This quarter, we didn't actually pay any tax, obviously, in nature of adjustment. If you could help me

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understand what the nature of adjustment was and what would be our usual tax rate for the quarter?

Sultan A Baig : I'll split it between India and overseas operations. India, we are at a tax rate of 25% for the Indian operations, Indian subsidiaries. When it comes to Maamba Collieries, power division has a tax holiday for ten years and mining division is a regular tax rate of 35%. But what is peculiar in the current quarter is adjustment because of the deferred tax benefit. Basically, deferred tax benefit is arising out of the fact that there is a significant depreciation in the Zambian currency against the dollar, which depreciated over 20% in the current quarter. Though , we have our financials and

the revenues in US dollar terms, but the local taxation is in the local currency. That's what giving us the deferred tax benefit. So , it's not that we have not paid any tax. It's the deferred tax benefit that got reflected in the books. The liability is reduced because of the cost of depreciation against dollar.

Vignesh Iyer: Okay. Liability got adjusted to the foreign exchange, right? If I get it right.

Sultan A Baig : Yes.

Vignesh Iyer : Okay. So, on account of tax holiday, what would be the revised rate of tax that we would be paying? What is the tax that we are paying as of now? When does the tax holiday end?

Sultan A Baig : Tax holiday for power plant is another four years.

Vignesh Iyer : Okay. My next question would be , on the avocado side of our project, what is the total expected cost that might incur? I guess if I'm not wrong, you envisaged that by FY26 you should start earning some money out of it. So , what would be the total money that we are going to incur and does the project entirely belong to us or it is in agreement with the government?

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Sultan A Baig: It's entirely equity funded from our own generation. The overall project outlay is over the next three to four years . Other than US\$12 million , we will be investing close to US\$30 million further. Our anticipation is that it will cost about US\$40 million.

Moderator : Thank you. Ladies and gentlemen, if you have any questions please press * and 1 on your telephone keypad. I repeat . Ladies and gentlemen, if you have any questions please press * and 1 on your telephone keypad. We have a follow up question from AM Lodha from Sanmati Consultants. Please go ahead.

A M Lodha : Hello. I have a few follow up questions. Number one, what is the present power tariff at MCL in Zambia for 300 MW?

Ashwin Devineni: It's about US\$10.3 per KW hours .

A M Lodha : When the next revision is due, sir?

Ashwin Devineni : September of this year.

A M Lodha : Okay. What is the merchant power sale capacity in India? Whether they are operating at full capacity?

Ashwin Devineni : All our plants are operating at close to full capacity and we have commitments all the way till the end of May.

A M Lodha : Okay sir . The last question. The coal sale by MCL. Is there any restriction on limit or quantity of sale?

Ashwin Devineni : No, there is no restriction.

A M Lodha : Okay. Thank you very much, sir. Thank you for answering all my queries.

Ashwin Devineni : Thank you.

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Moderator : Thank you. Ladies and gentlemen, if you have any questions please press * and 1 on your telephone keypad. Next question comes from Govindlal Gilada, an Individual Investor. Please go ahead.

Govindlal Gilada : Thanks for giving me an opportunity to ask question. And firstly congratulations for good set of numbers and making substantial debt repayment of INR 500 crores -plus in January month. So, it is now mere INR 250 crores , and certainly I hope we'll do it in February and March. So , I got two-three questions. One is , if I remember correctly , till December we are supposed to receive US\$93 million and now we are telling that it is \$75 million. So , \$18 million have we received in January, sir?

Ashwin Devineni : Yes, we received \$18 million.

Govindlal Gilada : So, out of \$93 million , \$18 million has been received. That is very positive, sir. Something we have received and balance we hope to receive in near future.

Ashwin Devineni : Yes.

Moderator : Thank you. Next question comes from Mr. Samarth , Arjuna Research. Please go ahead.

Samarth Pachchigar : First of all thank you so much for the opportunity .What is the rate at which power is supplied to the state discom by the MCL?

Ashwin Devineni : Yes. So, it's about \$10.3 per kilowatt hour.

Samarth Pachchigar : \$10.30?

Ashwin Devineni : Yes, US cents.

Samarth Pachchigar : US cents. Okay. And in Ivory Coast are we planning to set up a power plant or we are just exploring the mining business.

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Nikhil Devineni : I think mine is one thing that we are exploring currently for which the results should come shortly. But in addition to that, given the fact that the raw material is available at source and the geographical location being very close to major steel markets like Europe and US, it makes sense for us to set up an industry there as well, a silico -manganese plant. So, as you may be aware, the silico -manganese process is a very power intensive one. And unfortunately, in Ivory Coast, the grid tariffs are extremely high. So, the only way that it becomes viable is for us to have our own captive power plant. So , we're looking at the option of setting

ng up
the silicomanganese plant associated with the captive power plant.

Samarth Pachchigar : And it will be captive , or it will be also available for selling to the local grid?

Nikhil Devineni : It's going to be purely captive.

Samarth Pachchigar : Okay. Once again, I want to ask you. There were two power plants in India which were basically closed or not operating due to some legal reason. Basically , like market not being available for direct exchange.

GRK Prasad : No, I think you may be referring to a 20 MW power plant. That still is idle, but not because of any legal reason. It's more a commercial reason. Because of the cost of generation being very high, we're not producing any power from them. That's in Andhra Pradesh.

Samarth Pachchigar : Okay. I have one more question. The ferro alloy business of the Company is not yet profitable. So , what is the market prospect for the business? Because you said that you are going to set up one another plant in Ivory Coast. Secondly, from next month you will be making available one furnace for ferro -silicon alloy. So , how do you look at the market and what's your perspective regarding that?

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Nikhil Devineni : The alloys market is cyclical in nature. So , I wouldn't look at it from a very narrow lens. Today, yes, you are right that we are going through a downturn. But if you look at the last preceding years, particularly the last two to three years, the ferro alloy s market was doing extremely well. So , I think when you are considering an expansion in this particular field, it needs to be one that is based on a long -term view rather than a short -term view.

Now, as I mentioned earlier, Ivory Coast does have a lot of competitive advantages relative to India, given the fact that the raw material, which accounts for almost 40% of the cost, is available right there and similarly given that we are going to have a captive power plant through biomass, we foresee that the generation cost of power, which again accounts for about 30%, is going to be hopefully at a lower tariff than what we are looking at in India. So , putting all these things together, it makes both commercial and economic sense to expand in Ivory Coast .

Samarth Pachchigar : Okay, there is one more question. These other businesses in India which are into alloy have reported a very good set of margins as well as the revenue jump. The revenue jump was also visible in the Nava's result . But there was dip when it came to margin . What was the possible reason for it? Can you let us know?

Nikhil Devineni : I think you're referring to a couple of companies involved in ferro alloys who are producing ferrochrome, which is a completely different story from what we produce. So , they may have done a little better, but if you look at silico -manganese and most silico -manganese producers in India, you would find that the results are more or less in line with us.

Samarth Pachchigar : Okay. Thank you, sir.

Nikhil Devineni : Thank you.

Moderator : Thank you. That was the last question for the day. Now, I hand over the floor to management for closing comments.

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Ashwin Devineni : In closing, I would like to express my gratitude to all the stakeholders for their continued support and trust in Nava Limited. Our achievements in this quarter reflect the collaborative work of the entire Nava team and our commitment to provide for growth to all our stakeholders. As we move forward, we will continue to strive for excellence in our endeavors, creating value for our shareholders, employees, customers and the communities we serve.

Thank you very much for participating in this discussion. I hope we've addressed all queries

s adequately. If there are any questions or clarifications that remain unanswered, please get back to us and we'd be happy to provide answers on a wider investor platform. Thank you, everyone.

Moderator : Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good day.

Note: 1. This document has been edited to improve readability
2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: May 2024

NAVA LIMITED

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May 23 , 202 4

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Dear Sirs,

Sub: Transcript of Conference Call.

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
--oOo--

Please find enclosed the transcript of the Conference Call with Investors /Analysts held on May 17 , 202 4, on the operational and financial performance of the Company for the quarter and year ended March 31 , 202 4.

This is also available on the Company's website at
<https://www.navalimited.com/investors/financials/investor-conference-call/>

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above.

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"Nava Limited
Q4 FY'24 Earnings Conference Call "
May 17 , 202 4

MANAGEMENT : MR. ASHWIN DEVINENI – CHIEF EXECUTIVE OFFICER – NAVA LIMITED
MR. GRK PRASAD -- EXECUTIVE DIRECTOR – NAVA LIMITED
MR. NIKHIL DEVINENI -- SENIOR VICE PRESIDENT – NAVA LIMITED
MR. SULTAN A BAIG – CHIEF FINANCIAL OFFICER – NAVA LIMITED
MR. VSN RAJU -- COMPANY SECRETARY – NAVA LIMITED

MODERATOR : MR. NIKHIL ABHYANKAR -- ICICI SECURITIES

Nava Limited
May 17, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Nava Limited Q4 FY '24 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nikhil Abhyankar from ICICI Securities. Thank you, and over to you, sir.

Nikhil Abhyankar: Thank you, Aditya. On behalf of ICICI Securities, we welcome you all to Q4 FY '24 Earnings Call of Nava Limited. We have with us Mr. Ashwin Devineni, CEO; Mr. GRK Prasad, Executive Director; Mr. Nikhil Devineni, Senior Vice President; Mr. Sultan Baig, CFO; and Mr. VSN Raju, Company Secretary.

With this, I hand over the call to the management for brief opening remarks, which will be followed by Q&A. Thank you, and over to you, sir.

Ashwin Devineni: Hello, everyone. A very good afternoon, and welcome to Nava Limited investor call to discuss our financial results for the fourth quarter and fiscal year 2024. This is Ashwin Devineni. I'm delighted to share with you the remarkable achievements and strides we have made as a company.

First and foremost, I'm pleased to announce that Nava has once again demonstrated consistent and stable growth at both stand-alone and consolidated levels. Our commitment to financial prudence and operational excellence has resulted in significant milestones including the full debt repayment of USD314.4 million during the financial year at Maamba Collieries ahead of schedule.

This achievement not only highlights our financial strength, but also opens up avenues for the distribution of free cash flows to our sponsors. I'm also pleased to report that our stand-alone profit increased by an impressive 55% quarter-on-quarter, showcasing the resilience and agility of our business operations. At the consolidated level, we have achieved the highest ever yearly revenue and profit for the fiscal year 2024.

Our Energy division has particularly excelled with Nava Bharat Energy's 150 megawatts power plant, witnessing a turnaround in its financial performance marked by substantial increase in PLF in the current financial year.

Similarly, our mining division in Zambia has reported healthy growth in sales and profitability, driven by improved coal sales and operational efficiencies. I can undoubtedly state that our efforts in diversification and expansion have yielded promising results. Our agri business segment, Nava Avocado, has made significant strides in plantation activities with promising yields as per the expected timelines. As we move forward, I'm confident in the growth opportunities that lie ahead of Nava.

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Our current debt-free status, coupled with the highest annual earnings set a solid foundation for the future growth and value creation for our stakeholders. Thank you all very much for joining us today. I now open this platform for any questions you all may have regarding our financial results. Thank you.

Moderator: Our first question is from the line of A.M. Lodha from Sanmati.

A.M. Lodha: Sir, I have got 2 questions. So, number one question is recently, Manganese Ore India has increased the prices of the high-grade manganese by 40% and 25% of lower-grade manganese ore. So, the prices have been shot up, and likely to be shot up further in international market as supply from the Australian mines has been disrupted and likely, it will take another 9 to 12 months to restore the supply in the system to ferroalloy producers. And just I wanted to know

when our Ivory Coast mines will be in operations.

Nikhil Devineni: So Mr. Lodha,

thank you for your question. As you rightly pointed out, MOIL has increased their manganese ore prices by about 40% very recently. And this was essentially following suit by what the others in the international market like Gabon and others have done. Now our reliance on MOIL is very limited. We use only about 10% of MOIL's ore in the overall blend. Having said that, as a company, we are quite well insulated from these increased prices because when prices were low, we had accumulated large stocks. So, our current inventory would serve us for the next couple of quarters, so we are fairly insulated from these increased prices in the market. With regards to your second question with respect to the Ivory Coast mine, as we indicated in the press release, we have recently completed the third phase of exploration, which included the core drilling. Now unfortunately, while the surface exposure was good, once we went deeper, we found that the quantities and the qualities will not be fitting for us to go ahead with commercial exploitation.

So, keeping this in mind, we have been pursuing with the government on alternate locations for manganese ore mines. And currently, we are in a very advanced stage to be allocated another mine, which is about 3x the size of the existing one, where we intend to take an exploration activity shortly.

A.M. Lodha: Is this the same mine, which you are talking in the letter today under regulation 30 of SEBI. Can you put some light on this letter? What is 323 hectares land is for manganese ore or what we could not understand properly?

Ashwin Devineni: No. the 323 hectares is a completely different mine, That's a magnetite mine, not a manganese mine and that's in Zambia.

A.M. Lodha: Okay. And my second question is regarding the receivables from MCL. Last concall, Management indicated that out of the total dues receivable by MCL, from ZESCO, \$75 million was due up to December, 2023 and \$180 million was due up to the December, 2024. Now just I wanted to know how much money you have received out of the \$75 million, which was supposed to be received by December 2023? And how much money you received against the \$180 million, which is supposed to be receivable up to the December, 2024, please?

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Ashwin Devineni: So, with regards to the 2023 arrears payment, the September payment, which was actually the \$75 million, is still outstanding. We are currently in discussions and things are progressing well, but it's still outstanding. And with regards to what is supposed to be received this year, we have been discussing with ZESCO and they've been following a monthly plan. And to date, we received \$20 million, which is as per the plan that we have mutually agreed on.

Moderator: Our next question is from the line of Jatin from Svan Investment.

Jatin: Sir, just want to follow up on the previous questions pertaining to our receivables. So, I mean, there has been a continuous delay because initially, the cost of payment and now the \$225 million, which is yet to receive \$255 million, is getting delayed. Probably it's the financial liability or financial stability of the ZESCO is the back in the question, and that's why we are probably reporting the expected credit loss on this current receivables? So can you help us understand the financial ability of the ZESCO which is probably -- for which we are getting suffered in terms of the receivables.

Ashwin Devineni: Yes. if I understand you right, you're essentially questioning ZESCO'S ability to pay. I think one thing that needs to be noted is, we seem to be just looking at the arrears payment. There is a large chunk that we also get on a monthly basis based on the power we sell.

And ZESCO has been current and on time on paying those receivables to the tune of like \$21 million, \$22 million per month, from May 2022. And they've been current all

throughout and

they've been honouring their ongoing commitments. With regards to the arrears too, they did pay a major chunk except that 1-month payment of \$75 million, which they're actively working on to clear.

And as per the payment plan that we have agreed for 2024, they've been very current in terms of their monthly payment. So I don't see any reason to worry about ZESCO's payment capacity right now. They are doing their very best. They are going through some tough times because of the power crisis in Zambia, which is resulting in lesser revenues for them. But we are in constant dialogue, and I don't think there's any reason to worry.

Jatin: But sir, if you look from our perspective and from the domestic shareholder perspective, the receivables, I mean, definitely getting delayed and because of which our further capex plan and permission from the domestic shareholders in terms of distribution of the excess cash flow, now which probably we are almost close to debt free is also getting delayed. So how should one look

into the corporate actions going ahead and the capital deployment for the Nava as a whole?
Ashwin Devineni: No. So I think -- you see, it's a function of 2 things: one is the ZESCO payments. And like I said, they're sticking to their plan, the only delay is the \$75 million. So there's no reason to be worried on their payment obligation. With regards to the investors back home and corporate actions, we had to become debt-free. We had to clear our lenders to give way for dividend distribution. Because although we were current on our loan repayments, we have certain restrictions with the previous lenders where we were not allowed to declare dividends or repay shareholder loans or so on. Now that's out of the way.

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So, I think in the next few months, as the Maamba board starts to declare dividends based on dividends or repayment of shareholder loans based on excessive cash available, we, as a company, will also, in turn, be able to take corporate actions so that the domestic shareholders benefit. So, I think as we kind of move forward and cash starts to come to the Singapore and the India level, we will be able to take corporate actions.

Jatin: Future capital deployment and capex for the future in which area we will be targeting?

Ashwin Devineni: Yes. So, there are a lot of growth projects that we are currently looking at to the tune of almost \$700 million. That would be funded in the form of debt and equity. So, as we get the funds and the dividends from our international operations, we would use some of it to fund our equity, and the remainder for corporate actions.

Jatin: And Sir, this \$700 million is largely for the second phase of Zambia, right?

Ashwin Devineni: Well, a large chunk of it is for the second phase of Zambia, but we do have expansions, I mean new projects at Ivory Coast, like what Nikhil had mentioned with regards to the manganese mine and taking up a smelter there. And also, we have our agri division, which is growing at a fairly rapid pace, where we're looking at avocados and possibly other crops.

Jatin: But sir, in your initial remarks, you indicated that because of the current exploration activity that you conducted, the current mine area was unviable for the commercial operation, and we are looking for the alternate options. So, I think that the expansion of the capex in the Ivory Coast will be delayed further for some time, then the larger focus will be on the second phase of Zambia only, for which we are attributing \$500 million to \$600 million. Is it fair to assume that?

Sultan Baig : Jatin, I think it is speculative at this point of time. I would suggest why don't you give chance to other investor participants also to ask the questions.

Moderator: Our next question is from the line of Dhruv Rawani from Shreeji Finserv LLP.

Dhruv Rawani: My question

is on the macro theme that the steel in India is picking up in a big way. So, are we looking at any capex once the company receives the money from the Zambian entity and deploy some further capital allocation in the ferroalloy business? Your views on that. And secondly, what is aiding the current ferroalloy business? how you are seeing the market trends over the last 2 months in terms of prices and volume?

Nikhil Devineni: So I think in terms of expansion in India, right now, that has been ruled out because one is we want to get our hands in terms of the raw material security. And that's precisely why we are actively pursuing other mines in Ivory Coast, which has been a resource for manganese historically.

Now like I mentioned, although this mine did not click, we have been in pursuit with the government to scout out for alternative locations. And today, we're at a very advanced stage to clinch in another exploration permit which is almost 3 times the size of the existing one. So I think in about a year or so, as and when we do the exploration, I'm hopeful that we should have some results.

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Dhruv Rawani: Okay. And on the existing business of ferroalloy in India, what is the outlook?

Nikhil Devineni: So I think you may be aware that FY '24, the ferroalloys market as a whole went through an extremely bearish cycle. But fortunately, those days are now behind us. And from this quarter onwards, we have witnessed a sharp rebound in prices. So just to put it into perspective, if I had to compare quarter-on-quarter, Q4, the silicomanganese price was around Rs. 65,000 per metric ton for the domestic rate.

And today, as we speak, that has jumped to about Rs. 90,000, So the delta is quite vast. And as a Company, we have secured raw material pricing, which are also in the rise early on at reduced prices. So we have an inventory, which will last for the next couple of quarters, which essentially means that the cost structure is going to be more or less of a linear one going forward.

And furthermore, I think for the current quarter, we have committed close to about 80% to 90% of our overall production.

Dhruv Rawani: Okay. And 1 last question. Any update on the future capex on the power side that we are planning to do on the brownfield expansion of the power plant out there in Zambia?

Ashwin Devineni: Yes. So basically, the doubling of the capacity to 600 megawatts. So things are moving at a very fast pace. I don't know if you have been following the Zambian situation, but they've been facing a very large power deficit because they are predominantly dependent on hydro and because of the bad rains, they have almost 12 hours of power cuts every day. So the government itself has taken this expansion as a critical project. We're in discussions with them, things are progressing extremely fast so we will get back to you once we have something concrete to disclose.

Moderator: Our next question is from the line of Viraj Mahadevia from MoneyGrow India.

Viraj Mahadevia: Mr. Ashwin, many congratulations to you and the team on turning around the balance sheet, really commendable. Two questions from my side. One is over the next 6 months about the arbitration, how much are you likely to get for the contracted schedule in terms of payments collectively? Is it \$6 million -- \$5 million per month over 6 months?

Ashwin Devineni: Right now, it's \$110 million. It's not 5 to 6 months. I think it's \$5 million for the next 1 or 2 months and then the number increases. So altogether for 6 months, it's \$110 million. And if there is any kind of discrepancy or a change in schedule, I think ZESCO is calling us and having a discussion and only doing it post our concurrence.

Viraj Mahadevia: Okay. Helpful. Second question is capex that we had of \$700 million. I assume this is over 2025 and 2026. \$100 million would be the capex ca

sh contribution per year. And with the free cash generation even on a normalized basis, without these special receivables, you should be generating over INR1,500 crores of cash, and it seems you have a net cash position of INR400 crores already. So when are you likely to look at this corporate action because your stock is terrifically cheap at 40% free cash flow yield single-digit dividend paying?

Ashwin Devineni: Like I previously said, the fact that we can start returning shareholder loans and declaring dividends has just opened up given that we sorted out our entire debt. So we will be looking at corporate actions very soon. I can't commit to it, but it will be sooner rather than later.

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Viraj Mahadevia: All the very best on the continued path of fiscal responsibility.

Moderator: Our next question is from the line of Govind, an individual investor.

Govind: I have only one question. This arbitration award getting, we're getting delayed. The only thing I want to know from you, monthly minimum commitment of \$5 million, at least that we are receiving?

Ashwin Devineni: Yes, we've been receiving basically monthly commitment, \$5 million or whatever it is, except for the month of September 2023, which was \$75 million, which was a large chunk which I think, ZESCO was trying to settle out of loans that they were securing. Those loans unfortunately got delayed. So that's why that payment got delayed. But apart from that, we are receiving every month payment on the arrears.

Govind: So total, how much we have to receive now from ZESCO, as on today?

Sultan Baig: The outstanding is close to \$234 million as on today.

Govind: As on today, \$234 million. That includes the bullet payments, you are saying that monthly we also receive \$5 million.

Sultan Baig: It's as per the payment plans. For some months, we have \$5 million; and for some months, going forward, it will be a larger amount. So \$234 million includes the \$75 million.

Moderator: Our next question is from the line of A.M. Lodha from Sanmati Consultants.

A.M. Lodha: I have got 2 more questions. Number one, on consolidated balance sheet, I found there is some Rs. 400 crores loan is there, whereas I believe that project loan has been entirely paid in MCL? I'm talking of MCL, sir?

Sultan Baig: This is not a project loan. This is equity which is kept in the form of loan from Nava Bharat Singapore as well as ZCCMIH.

A.M. Lodha: But so far, I have read the balance sheet of Nava Bharat Singapore. Originally, they have given INR700 crores in rupee terms and INR300 crores something is interest outstanding, as they are providing every year, they were making a provision of the interest on the loans given. So out of that INR1,000 crores loan, how much the MCL has to return to Singapore?

Sultan Baig: Sir, just some time back, our CEO clarified that now we have repaid the entire debt to the lenders. It opens up the window for distribution to the sponsors. As and when there is availability of surplus cash, free cash flow, MCL's Board will be in a position to start the distribution to Nava Bharat Singapore and also to ZCCMIH.

A.M. Lodha: Another one, I could not hear properly, according to my memory, it was approximately INR1,000 crores in Indian currency. How much MCL has repaid to the Singapore subsidiary

GRK Prasad : We are talking about that amount only, which will get now repaid by MCL following the repayment to all the external lenders. MCL now is in a position to address that loan, which incidentally includes the interest accrued but not paid.

A.M. Lodha: Still not commenced the repayment ? After taking the permission from the lenders, they will start repaying?

GRK Prasad : No, the issue was the lenders are not allowing this kind of distribution. Now that the lenders got

repaid completely, MCL is in a position to service these loans. So we could start with payment of all the accrued interest and also distributions there after.

A.M. Lodha: Okay, sir. Then another question that the profit in the MCL's Power division is lesser than the third quarter. Is there any shutdown in the last quarter in MCL?

Sultan Baig : Yes, MCL had undergone routine shut down in both the units for 14 days, in the month of February and March.

A.M. Lodha: February and March, each unit. But there was no filing to the stock exchange . How we come to know that the company has taken a shutdown?

Sultan Baig : This is not a major maintenance. There was a routine maintenance.

A.M. Lodha: When your next major maintenance is due, sir?

Ashwin Devineni: It's every 6 months, Mr. Lodha. it's a biannual maintenance. And every time we basically figure out when we're going to have it is based on discussions that we have with ZESCO because of the power crisis and so on, we can not take a maintenance when there is a huge power deficit. So we discussed with them, we agree on our schedule, and we take the biannual maintenance every 6 months.

Moderator: Our next question is from the line of Gorsidak from Prudent Equity.

Gorsidak : I want to know post majority repayment of consolidated debt that happened in FY '24, what will be our normalized interest cost going forward for FY '25 and '26?

Sultan Baig : There is no interest cost for FY '25 as of now because there is no debt either at a stand-alone level or at a consolidated level. It's only normal working capital, which is very minimal.

Moderator: Our next question is from the line of Jatin from Swan Investments.

Jatin: Just on your operational numbers, I was just thinking on your mining operations. In the sequential perspective, we reported a substantial degrowth in the numbers on the mining side and the power side. So power, definitely, we can understand there is a lower tariff which you got in Zambia, but on the mining front, can you help us understand what are the reasons behind the sequential decline?

Ashwin Devineni: Yes. So the mining operations at MCL have been doing extremely well. If you look at the year-on-year figures, there's a significant increase in terms of quantities and also profitability.

Quarter-on-quarter, there has been a decline because what we have also experienced is other competitors coming up in the vicinity, so the volumes have decreased to a slight level. But after that, they started increasing. They started going on the upward trend, but the decrease is primarily attributable towards new competition that has emerged.

Moderator: Our next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: So, when you are operating our ferrochrome capacity, we had a capacity of around 2 lakh tons, if I'm not wrong. So now we are producing, in fact, silicomanganese and ferrosilicon. What is the equivalent production that is possible if we are producing at 100%?

Nikhil Devineni: So, Vignesh, when we were producing ferrochrome, the annual capacity was 60,000 tons so we had two 16.5 MVA furnaces, and the production per month was around 5,800 or so. Now given that we're producing silicomanganese, which has a higher specific power consumption, the production volumes go down slightly. So with silicomanganese, it is instead of 6,000 tons per month, it's at about 4,000.

Vignesh Iyer: So this is for silicomanganese, right?

Nikhil Devineni: Correct, silicomanganese. So the annual capacity for both the units put together producing only silicomanganese is about 140,000 tons per annum.

Vignesh Iyer: Okay. 140,000 tons per annum putting both the factories together, right? And I remember you had said about the ferrosilicon having a delta of INR15,000, INR20,000 per ton over the silicomanganese, if I'm not wrong? How

is that delta faring out now since we have seen an increase in price across?

Nikhil Devineni: See, I think last year, the silicomanganese industry went through a very lean phase. And during this period, it was very difficult for most producers like us to even recover the variable cost component. So in order to alleviate the situation, we diversified into a new product lines. And at that point of time, ferrosilicon was doing rather well. So we were able to either break even or make the slight margin on that. But today, with the rebound in silicomanganese prices, it makes more commercial sense to revert back to silicomanganese on all the furnaces that we have.

Vignesh Iyer: Absolutely. So basically, if I understand it right, for this quarter, we'll be operating on the both plants on silicomanganese front only, purely?

Nikhil Devineni: We do have a commitment that we have been -- that is currently being serviced for ferrosilicon, which would complete by 15 June, post which we intend to convert even that furnace back to silicomanganese. So post 15 June, all of them are going to be running on silicomanganese.

Vignesh Iyer: Right. Sir, just one more question from my side. The provision now we have done around say INR283 crores compared to what it was like INR472 crores, so what is the total provisions we have done already until now? And do we intend to continue to have this expected credit loss along that going ahead?

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Sultan Baig : Currently, in the books, we have \$34 million provision. If , once we start realizing the receivables from ZESCO, we'll be able to do the reversal of this provision .

Moderator: Our next question is from the line of Anant from CIL.

Anant: In December '23 in the con call, I think our payment outstanding was about \$254 million. And today, our payment outstanding is \$234 million. Are you 100% sure that by the calendar year '24, we will be able to recoup this \$234 million?

Ashwin Devineni: Yes. So I don't think we can be 100% sure of anything in life. So what we can assure you is we are doing our level best to discuss with ZESCO. ZESCO has been honouring a lot of its commitments. We are working with ZESCO times are tough in Zambia, and we definitely wish and hope to recoup the entire amount, but it will all depend on discussions that we have with ZESCO as we move forward.

Anant: How will you structure the entire African business? You have got expansion. Will it be a part of MCL, or will you make a different subsidiary for ferroalloy's front in Africa?

Sultan Baig : There are different subsidiaries. Whereas Maamba Collieries is a different subsidiary under which we have the Phase 1 power plant, and the Phase 2 could be under that. And agri business is anyway 100% in a different subsidiary.

Anant: Regarding the new expansion of 300 -megawatt in Zambia, will MCL be able to finance it or will there be more equity infusion from the Singapore entity from our side?

Ashwin Devineni: Yes. So with regards to the Phase 2 , the equity would need to be financed by NBS. But at the end of the day, MCL will declare dividends and repay the shareholder loan to NBS. So NBS will be utilizing some of that cash flow to fund its equity.

Moderator: Our next question is from the line of Dinesh K, an individual investor.

Dinesh: I have 3 quick questions. One is regarding the interest cost. It is still very high. Don't you think that for operation cost, this is too high, INR52 crores. The second question is the investment in Avocado? And how long it will take to get revenues from Avocado? And the third question is, we have this magnetite reserves and how much investment is planned into this?

Sultan Baig : I'll answer the second question. First, magnetite is very new. We are yet to start on the exploration. Once we get to the reserves, that time we'll be able to envisage what's going to be the investm

ent on the magnetite mining site , etc. On the first question, you were not very clear.

From what I could understand, you're talking about the interest cost in the last quarter. That's because the loans were repaid. And also , there was some prepayment penalty and default interest, that was also paid to the lenders. From the Q1 '24 -'25 onwards, we don't have any loans outstanding either at stand -alone level nor at consolidated level, so there is no interest cost.

Dinesh: Yes. You missed my second question, the Avocado part. What will be the potential revenue for the Avocados?

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Sultan Baig : Avocados, the total area where we have the plant is about 1100 hectares. And once the entire 1,100 hectares come into full scale production, we anticipate a production of somewhere about 22,000 to 25,000 metric tons. Going by the present values of Avocado, we anticipate revenue of \$50 million to \$60 million.

Moderator: Next question is from the line of Viraj from MoneyGrow India.

Viraj: Can you confirm the net debt status as of 31st of March '24, because you have debt on your books and cash. So if you can just confirm the position?

Sultan Baig : We do not have a debt on our books, Viraj. The debt what you're referring may be the equity debt, which is from NBS to MCL, which is actually the equity portion. NBS has provided the equity both in form of equity as well as the shareholder loan to the MCL.

Viraj: Understood. So would that mean you have INR800 crores net cash between cash, bank balances and investments. Is that reading , correct?

Sultan Baig : Absolutely right.

Viraj: Perfect. My second question is regarding the IMF i.e. impending IMF package for Zambia. Do you think -- this has been on for 3 years. Do you think that will see the resolution and liquidity position around ZESCO where if that were to go through, ZESCO would be in a better position to service the liabilities faster? I'm talking on the arbitration awards.

Ashwin Devineni: So I think the IMF has been in discussion, but it's gained a lot of traction because one of the roadblocks were the government was trying to renegotiate with a lot of their existing lenders, which I think they have made some positive traction with. With regards to ZESCO, what's actually going to increase and improve the cash flows is not really the IMF part, but the fact that there's a lot of new investments and expansion taking place in the copper industry in Zambia. You have a lot of large Middle Eastern entities that are taking significant stakes in copper assets and are either going to recommence operations or start construction.

But the investment level that we are seeing in Zambia, especially in the copper sector is very high, which will increase the power demand definitely and will improve ZESCO's financials.

What the IMF is preventing until it's closed is essentially external borrowing. So I think the problem Zambia or ZESCO's facing today is all their borrowing can be done internally through the domestic market. So, I think once the IMF deal is secured, it will allow ZESCO to also reach out to external financial institutions for the borrowing aspect.

Moderator: Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for the closing comments.

Ashwin Devineni: As we close today's call, I hope we've answered all your queries. If there are any further questions, please reach out to us on the wider investor platform, and we'll be happy to answer. I would like to express my gratitude to our Shareholders, investors and the dedicated team members who are consistently contributing to our success with our unwavering commitment to Nava Limited

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excellence and innovation. I am confident that Nava Limited will continue to thrive in the years to come. Thank you very much.

Moderator:

Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

NAVA LIMITED

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NAVA / SECTL / 230/2024 -25
August 13, 2024

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Dear Sirs,

Sub: Transcript of Conference Call.

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
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Please find enclosed the transcript of the Conference Call with Investors /Analysts held on August 08 , 202 4, on the operational and financial performance of the Company for the quarter ended June 30 , 202 4.

This is also available on the Company's website at www.navalimited.com/financials/ .

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above.

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"Nava Limited
Q1 FY'25 Earnings Conference Call "
August 08 , 202 4

MANAGEMENT : MR. ASHWIN DEVINENI – CHIEF EXECUTIVE OFFICER
– NAVA LIMITED
MR. NIKHIL DEVINENI – SENIOR VICE PRESIDENT –
NAVA LIMITED
MR. SULTAN BAIG – CHIEF FINANCIAL OFFICER –
NAVA LIMITED
MR. VSN RAJU – COMPANY SECRETARY – NAVA
LIMITED

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES

Nava Limited
August 08 , 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Nava Limited Q1 FY'25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star & zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Kumar from ICICI Securities Limited. Thank you, and over to you, sir.

Mohit Kumar: Thank you, Neha. On behalf of ICICI Securities, we welcome you all to Q1 FY '25 Earnings Call of Nava Limited. Today, we have with us Mr. Ashwin Devineni, CEO; Mr. Nikhil Devineni, Senior Vice President; Mr. Sultan Baig, CFO; and Mr. VSN Raju, Company Secretary. Without much delay, I will now hand over the call to the management for opening remarks, which will be followed by Q&A. Thank you, and over to you, sir.

Ashwin Devineni: Good afternoon, everyone. I'm pleased to welcome you all to quarterly investor call. Today, we are here to discuss the financial results for the quarter ended 30 June 2024. I am delighted to report that Nava Limited has sustained its growth momentum with robust performance across all our business divisions.

This quarter, we achieved our highest ever quarterly income of INR 1,258.4 crores marking a 16.7% increase year-on-year. Our profit before tax has also reached a record of INR530.8 crores, reflecting a 27.6% growth compared to the same period last year. These numbers are a testament to our strategic focus on operational efficiency and cost optimization enabling us to navigate market volatility effectively.

Our Energy divisions in India and Zambia have shown remarkable results. The Maamba Energy Limited power plant operated at near perfect 100% plant availability, contributing significantly to our consolidated revenue and profitability. We have also commenced the construction of an additional 300 -megawatt power plant in Zambia, which will further strengthen our position in the energy sector.

In the Metals division, we reported a profit before tax of INR23.2 crores compared to a loss of INR1.6 crores last year, driven by higher realization and successful product diversification to Ferro Silicon. Our Mining division sustained a robust wholesale, contributing to our overall positive financial performance.

Furthermore, I'm pleased to announce that Nava Bharat Singapore Private Limited has started paying dividends to Nava Limited and Maamba Energy Limited has commenced discharging accumulative interest to the sponsors with USD 19.5 million received since April 2024. These achievements highlight our commitment to enhancing shareholder value and generating reserves for future growth. Our Agri business has also made significant strides with Nava Avocado Limited successfully completing the plantation in Division A with over 90,000 trees

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and preparing for the next phase of planting. This aligns with our vision of sustainable agriculture and environmental stewardship.

In summary, our diversified portfolio and robust business model has enabled us to deliver strong financial results and position ourselves for sustained growth. I want to thank all of you for your continued support and confidence in Nava Limited. Let us now open the floor for any questions you may have. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Nidhi Shah from ICICI Securities Limited. Please go ahead.

Nidhi Shah: Congratulations on a great quarter. My first question would be on Maamba Energy Limited, the 300-megawatt plant, do we have a PPA in place for that

? And what are the terms of the PPA?

Ashwin Devineni: Yes. we do have a PPA . It has been signed and also been approved by the Energy Regulation Board. The PPA is for a term of 20-years and the offtake starts post COD, which is going to be 2 years from now.

Nidhi Shah: Okay. And my second question is on NBEIL. You gave the PBT numbers in the presentation. Could we have the revenue, EBITDA and PAT numbers? And simultaneously, do we have any tie-ups for this plant for the balance 9 months of the year?

Sultan Baig : So for Nava Bharat Energy, the total revenue for the first quarter was at INR 201 crores and profit before tax was INR 68.2 crores and profit after tax is INR 44.4 crores. For the current quarter, the plant operated at 91 %-plus PLF. We have bilateral contracts. And overall, for the year, we anticipate it to be over 70% PLF.

Nidhi Shah: And my absolute last question would be that the interest cost has come down significantly this quarter. What is the reason for that? And is it something that we will see over the full year or was this a one -off?

Sultan Baig : The debt has been completely repaid both by Nava, Maamba Energy and also Nava Bharat Energy. That's why there is no interest cost.

Nidhi Shah: All right. And are you planning to bring back debt in the group ? Or this is what we broadly assume the situation to be for next 1 or 2 years?

Sultan Baig : I could not get you.

Nidhi Shah: So broadly being debt -free is the plan for the next 1 or 2 years, right?

Sultan Baig : At Nava Limited level, certainly, yes. But at Maamba Energy Limited level, there will be certain debt in the books for Phase II 300-megawatt expansion .

Ashwin Devineni: I think just to explain further, on a consolidated level, we're not going to be debt -free but at standalone level, yes, we continue to be debt-free.

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Moderator: Thank you. The next question is from the line of Sandeep Mathivanan from MoneyGrow Asset. Please go ahead.

Sandeep Mathivanan : Thanks for the opportunity and congratulations on good set of numbers. I just have one question. So, the gross margins have increased from 65% to 70% year -over-year. Is this primarily due to decrease in coal prices ? Similarly, the RM costs have come down . Are there any restrictions in other RM costs contributing to the improvement that you would like to add?

Ashwin Devineni: So, it's a combination of two factors operating at high PLF and also reduction in the coal prices.

Moderator: Thank you. The next question is from the line of S.G Kankani from S. G. Kankani and Associates . Please go ahead.

S.G. Kankani: Good afternoon, Mr. Devineni. I am very delighted to see the performance of the company in the first quarter. And I just have 2 questions. One is that what is the present tariff in the PPA, which you have mentioned in the presentation as USD 0.095 , so what is the tariff applicable in the latest PPA that you have entered for Phase II?

Sultan Baig : Currently, Phase 1 has a tariff of USD 10.3 cents and the PPA is valid upto 2036.

S.G. Kankani: USD 10.3 cents

S.G. Kankani: So, the tariff being negotiated is less than the present tariff ? It is USD 9.7 cents as compared to USD 10.3 cents.

Sultan Baig : Yes.

S.G. Kankani: Okay. And sir, this is the first-year tariff, whether there will be increase every year as compared to the cost of production or what is the provision in the present PPA .

Ashwin Devineni: It is linked to U.S. PPA inflation index , every year.

S.G. Kankani: Okay. And sir, my one question is, what is the expected revenue from Avocado products in the next financial year? I have read that in the next financial year, the production will be there of Avocado. So, what is the expected revenue from this product in the next financial year?

Ashwin Devineni: So next financial year, revenue will be small, about

t USD 3 or 4 million , but the peak revenue will be from ' 2027-28 onwards.

S.G. Kankani: Okay.

Moderator: Thank you. The next question is from the line of Viraj Mahadevia from Money Grow Asset Private Limited . Please go ahead.

Viraj Mahadevia: Hello. Congratulations to the promoter group and the management team for excellent results . A question, what was the free cash flow in Q1 and any noncore asset sales planned by the company, such as the Hyderabad land parcel erstwhile sugar plant land in Samalkot?

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Ashwin Devineni : No. So I think in terms of the land parcels, definitely, valuations have increased . We have the Samalkot land and then we also have the Dharmavaram land. I think the valuations are definitely increasing. There are a lot of investors looking to set up shop within AP. So I think, hold on and look at opportunities, there's no urgency for us to sell. I think it's a good call that we held on to the land parcels basically enjoying the fruit of the valuations going up. So we're always evaluating opportunities and when the right opportunity strikes, we will move.

Viraj Mahadevia: Understood. the free cash flow, Ashwin, in Q1.

Sultan Baig : The free cash flow at the group level will be about INR500 crores.

Viraj Mahadevia: INR500 crores in Q1 is fantastic . So, my next question is, Ashwin, I think I brought this up a few times before. Obviously, a remarkable job by you and the team in making this debt -free and now net cash, both with incremental arbitration awards coming through as well as the organic cash flow generation. But given that scenario on net cash, what are the plans for use of proceeds, I've seen that you declared an interim dividend of INR4, but that's only INR60 crores. So how do you plan to really reward the shareholders?

Ashwin Devineni: Yes. So I think we've started by rewarding. I mean, at the end of the day, we just started receiving the funds. While we were getting paid in Zambia, we were clearing up all our debt for Phase 1 which has enabled us to become debt -free and essentially embark on Phase 2.

—As Maamba starts declaring more dividends and paying off its shareholder loan, we will definitely look at other corporate actions that will benefit shareholders and increase the company value. And also, we are embarking in terms of expansion of Maamba, the Avocado project, the Ivory Coast project. And we have other things that we are currently exploring. So we're definitely going to leave a significant chunk out for growth capital.

Viraj Mahadevia: I appreciate that , but just correct me if I'm wrong . Avocado plus the equity contribution on the 300-megawatt plant plus Ivory would probably not be more than USD 100 million, USD 150 million, which is about INR1,000 crores. The company is generating INR500 crores of free cash flow per quarter, plus you have an incremental INR1,200 crores to come in from arbitration. The government in the recent buyback rules allowed a relaxation until the 1st of October. So that's one avenue , two is obviously dividends, but keen to see either of the 2 or both come through for shareholders.

Ashwin Devineni: So, I see, in terms of our payments and so on, there's still some due. We hope when it comes, we can take certain aggressive corporate decisions with regard to increasing shareholding value.

. We're really trying to ensure that ZESCO pays the Arrears on time. And I think once we get the cash, we will definitely take certain corporate actions. So, in terms of the expansion, if you look at the equity portion of the Avocado and the Maamba, you're looking at about USD 120 million. And we are looking at other opportunities too. You need to understand that we are in certain sectors that could be phased out say in 20 years, 30 years from now. . So, we would want to save some cash to grow other verticals that we want to get i

nto.

Viraj Mahadevia: Understood. All the very best on the growth and the shareholder value enhancement.

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Moderator: Thank you. The next question is from the line of Govind Lal an Individual Investor. Please go ahead.

Govind Lal: Congratulations to the whole Nava team for this great set of numbers. As a shareholder, I'm very happy. I have 2 to3 questions. First is that in last investor call held in May, you said that corporate action will happen very soon, sooner than later, that is the words what you used. can you define this, sir?

Ashwin Devineni: Yes. we did say 3 months later, we did take the corporate action by declaring an interim dividend. I think we just started receiving cash from our Zambian subsidiary and as soon as we have, we have declared an interim dividend like promised.

Govind Lal: On an overall basis , this dividend is very small. We , as a shareholder thought that we would

receive big as corporate action Is that what you hinted in last call, which is something small this quarter or something more is in pipeline?

Ashwin Devineni: We take decisions based on what we have. We've just started receiving money and we've taken a corporate action. Now we are working hard to get the remainder of the ar rears paid . And once that comes, maybe it could allow Board to deliberate on larger corporate action. It is very hard for the Company to predesign the actions that it may take, while we don't have the money sitting with us.

Govind Lal: Yes. My second question is regarding the tax rate in second phase. Will we be getting a similar tax holiday in phase 2 also, as we got for Phase 1 . .

Sultan Baig : Yes, we will be getting tax holiday similar to the Phase 1 in Phase 2 as well.

Govind Lal: So, we got for first 5 years in Phase 1, will we get the same for Phase 2 also?

Sultan Baig : Yes.

Govind Lal: Okay. Then last question is regarding th e dues which we received from arbitration arrears in this quarter.

Ashwin Devineni: In the current quarter we received USD 15 million.

Govind Lal: How much is due as on today ?

Sultan Baig : USD 224 million.

Govind Lal: Now we must receive USD 25 million every month going forward from August ?

Ashwin Devineni: No. It's a very dynamic situation. You need to also understand that right now Zambia is going through big power crisis, as the hydros are working at suboptimal plant load factors. We are in constant discussions and they are paying us a certain amount every month, but it's a very dynamic thing which is happening during discussions. We are trying to work with them rather than being unreasonable. So I don't think we can communicate any numbers right now. But on a month -on-

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month basis, they are paying a certain amount, and that's based on verbal agreements that we are having with the utility.

Govind Lal: So the equity contributions for second phase shall be from arrears?

Ashwin Devineni: Yes. I think the good thing here is the way we structured the project finance , which has been equity rear -ended, unlike what it was for the initial Phase 1 project, which means our equity comes at the end. And we made it very clear that the equity from our side would just to be paid from the ar rears , so there won't really be a contribution from the Nava side.

Govind Lal: So just to have a more clarity, out of INR100 crores equity, INR65 crores Nava has to contribute, which will be contributed through the arrears received?

Ashwin Devineni: Well, that is our plan. As Maamba gets money and as it declares dividends to Nava Bharat Singapore, Nava Bharat Singapore will use that cash to fund its equity portion.

Govind Lal: Okay

Moderator: It seems like we have lost our current participant. We'll take a quest ion from the line of Nidhi Shah from ICICI Securities Limi

ted. Please go ahead.

Nidhi Shah: I wanted to know what is the capex expenditure that we're looking at for the full year? And how are you going to plan it across various quarters?

Ashwin Devineni: In terms of the Indian operations currently there's no large capex plan. I think most of the planned capex emanate from our overseas operations, which include the Maamba Energy expansion and on the Avocado side since we are now looking at putting together a pack house and also with our exploration activities at Ivory Coast and also the lithium assets that we have recently acquired exploration licenses. We plan on starting the exploration acti vity there, too.

Nidhi Shah: Also, the ferro alloys we saw this quarter that the profit and EBIT margins have jumped quite a lot, as compared to Y -o-Y. Is this something that we see as a normalized rate of EBIT from the ferro alloys segment? Or we will see the margins maturing further?

Nikhil Devineni: Unfortunately, no, because the prices, which you're seeing in quarter 1 have tapered down in quarter 2. But having said that, I think we are also taking some mitigated measures particularly with respect to diversification of different products. So that is helping us retain the margin. And similarly, even for the existing bulk product that we produce which is silico manganese, we have a long -term agreement with overseas customers.

So that is faring much better than, what the domestic market is offering. So these things are helping us the situation that we're facing today, but it's very different from what we had in quarter 1.

Moderator: Thank you. The next question is from the line of Rucheeta Kadge from i Wealth Management LLP. Please go ahead.

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Rucheeta Kadge : Sorry if I missed on this point. I just wanted to understand on ZESCO. how much amount are we expecting from them this year in terms of the arbitration?

Ashwin Devineni: Yes. So, like we said, the outstanding amount is USD 224 million . They are right now paying us on a monthly basis, about USD 5 million towards the arbitration. They have to start paying a larger amount to the tune of about USD 25 million per month.

Now unfortunately, given the current situation there, their revenues have also kind of come down because of the bad rains and the fact that they're not able to generate and sell as much power as they earlier envisaged. We currently are in discussions with them. They are very determined to clear the entire USD 224 million. In fact, they are working on other initiatives such as taking loans to really clear this. But this is under discussion. So, we can't commit to any payment plan in terms of how much they will be clearing every month, but they've been paying us USD 5 million on a monthly basis .

Rucheeta Kadge : Okay. And sir, what is the status on the magnetite exploration that you were supposed to start?

Ashwin Devineni: We have been undertaking exploration activities. We do feel that there is high -grade magnetite there and the activities are currently ongoing. Like any exploration activities, these are time consuming, and we'll only get the results later.

Rucheeta Kadge : Okay. Just one question is regarding the unallocated the other segment that we report. This quarter the EBITDA has come at around INR70 crores. So, wanted to understand what does others consist of?

Ashwin Devineni: These are technical services and the other income . So technical services, which include other services and operation and maintenance services that the company provides .

Rucheeta Kadge : Okay. The operations and maintenance that happens at Zambia?

Ashwin Devineni: Yes.

Moderator: Thank you. The next follow -up question is from the line of Viraj Mahadevia from Money Grow Asset Private Limited. Please go ahead.

Viraj Mahadevia: Until when the Zambia Phase 1 tax concession s valid?

Sult

an Baig : Current financial year is the last financial year for the first 5 years of tax holiday, then the next 5 years will commence from 1st April '25 onwards.

Viraj Mahadevia: Understood. So, after the current financial year FY '25 there will no longer be a tax concession. And what will be the tax rate going forward there?

Sultan Baig : 30% corporate tax .

Viraj Mahadevia: Okay .

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Moderator: Thank you. The next question is from the line of Govind Lal an Individual Investor. Please go ahead.

Govind Lal: Just a clarification on the question asked by previous participant . So this year, we are adjusting first 5 years tax concession. So next year, I don't think it is full tax 30%. For the next few years, it will be 15%. After that, it will be 20%, 30% like that, I think. So my understanding is correct?

Sultan Baig : Yes, absolutely.

Govind Lal: So how much it will be from next year, sir? From nil to?

Sultan Baig : First 2 years, it will be 75% exempt, then the next 3 years it will be 50%.

Govind Lal: Okay . Then last one more question sir. This quarter was very phenomenal. For Zambia , that is a regular business. For Indian operations , is there any seasonality that power or ferro alloys will be distributed?

Sultan Baig : During the first quarter, demand for power will be generally high especially from the Northern states. That's why energy sector does better in the first quarter. And the demand for power slightly reduced in the Q2, but again picks up in Q3 onwards.

Govind Lal : Then last one question. How much arrears we have to still write back?

Sultan Baig : So, the outstanding arrears on the arbitration as on today is USD 224 million.

Govind Lal: No, how much more is the credit loss to be written back.

Sultan Baig : It is USD 31.9 million.

Govind Lal: Still USD 31.9 million to be reversed?

Sultan Baig : Yes.

Moderator: Thank you. The next question is from the line of Vijay, an Individual Investor. Please go ahead.

Vijay P: Yes. I missed the part about Ivory Coast exploration. It was said that this exploration had not given encouraging results, and we have given it up. Now what is the next thing happening in Ivory Coast?

Nikhil Devineni: So, we're actively pursuing other options. Ivory Coast at the end of the day, does have a decent manganese potential. So, we are looking at other options and as and when we get them, we'll

disclose .

Vijay P: So as of now, we do not have any opening in Ivory Coast as far as manganese ore is concerned?

Ashwin Devineni: No, we do. Essentially, the way it works with these concessions is you can have multiple concessions. If one is not very fruitful , there are other concessions that we are exploring in Ivory Coast. It's not like we've given up on Ivory Coast. It's just that you find the most economical concession and the exploration activity is continuing .

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Vijay P: Coming back to the ferroalloy operation in India, every time somebody asked about the monetization of land parcels, it is told that there is no usage of the money at the moment and the price is going up and so we are holding on to it. So, what are we doing about expanding our ferroalloy capacity or the power generation capacity in India when we have the source of money for funding it?

Nikhil Devineni: Well, I think if you look at the last year, the ferroalloys division with the existing capacity had proved hard to turn profitable and that's mainly on account of input costs are essentially the same as the competitor.

Unless you backward integrate and have access to your own new raw material, in this case, it's manganese ore. So, we're pursuing that very actively. I think once that does take place, then a call for expansion could be justified. But at this juncture when there is already an oversupply in the market, it doesn't

make sense to expand.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Ashwin Devineni: In conclusion, I want to express my gratitude to our dedicated team for everything, and I hope we've answered all your questions. We remain focused on our long -term goals, future diversification and global expansion. We look forward to also delivering sustained growth and margin to all our shareholders and stakeholders. Thank you very much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: 1. This document has been edited to improve readability and

2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: Nov 2024

NAVA LIMITED

NAVA /SECTL / 358 /2024-25

November 20, 2024

Listing Department
National Stock Exchange of India Limited
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MUMBAI – 400 051
NSE Symbol: 'NAVA'
Dept. of Corp. Services
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MUMBAI – 400 001

Scrip Code : '513023' / 'NAVA'

Dear Sir (s),

Sub: Transcript of Conference Call

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: Transcript of the Conference call with investors.

Please find enclosed the transcript of the Conference Call (i.e., group meet) with Investors/Analysts held on November 14, 2024, on the operational and financial performance of the Company for the second quarter and half year ended September 30, 2024.

This is also available on the Company's website at
<https://www.navalimited.com/investors/financials/investor-conference-call/>

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above

Nava Ltd 14.11.2024
Q2FY25 earnings Conference call
"Nava Limited
Q2 FY'25 Earnings Conference Call"
November 14, 2024

MANAGEMENT : MR. ASHWIN DEVINENI – CHIEF EXECUTIVE OFFICER – NAVA LIMITED
MR. NIKHIL DEVINENI – EXECUTIVE DIRECTOR – NAVA LIMITED
MR. GRK PRASAD – EXECUTIVE DIRECTOR – NAVA LIMITED
MR. SULTAN BAIG – CHIEF FINANCIAL OFFICER – NAVA LIMITED
MR. VSN RAJU – COMPANY SECRETARY – NAVA LIMITED

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES

Nava Ltd 2 14.11.2024

Q2FY25 earnings Conference call

Moderator : Good evening, ladies and gentlemen. I'm Pelsia, moderator for the conference call.

Welcome to Nava Limited Q2 and H1 FY25 Results Conference Call. As a reminder, all participants will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal a Moderator by pressing * and then 0 on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.

Mohit Kumar : Thank you, Pelsia. On behalf of ICICI Securities, we welcome you all to Q2 FY25 earnings call of Nava Limited. Today we have with us Mr. Ashwin Devineni , CEO; Mr. GRK Prasad, Executive Director; Mr. Nikhil Devineni, Executive Director ; Mr. Sultan Baig, CFO and Mr. VSN Raju, Company Secretary. Without much delay, I will now hand over the call to the management for opening remarks, which will be followed by Q&A. Thank you and over to you sir.

Ashwin Devineni : Good evening, everyone, and thank you for joining us today. I'm pleased to report that Nava Limited has delivered a strong quarter with significant growth in profitability. Our consolidated profit after tax increased by about 72% YoY to Rs. 332 crores, highlighting our commitment to operational excellence and financial resilience. Our Energy and Metals division has shown notable improvements supported by strategic planning and market adaptability. Additionally, the Board's approval of a 2 :1 stock split aims to improve liquidity and broaden shareholder access, underscoring our confidence in our growth strategy. We're advancing on key projects, particularly in Zambia, with the 300-MW Phase 2 Energy project on track for completion at the end of 2026, and our agricultural expansion into sugar besides avocados.

These initiatives align with our strategy to diversify revenue streams and establish Nava as a leader in sustainable agriculture and green energy. As we continue our journey, Nava remains focused on value creation, operational strength and sustainable growth. Thank you for your ongoing support, and I look forward to discussing our results in further detail. Thank you.

Moderator : Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request you may do so by pressing * and 1 again.

First question comes from A M Lodha from Sanmati Consultants. Please go ahead.

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Q2FY25 earnings Conference call A M Lodha : Congratulations on the fairly set of numbers, sir. And also, I congratulate the Board

for addressing the liquidity issue by announcing stock split. Thank you very much for that. I have got 2, 3 questions, sir. Number 1, my question is on Maamba Collieries arbitration money. How much money we receive per month and how much is still pending? I suppose the entire money was supposed to be refunded by them by December '24 .

Sultan A Baig : Okay. You can complete your other questions, Mr. Lodha, then we can answer all of them.

A M Lodha : My second question is regarding the money payable by MCL to Singapore Holding

Company . At the time of the project, the Singapore Holding Company has given some equity participation and loan to MCL , on which they were providing the interest. So I understand that INR 700 crore as principal amount and INR 300 crore was the interest amount. Total INR 1,000 crore s to be received by Singapore subsidiary from MCL. Hence, I want to know the repayment status . And simultaneously,

I also wanted how the Sin gapore subsidiary is utilizing th e money received from the MCL. Th ese are my 2 questions and again I will go in the queue, sir.

Sultan A Baig : Thank you, Mr. Lodha. Thank you for your questions. So regarding your first question on the receivable pending from ZESCO, as on date, we are yet to receive USD 197 million. From what we understand from ZESCO, these mon ies will be paid over the next few months. Then coming to your second question, regarding the receivable s from Maamba Energy to Nava Bharat Singapore , as on 31st March, there was an overdue interest of USD 42 million approximately and a loan of USD 89 million that was outstanding. You will be happy to know that as o n date, the interest amount has been fully repaid by Mamba Energy to Nava Bharat Singapore and out of the outstanding loan amount of USD 89 million, USD 25 million has been repaid.

A M Lodha : Now my further question relating to your answer number 1, USD 197 million is still outstanding. Suppose the Zambia government doesn't pay by December, which is the deadline for the arbitration agreement, then do we have any course to take suitable action against the government of the Zambia?

Ashwin Devineni : No. I think, firstly, as per the arbitration agreement, they were supposed to pay us long time ago when the arbitration award was granted. We then got into discussions with the government and the state utility and agreed on a certain payment plan. Today t hey have been paying on a monthly basis, although not to the extent that the payment plan stipulated, but to the extent that they can afford. Given the current energy crisis in Zambia, there is a certain cash crunch. Even though there's been a cash crunch, they've been very, very timely in terms of their monthly payments. And over and above that too, they've been paying us a small amount up to about USD 5 million on a monthly basis.

So, we are in constant discussions with them. And although they are expecting certain difficulty to pay the entire USD 197 million outstanding by this year end, they are committed. They are working on certain avenues of financing where they could get certain lump sums that they would be directing to us. And it's an ongoing discussion.

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Q2FY25 earnings Conference call

A M Lodha : Okay. But even USD 75 million of September '23 is still outstanding.

Ashwin Devineni : No. That's not the way we look at it, Mr. Lodha.

A M Lodha : If you recall the last con -call, USD 75 million of September '23 is still outstanding. We are receiving USD 5 million a month along with your electricity bills. So I want to know, if they are unable to repay for another 1 year, we shall be charg ing interest on the outstanding amount ?

Ashwin Devineni : No. I think from the last time we had this investor call, they have paid us USD 25 million, which was attributed towards ar rear payment. So, it's not like they've not been paying or not clearing the USD 75 million . So, they have paid us USD 25 million since the last quarter. In fact, we just received USD 5 million this week too, towards the arrear payment. So, there is an ongoing thing. Discussions are underway . There is a certain crisis going on there. We are working with them. On a monthly basis, they pay us about USD 21-22 million which includes our monthly receivables. And in addition to that, they're paying us USD 5 million towards arrear s. So given the current situation, I think they're doing their level best and discussions are continuing in terms of how they would pay the remainder of the arrears . And we are happy with the progress they made.

A M Lodha : Okay, sir. I want further clarification on my question no. 2 . Out of USD 131 million, USD 67 million have been paid to the Singapore subsidiary. Interest is

fully paid and there is certain principal amount outstanding. When can we expect the full repayment to the Singapore subsidiary?

Sultan A Baig : Sir, as and when Maamba Energy realizes the funds, it will have funds for distribution to both the sponsors. It depends upon the availability of free cash surplus with Maamba. Maamba is utilizing the money only for its expenditure and operations and surplus is being distributed to its sponsors.

A M Lodha : How is the money being utilized by the sponsors ?

VSN Raju : Mr. Lodha, I think you can join back in the queue. We'll take your questions later.

Moderator : Thank you. I request the participants to restrict with 2 questions in the initial round and join back the queue for more questions. Next question comes from Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Thank you for the opportunity and congratulations on a good set of numbers. My first question is that any receivable that is pending, can you convert it into equity, for the new 300 -megawatt project? As in the receivable getting converted wherein, they instead of paying us, it gets converted into equity and they put up the fund in realization of that USD 200 million which was pending. So I want to ask is it still under discussion? Or will the revenue get recognized like USD 5 million per month ?

Sultan A Baig : Mr. Iyer, your understanding is not correct. Receivables are not getting converted into equity. So when Maamba Energy received the receivables and it distributes to Nava Ltd 5 14.11.2024

Q2FY25 earnings Conference call its sponsors, sponsors will have the opportunity to plough back the surplus funds and equity to Phase 2 project. There is no direct conversion.

Vignesh Iyer : Right. But we had contemplated something, because in the new 300 -megawatt, we have to anyway put our money as equity for the new project, if I'm not wrong?

Sultan A Baig : Mr. Iyer, the receivables are from ZESCO, whereas the equity deployment is from the sponsors i.e. ZCCM IH as well as Nava. They are different parties. So, receivables were never planned to be converted into equity.

Vignesh Iyer : Okay. And continuing with the earlier participant, I wanted to understand how are we planning to utilize the money received in the Singapore Subsidiary ? Are we passing it to the standalone? Or is it getting reinvested in other businesses? And if you could give the breakup of the same?

Ashwin Devineni : No. So, in terms of the money that we are getting, essentially there are 2 aspects. One is, there is a lot of growth capital that's required. We just talked about the expansion where we need to contribute a portion of the equity. The total equity contribution based on the project cost is USD 100 million out of which USD 65 million has to come from us. So that is a priority. So, a lot of the funds that we are receiving will be ploughed back in the form of equity. Then we also have other projects that are currently ongoing and gaining a lot of traction such as the agricultural projects, the projects in Ivory Coast and so on. And apart from that, we're also looking at corporate actions like during this quarter, we did declare an interim dividend, out of the funds received from MEL to NBS, which further declared a dividend to Nava.

So, it's a combination of using the funds towards growth and corporate actions that we're taking to benefit the shareholders.

Vignesh Iyer : Understood, sir. Just one more question, if I could squeeze in. So, this avocado plantation in Zambia, so I understand it, we have already planted around 90,000 plants and expecting to do another 1 lakh plants in the month of November. So, if you could help me understand the amount we have already spent and the amount we'll be spending for this 1 lakh plants. And what is the yield expected out of it? You have stated in the

press release that we might get our 1st set of crops in the month of December . So I want to understand the metrics and economics behind Nava Avocado Limited.

Sultan A Baig : Yes, your understanding is correct. We have already planted close to 100,000 trees in Division A. Generally, the tree takes about 2 -3 years to mature fully and giving full yield. So, the initial yield that we are getting from December is the very initial yield of very young trees. It's very small. It can not be called a commercial yield. And secondly in Division B, 100,000 trees will get planted from December till March -April and it will be another 3 years or so before these trees will give full maturity, full yield. Generally, once the entire plantation reaches a maturity of 3 -4 years, the yield expected is somewhere about 20 -25 metric tons per hectare. So, in the overall capacity of 1100 hectares, we can expect about 20,000 -25,000 tons per annum.

Vignesh Iyer : 22,000 -25,000 MT per hectare, if I got it right?

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Sultan A Baig : For the entire 1100 hectares.

Vignesh Iyer : For the entire, 1100 hectares. And what is the unit economics, I mean, per metric ton, what realization we could get? And what is the cost we spent on planting the first 1 lakh tree s and the subsequent 1 lakh?

Sultan A Baig : Mr. Iyer, I think you have to give chance to others. It's been almost 4 - 5 questions in this interaction .

Vignesh Iyer : Okay, fine. I'll join back in the queue. Thank you.

Moderator : Thank you. Next question comes from Abhinav from ICICI Securities. Please go ahead.

Abhinav : Hi sir, good evening. Thank you for the opportunity. So, my question is for MEL Phase 2 project 300-megawatt plant. What is the overall status? What is the total project cost? I understand the debt has been tied up. So, what is the debt-to-equity ratio? And has the equipment supply been secured?

Sultan A Baig : Yes, so the overall project cost envisaged is USD 400 million out of which USD 100 million is equity as indicated by our CEO and USD 300 million is a debt. As of today, we tied up USD 260 million and depending upon the project progress and requirement, we will tie up the balance. And the contractor has already been appointed and we issued the notice to proceed to the contractor in the month of August. Currently, they are in the process of placing the orders for equipment supply from China.

Abhinav : Understood. And one more thing in the balance sheet, I can see that there is cash of more than INR 1500 crores, including investments . So, what are the plans for utilization of that cash?

Sultan A Baig : Yes, on the consolidation level, you'll see a significant cash balance, and it has to be split into the cash that we are keeping aside for growth capital and corporate actions, which is sitting in Nava Bharat Singapore and in -house treasury of Nava India. So, Board will take a suitable decision at the right time for the corporate actions and the growth capital on the total cash.

Abhinav : Okay. Thank you. And I must say that the presentation is quite exhaustive, and it s sort of gives us a lot of understanding. Thank you for that.

Sultan A Baig : Thank you.

Moderator : Thank you. Next question comes from Gargi Agarwal from Value Investments. Please go ahead.

Gargi Agarwal : Thank you for the opportunity and congratulations on the good set of results. So , my question was out of the USD 100 million of equity funding, how much have we deployed till now? Or if we have not, then by when do we plan to deploy?

Sultan A Baig : As on date, we have not deployed any amount. The deployment will commence Nava Ltd 7 14.11.2024
Q2FY25 earnings Conference call from December spread over a period of 2 years during the project construction.

Gargi Agarwal : All right. The second question is that since the Indian Power business is very volatile, do we have any long-term contract with third party power players? And what kind of average PLF are you expecting for the full year for the India business particularly?

GRK Prasad : Well, Indian power sector is kind of dynamic where long term contracts are not coming through. And whatever the contract that have come in by way of short - term contracts, we have been participating in through our 150-megawatt unit or where possible in our 60-megawatt unit. What we envisage is a long-term contract could come in the early '25, where we would like to participate in both 150 - megawatt as well as 60 -megawatt IPPs. At this point, it's not clear. But some indications are there that such contracts could come in.

Gargi Agarwal : All right. 3rd question is that, you mentioned about some...

Moderator : Sorry to interrupt you, can you join back the queue, ma'am?

Gargi Agarwal : Yes. Sure.

Moderator : Thank you. I request the participants to restrict with 2 questions in the initial round and join back the queue for more questions. Next question comes from Pravin Desai, an Individual Investor. Please go ahead.

Pravin Desai : Good Afternoon Sir. Thank you for the invitation and congratulations for a good first half year result. So, for liquidity purpose, you have approved stock split. Our request is that since we have a very huge reserve, please give bonus.

Ashwin Devineni : Yes. We're always looking at corporate actions that benefit the shareholders. So, we'll take the necessary action when required.

Pravin Desai : Okay, sure. Thank you. But we are expecting some good thing from you. The splitting is not beneficial to individual shareholders. Only the number of shares will increase. Liquidity may increase, but the value will not go up.

Ashwin Devineni : No, we always look at the shareholder's perspective. I mean, please don't forget that we just declared an interim dividend during Q2. So, we're always looking at actions that benefit the shareholders.

Pravin Desai : Okay. Thank you, sir. But in future, please think about this also.

Moderator : Thank you. Next question comes from Viraj Mahadevia from MoneyGrow. Please go ahead.

Viraj Mahadevia : This is Viraj. Congratulations on stable results. Quick question regarding the dip in performance this quarter is because of the scheduled maintenance of India and Zambia plants. Am I right?

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Q2FY25 earnings Conference call Sultan A Baig : Absolutely right, Mr. Viraj. In Zambia both units underwent biannual maintenance, and also our Orissa power units went through a major maintenance.

Viraj Mahadevia : And is this for a large part of this quarter? Or was it half the quarter? what the normalized earnings will be getting back into Q3?

Sultan A Baig : 85% PLF for the power plant is considered normal. And our Maamba power plant as compared to 100% in the previous quarter, current quarter it was 84.5%. Whereas for the Orissa powerplant it was a long overdue major maintenance, so PLF was slightly lower.

Viraj Mahadevia : And are they fully operational starting this quarter, October 1?

Sultan A Baig : Yes. All the plants are fully operational now.

Viraj Mahadevia : Okay. I want to understand the sources and uses of cash over the next 2 years. As Mr. Ashwin mentioned, there are quite a few projects in the pipeline. What I understand is that the business has net cash of about INR 1,000 crores on the books , the annual free cash flow is about INR 1 ,500 crores and the arbitration dues is roughly about INR 1 ,500 crores. So, there's about INR 4,000 crores of cash coming in within the 12 -18 month s period. Can you articulate the uses of cash, particularly

in the equity contributions towards the various projects over the next 12 -18 months?

Sultan A Baig : Absolutely, Mr. Viraj. As Ashwin pointed out, our immediate requirement is for the Maamba Energy Phase 2 project, which is about USD 65 million, then we have ongoing avocado project, which is as of now fully funded by equity , there's no debt on it. Other than the USD 15 million, we already incurred so far, there will be an investment of additional USD 30 million over the next 2 -3 years in the project. And the integrated sugar project that we are commencing in Zambia, the total project outlay is USD 125 million, and we envisage about USD 40 million to USD 45 million will go as equity into that project. So overall put together every month . About USD 150 million between these two. And besides that, we have Ferroalloys smelting plant, which we are planning in Ivory Coast besides the mining. So, it will have an outlay of about USD 150 million plus.

Viraj Mahadevia : USD 150 million in equity? Sorry, sir ?

Sultan A Baig : That is the total capital outlay

Viraj Mahadevia : So, it will be USD 50 million max equity.

Sultan A Baig : Yes.

Viraj Mahadevia : So about USD 200 million over the next 2 years, let's say, roughly.

Sultan A Baig : Yes.

Viraj Mahadevia : It's about INR 1,500 crores. Okay. And the inflow should be about 4,000 crores It's a good start, I think, with the split, but I think we're hoping to see further shareholder value enhancing actions through meaningful dividends, buybacks over

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Q2FY25 earnings Conference call the next year or so. Because it's INR 1500 crores as we've just gone through as spends and about INR 4,000 crores hopefully coming in over the next 12 -18 months. Thank you. All the best.

Sultan A Baig : Thank you.

Moderator : Thank you. Next question comes from Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah : So, I have couple of questions for Zambia. Now that we have a power plant mining, avocado integrated sugar coming up in Zambia, what is the reason for expansion in Zambia? Is it that the Zambia environment is good for now? Secondly, what other opportunities can we pursue in Zambia that are related to our business? Can we pursue expansion at the power plant in and around Zambia? Are there more opportunities in power and mining lined up in neighboring African countries ?

Ashwin Devineni : Yes. So, I think whenever we evaluate projects, we look at the risk profile and the benefit that we're getting. And after we have a very large presence in Zambia already with the Maamba Energy Limited. We found that the investment climate is fairly good. The rewards are fairly good. While there is risk, the margins and rewards are good. So therefore, we decided to expand a fair bit in Zambia. Today, we are doing power generation. In terms of mining, we're getting into lithium and possibly iron ore. And on the agricultural side, we're doing avocados and sugar. But needless to say, it's not just Zambia that we're looking at, we're also looking at the Ivory Coast, where we're looking at manganese in terms of mining and smelting

and possibly power generation.

And we're looking at other countries too that offer a good investment climate where the risk is lower, but the margins are high.

Nidhi Shah : Do you see any specific countries in the African region , where you could possibly have opportunities to set up something? Is there any bridge that has opened up?

Ashwin Devineni : Yes. I think Ivory Coast and some of the other countries that we were possibly looking at are Botswana, Namibia, where the ratings of the countries are high. They are English -speaking countries and it would make it easier for us to work for their rule of law. So those are the different aspects that we look at and we're always looking at opportunities in these regions.

Nidhi Shah : All right. Lastly, I had a bookkeeping question on the Maamba Energy Limited. I can see in the slide that you've given separate financials for the energy business and for the mining business. What I would like to understand is that, in the mining business, is the revenue being recognized where it is sold to third party or revenue from Maamba Energy Limited is also considered? Secondly, does the energy business recognize that as a cost? What is the accounting just between those two? I understand part of the consolidated level those would get nullified. But between these two slides, could you help me understand the breakup ?

Sultan A Baig : Even in Maamba Energy, when we present the Maamba Energy numbers, the revenue gets knocked off for the coal supplies from mining business to the energy Nava Ltd 10 14.11.2024 Q2FY25 earnings Conference call business. What we report as mining sales is third party sales, which is about USD 40 million for the quarter.

Nidhi Shah : Okay. So, when you talk about in Slide number 40 and the Slide number 35, they're essentially numbers individual and there is no overlap in terms of revenues and costs, right?

Sultan Baig : Yes, they are independent divisions.

Nidhi Shah : Alright, thank you so much. Those were my questions.

Moderator : Thank you. Next question comes from Harinath Reddy from PNR Investments. Please go ahead.

Harinadh Reddy : Sir, my question coal mining. Do we have any prefixed price purchase with our clients, or the coal mining business is prone to the global price fluctuations?

Ashwin Devineni : We don't have any prefixed agreements, long term agreements. The reason is we don't want them. One of the advantages of Zambia being landlocked too and logistics prices being high from the port is that we're not subject to global prices fluctuating. I think there is a price set in Zambia and then we follow that with certain escalations due to increased fuel costs and so on. But we get into shorter term agreements rather than longer term agreements there. And they're all U.S. dollar denominated.

Harpynadh Reddy : Okay. Who fixes that, sir?

Ashwin Devineni : It depends on the market. I mean, in terms of the supply demand, today, there are about 3 -4 different suppliers of coal within Zambia apart from us. And there's demand from various industries. So that's how it works.

Harinadh Reddy : So I understand that it is more stable and consistent than the global prices.

Ashwin Devineni : It's just a lot more stable.

Harinadh Reddy : Ok, thank you sir. That's it from my side.

Moderator : Thank you. I request the participants to restrict with 2 questions in the initial round and join back the queue for more questions. Next question comes from Shreegopal

Kankani from S.G. Kankani & Associates. Please go ahead.

Shreegopal Kankani : My question is whether 150 x 2 megawatts power plant expansion will be executed in two phases or it is single stroke expansion?

Sultan A Baig : It is a single stroke expansion. We are constructing both units together.

Shreegopal Kankani : Okay. Is the deadline December 26 ?

Sultan A Baig : It's August 26 Mr. Kankani .

Shreegopal Kankani : Okay. And what is the expected date of avocado project?

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Sultan A Baig : It's underway, sir. It's a gradual progress YoY. Total project will be completed by '27.

Shreegopal Kankani : Thank you sir.

Moderator : Thank you. We have a follow-up question from A M Lodha from Sanmati Consultants. Please go ahead.

A M Lodha : Thanks for the follow-up opportunity. I have only one question regarding the Nacharam land. So, in Hyderabad, prices of land have gone up

tremendously. So, my suggestion is that instead of opting to sell the Nacharam land you can give 10 acre or 7 acre or 15 acres give to a developer and monetize the land over the period of 3-4 years.

Sultan A Baig : Your suggestion is noted, Mr. Lodha. We'll consider it.

A M Lodha : Ok. Thank you very much sir.

Moderator : Thank you. We have a follow-up question from Gargi Agarwal from Value Investments. Please go ahead.

Gargi Agarwal : Sir, you mentioned some corporate action. The money that you'll be using, it will go for growth capital as well as CapEx and corporate action. So, is there any buyback on plan?

Ashwin Devineni : No. I think right now, we just announced the stock split. So, we're always deliberating corporate actions when the time is right. So today, the announcement that we made is about the stock split.

Gargi Agarwal : All right. I missed the part where you laid out the CapEx plan for the next 2 years. So, if you can give me the break up for the CapEx of various businesses that you plan to do for the remaining half of FY '25 -26

Sultan A Baig : Yes. It's USD 400 million for the Maamba Phase 2, USD 125 million for sugarcane integrated project, USD 45 million for the avocado project and USD 150 million for the Ivory Coast smelter project integrated with the biomass plant.

Gargi Agarwal : Yes, sir. I have the total numbers. But I wanted to know how you will split it between second half of FY '25 -26, and '27?

Sultan A Baig : It will depend upon the requirement of the funds for the project, ma'am.

Gargi Agarwal : Ok sir, thank you.

Moderator : Thank you. We have a follow-up question from Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah : So, I wanted to ask about the investment climate in regard to energy. Companies, like NTPC and Power Grid are coming up with huge capacities in the next couple

Nava Ltd 12.14.11.2024

Q2FY25 earnings Conference call of years to power the grid. So, in terms of environment in India, how is our

company looking at setting up more plants and expanding within the nation?

Ashwin Devineni : Yes. I think for us as a company, we definitely look at energy as one of the most important verticals in terms of growth . But coal fired power plants, I think, there's hardly any scope in terms of expansion. One is, unless you have fuel security, meaning that you own a coal mine where you have security over the fuel, it doesn't make sense setting up a plant in this day and age. And secondly, I think everyone's moving away from expanding on coal fired power plants today in terms of lending, lender and so on. So, I don't think we'll be expanding on coal fired power, but we are always open to looking at other energy sources.

Nidhi Shah : So as most of the power companies are coming up with their renewable substitutes and putting up significant capacities in renewable energy, does Nava have any plans in terms of solar or wind?

Ashwin Devineni : We are looking. We are always exploring. There are opportunities that are coming up with regards to renewable.

Nikhil Devineni: And as we speak, Ivory Coast is a project which involves renewables because we are looking at a 25-megawatt plant using Kakao, which is one of the main crops there as a biofuel to run the unit.

Nidhi Shah : Alright, Thank you so much.

Moderator : Thank you. That would be the last question for the day. Now I hand over the floor to management for closing comments.

Ashwin Devineni : In closing, I'd like to extend my sincere gratitude to each of you, your interest and continued support of Nava Limited. As we look to the future, we remain focused on executing our strategic initiatives, particularly in expanding our energy capacity, advancing agricultural ventures and reinforcing our financial position. With a steadfast commitment to sustainable growth

and operational excellence, we are confident in our ability to seize new opportunities and continue to create meaningful long-term value for all stakeholders. Thank you all for joining us today. We look forward to keeping you updated on our progress. Please feel free to reach out to our Investor Relations team should you have any further questions. Thank you.

Moderator : Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good day.

Note: 1. This document has been edited to improve readability and
2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: Feb 2025

NAVA LIMITED

NAVA /SECTL / 517 /2024-25

February 13 , 202 5

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051
NSE Symbol: 'NAVA'
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Scrip Code : '513023' / 'NAVA '

Dear Sir (s),

Sub: Transcript of Conference Call

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: Transcript of the Conference call with investors.

Please find enclosed the transcript of the Conference Call (i.e., group meet) with Investors/Analysts held on February 07 , 202 5, on the operational and financial performance of the Company for the quarter and nine months ended December 31, 2024.

This is also available on the Company's website at
<https://www.navalimited.com/investors/financials/investor-conference-call/>

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above

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"Nava Limited
Q3 FY'25 Earnings Conference Call "
February 07, 202 5

MANAGEMENT : MR. ASHWIN DEVINENI – CHIEF EXECUTIVE OFFICER – NAVA LIMITED
MR. NIKHIL DEVINENI – EXECUTIVE DIRECTOR – NAVA LIMITED
MR. GRK PRASAD -- EXECUTIVE DIRECTOR – NAVA LIMITED
MR. SULTAN BAIG – CHIEF FINANCIAL OFFICER – NAVA LIMITED
MR. VSN RAJU -- COMPANY SECRETARY – NAVA LIMITED

MODERATOR : MR. MOHIT KUMAR -- ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Nava Limited hosted by ICICI Securities. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you and over to you, sir.

Mohit Kumar: Yes. Thank you. On behalf of ICICI Securities, we welcome you all to the Q3 FY '25 Earnings Call of Nava Limited. Today, we have with us Mr. Ashwin Devineni, CEO; Mr. GRK Prasad, Executive Director; Mr. Nikhil Devineni, Executive Director; Mr. Sultan Baig, CFO; and Mr. VSN Raju, Company Secretary.

Without much delay, I'll now hand over the call to the management for opening remarks, which will be followed by Q&A. Thank you and over to you, sir.

Ashwin Devineni: Good evening, everyone. Thank you for joining Nava Limited earnings call for the third quarter and nine months ended December 31, 2024. We appreciate your continued interest and support. Despite market challenges, Nava has demonstrated strong financial and operational resilience, reporting steady profitability and operational efficiency.

Our consolidated profit grew sequentially and we maintain strong margins across our business division. Our expansion efforts in metals, energy and agriculture continue as planned, positioning Nava Limited for sustained long -term growth.

In the energy sector, we have successfully maintained high plant availability at our Maamba Energy operations while our Phase 2 expansion is progressing steadily. Our metal division remains resilient , despite sectoral pressures with strategic shifts helping us mitigate challenges. Additionally, our commercial agriculture initiatives continue to gain traction, reinforcing our commitment to diversification and long -term value creation. We remain committed to optimizing costs, improving efficiencies and driving strategic investment to create value for all stakeholders.

With that, let's dive into specifics of our financial performance as I open the floor for any questions you may have. Thank you.

Moderator: Thank you, sir. We will now begin the question -and-answer session. If you have a question, please press * and 1 on your touchtone telephone and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 2. Participants are requested to limit the number of questions to 2 and rejoin the queue for further questions. Ladies and Gentlemen, let us wait for few moments until the question queue assembles.

The first question comes from the line of AM Lodha from Sanmati Consultants.

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AM Lodha: Sir I have two questions. First, relating to payments from Maamba Energy to Nava Bharat Singapore. As indicated in the press release, some INR 1.39 million has been repaid by Maamba Energy. Can we assume that the entire overdue interest as well as the principal has been repaid?

Sultan Baig : You can go ahead with your second question, Mr. Lodha. We will answer both together.

AM Lodha: My second question is relating to arbitration award. In the last con call, we have indicated that we are receiving \$5 million a month besides the regular payment of the electricity bill. Sir, just I wanted to know, in the last con call, it

was informed that the amount will be received in a few months.

Now, almost 3 -4 months have elapsed since the last con call. But no material amount has been received. Still, we have \$160.56 million outstanding from the arbitration award. So when we can expect this payment to be received by the company?

Sultan Baig : Mr. Lodha, regarding the outstanding interest and loans, the outstanding interest as of 31 March 2024 has been fully repaid as was disclosed in the September earnings call. As we got to know, it will be repaid in the next month, \$64 million as of 31 December.

Sultan Baig : As regards the overdue interest as of 31 March, 2024 it has been fully repaid . As regards the principal amount , the same is in the process of repayment . As of 31 December, 2024, the outstanding amount is \$38 million.

AM Lodha: It was \$64 million, if I recall, in the last con call.

Ashwin Devineni: Correct.

AM Lodha: Which has reduced to \$38 million. Okay?

Ashwin Devineni: Correct.

AM Lodha: Okay. Now, second question, sir. Arbitration award.

Ashwin Devineni: Mr. Lodha, basically, in terms of the arbitration award has been paid. In fact, last quarter, they paid us more than \$5 million per month. They paid us a total of \$43 million in the last quarter towards the arrears. So, I think the total outstanding is about \$160 million from ZESCO, which they have indicated that they plan on clearing before the end of the year.

AM Lodha: Thank You.

Moderator: The next question comes from the line of Govind Gilada, an individual investor.

Govind Gilada: I got only one question. The dollar has appreciated almost 4% from our last quarter, INR83 average. So, how it will impact our profitability? I hope this electricity payments, Zambia, we receive in dollars. I am right, sir?

Ashwin Devineni: Yes. The PPA that we have in Zambia is dollar denominated. In fact, even the coal sales that we report in Zambia, we charge in collecting dollars.

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Govind Gilada: So, this 4% appreciation in dollar, shall I presume that it will benefit and will show to our bottom line in this quarter?

Sultan Baig : Mr. Govind, the balance sheet and revenue and everything is dollar denominated. So, it will not really impact the revenue going up or down in terms of the subsidiary companies. But when it comes to the reporting structure, of course, the dollar gets converted into INR and gets reported.

Govind Gilada: No, I didn't follow, sir. Payments we receive in dollars then what is outgo in dollars. Net-net you mean to tell that what the appreciation will get in dollars somewhere it will be offset by other items? You mean to tell that?

Sultan Baig : The dollar appreciation against rupees has no impact on the subsidiary financials, because subsidiary financials are dollar denominated numbers, sir.

Govind Gilada: But as a layman, I want to understand net-net this 4% appreciation from INR86 to INR87, will it impact our profitability or not?

Sultan Baig : It will impact the profitability in terms of reporting in India, sir.

Govind Gilada: Okay. Thank you very much.

Moderator: The next question comes from the line of Gargi Singh of Value Investment. Please go ahead.

Gargi Singh: Yes, sir. So, my first question is with regards to the avocado business. In last quarter con call , you had said that there will be plantations of total 1.92 lakh trees in the 1,100 hectares of land by November 2024, but in today's update we have seen that only 130,000 trees have been planted as of now. So, some highlights on why is there a delay?

Sultan Baig : Ma'am, there is no delay on that. So, Division A, we have about 95,000 trees already planted. Division B, another 100,000 trees the plantation is ongoing. We said that our plantation will

commence from December, it will go on till March. So, as on today we have finished, of course, 35,000, 40,000 trees and balance 60,000 trees will be planted by March. There is no delay. The plantation follows the rainy season. So, currently, plantation is going on.

Gargi Singh: Okay. Sir, second question is with regards to the same. So, on a per ton basis, if you take realizations of 180,000 per metric ton, so is it a fair understanding that the revenue potential from the entire 1.92 lakh trees is INR400 crores after the plant matures and, of course, the PAT from the revenue of INR400 crores is INR150 crores?

Sultan Baig : Ma'am, these numbers are too premature to calculate. Basically, it is not possible at this juncture to calculate revenue per tree and which revenue comes when the plant matures. So, it is too early to put these numbers in crores now and it also depends upon the avocado market globally.

Gargi Singh: Yes, but you have announced an investment of \$45 million. So, while making an investment, I am sure you must have done some rough estimates with regards to what kind of return you are expecting from this investment. So, I understand that the pricing scenario and everything will vary because the maturity will take 2 to 3 years. But some sense on, from your investment of

\$45 million, what is your calculation as to what kind of returns you are expecting from this?

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Sultan Baig : To clarify the \$45 million investment is based upon a business plan that has been developed and the peak revenue will commence. So, the total revenue will commence when all the four divisions will get into peak maturity period, which is about 4 years, 5 years down the lane. So, at this point of time to put a fixed number is not proper.

Gargi Singh: Okay. So, the four divisions total will have how much trees, sir?

Sultan Baig : About 400,000 trees, ma'am.

Gargi Singh: Okay. Yes, sir. So, second question is with regards to your announcement today regarding the solar power setup in Zambia?

Ashwin Devineni : I think you exhausted your two questions for now. May be you can join the queue again and we will answer the other questions.

Gargi Singh: Okay sir. Thanks. All the best.

Moderator: The next question comes from the line of Shree Gopal Kankani from S. G. Kankani & Associates. Please go ahead.

Gopal Kankani: Good afternoon sir to all of you. I just wanted to know this 100 megawatt solar power plant which you have proposed to install. What is the expected rate of commissioning of this plant and what will be the tariff ? whether PPA has been executed with Zambia ZESCO?

Ashwin Devineni: No. So, as we mentioned in our release, it is a very premature stage. I think MEL has formed a subsidiary called Maamba Solar Energy which plans on executing this 100 megawatt solar plant. Currently, all the studies are being done in terms of what technology we use, the technology - feasibility study, the grid stability study and also discussions and negotiations with ZESCO on the commercial. So, once something materializes in the next few months, we will report it to the wider community.

Gopal Kankani: Okay. My second question regarding existing 300 megawatt power plant expansion Phase 2. So I think the expected date of commissioning of this expansion is August '26 or December '26?

Ashwin Devineni: It's August '26.

Gopal Kankani: August 26. Sir, what is the present tariff for existing power plant?

Moderator: Sorry to interrupt. Shree Gopal, I would request you to rejoin the queue as you're done with your two questions.

Gopal Kankani: Okay. Thank you.

Moderator: The next question comes from the line of A.M. Lodha from Sanmati Consultants. Please go ahead.

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A.M. Lodha: Sir, I have first question relating to the 300 megawatt new project which is being put up in Zambia. Is the financial closure is over and the promoters have contributed 100 million to the new project and second question is also relating to monetization of the Nacharam lands?

Ashwin Devineni: Okay. Let me answer the first question. The Maamba phase 2 is expected to cost 400 million. 300 million is the debt portion and 100 million is the equity portion. Currently, the debt has been dispensed and the positive limitation is going on. The equity inclusion will happen in phases in the current calendar year.

A.M. Lodha: Okay. What about the Nacharam land monetization plan?

Ashwin Devineni: Yes. Mr. Lodha for Nacharam, I think our answer is the same as what it was before. We have been seeing an upward trend in terms of real estate appreciation in Hyderabad and its surrounding areas. So, I think we are planning on not actively selling it at this point of time unless we get a very good offer, but sitting on it and enjoying the real estate appreciation. But when opportunities do arise in terms of developing that land, we will definitely investigate and move on.

A. M. Lodha: Okay. Thank you.

Moderator: The next question comes from the line of Viraj Mahadevia from MoneyGrow India. Please go ahead.

Viraj Mahadevia: Congratulations for the stable results. I had a question regarding the revenue dip in this quarter. Was it largely driven by the operational maintenance at the India level power plant?

Sultan Baig : Yes, that's correct.

Viraj Mahadevia: Okay. And is that operational as of Q4 now? Is the maintenance complete?

Sultan Baig : Yes, it's complete and it's operational.

Viraj Mahadevia: Okay. My second question, Ashwin, is to you regarding the shareholder -friendly actions that

you mentioned in the past as now the company has become debt -free and payments from the Maamba subsidiary have begun. Do you expect to see some of this happening in this year either through dividends, special dividends, et cetera?

Ashwin Devineni: Yes, definitely. I think we're always happy that, number one that now Singapore is getting repaid its entire shareholder loan and plus more in the next few months hopefully. Definitely, I think as a company we are evaluating certain actions that we may take and intimate to the wider group soon.

Viraj Mahadevia: Okay. Thank you all the best. I will come back with any more.

Moderator: The next question comes from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

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Vignesh Iyer: Thank you for the opportunity. Regarding the expansion of the 300 megawatt project, the debt has been sanctioned. Could you share what is the cost of debt for the 300 megawatt project that has been sanctioned?

GRK Prasad : It's 9% in dollar terms .

Vignesh Iyer: 9% in dollar terms?

GRK Prasad : Yes.

Vignesh Iyer: Okay. I also wanted to know regarding the equity infusion that we are planning to do, would that equity infusion happen in this current year, I mean, in this fiscal year 2025 or would it be delayed to fiscal year 2026?

GRK Prasad : It would be spread over FY '26.

Vignesh Iyer: Okay. So, the rate regarding the new 300 megawatt plant, what would be the rate per unit that we have agreed and vis-à-vis our old 300 megawatt plant?

GRK Prasad : The rate that has been agreed is \$ 0.095 . Currently, the current tariff goes at about \$ 0.105 .

Vignesh Iyer: Thank You.

Moderator: The next question comes from the line of Gargi Singh from Value Investment. Please go ahead.

Gargi Singh: Yes, sir. Just a bit of clarity on

my previous question. So, for the entire 4 lakh trees, what is the total investment that will be required? Is \$45 million the amount for entire 4 lakh trees?

Sultan Baig : The \$45 million investment is for the plantation as well as developing the pack house and the related infrastructure.

Gargi Singh: Sorry, sir. I could not understand. Is it for the entire 4 lakh trees?

Ashwin Devineni: It's for the entire project, the avocado project which includes the plantation of the trees, the development of a pack house that sorts the final fruit and also the supporting infrastructure. So, it's the entire project cost.

Gargi Singh: Okay. Understood, sir. Second question is to Mr. Nikhil on the ferroalloys business. So, sir, I wanted to understand how is the profitability of the ferroalloys business in India now? So, in this quarter, we have reported around INR7 crores of EBITDA loss in third quarter. But now, I believe the spreads are improving?

So, with the current trend, how do you see the profitability in the coming quarter and what are the steps are we taking to reduce the volatility in terms of right customer mix or the right product mix?

Nikhil Devineni: As you rightly pointed out, things are looking up . Quarter 3 was particularly subdued for silicomanganese wherein, the fixed cost recovery was becoming a huge challenge. Whereas, in

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quarter 4, we are finding that the export market in particular is faring much better than the domestic market wherein prices have increased by about 10% to 15% if you look at Q -on-Q. This definitely has given us some visibility because most of our stocks are booked until the end of the financial year. The other point is we also diversified into ferrosilicon which is a different product line. That has helped greatly to insulate us from the volatility in the silicomanganese market. We find that there is good potential for exports to the U.S. particularly for ferrosilicon, which has been continuing for quite some time.

In terms of your second question, how are we insulating ourselves? Well, fortunately, Nava has good working capital limits. As a result of that, we were able to purchase raw material, manganese ore and other raw material for ferrosilicon when prices may drop. So, we are essentially now covered until about September to November in terms of the raw material at a fixed price.

So, this gives us a lot of visibility in terms of our costing and any further appreciation in the

market should only improve the margins.

Gargi Singh: Sir, you spoke about the ferrosilicon but with regards to the silicomanganese, I understand that the manganese ore prices are in a downward trend and if you have booked the raw material for this year at historical prices. So, would that be favourable for us considering that now the manganese ore prices are falling and the silicomanganese prices are increasing?

Nikhil Devineni: I was talking about manganese ore only. The manganese ore prices hit rock bottom sometime in November, December. So, we picked up large quantities at that point which covered up until September. But now, if you look at from January onwards, in fact, the prices have been increasing. They have increased about 10% since the price in December. So, they have not been on a downward trend. They have been on an increasing trend.

Moderator: The next question comes from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah: So, on the Zambia expansion that we are undertaking at the moment, I have a couple of questions on the commissioning and the timeline, so when did you expect this plant to start? And do we have any PPAs tied up, any bilateral agreements, anything like that? And have we come up with a tariff discovery?

Ashwin Devi

neni: So, yes. I mean, we have answered this question multiple times on this call. In terms of the commissioning of Phase 2, both units as per the schedule are to be commissioned by August 2026. And yes, we have a PPA that has already been signed with ZESCO at a tariff of \$0.095 for the expansion.

Nidhi Shah: Okay. I heard about the PPA and that the orders for the equipment have been placed. Have they been placed with the same person, the same Chinese player that we had done last time? Or are we going to some other player for equipment this time?

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Ashwin Devineni: No. So, we have a turnkey EPC contract at this time with a different party than what it was last time. And all major equipment, some of them are similar, but some are not in terms of the manufacturer. But orders have been placed.

Nidhi Shah: Lastly, on the ferrosilicon manganese, so we have seen that the sales are nearly 75% of the production. Are we expecting to keep our production at the same level in Q4 as well? And you mentioned on the call that we're seeing strong export numbers for Q4. But would you like to comment on the FY '26 and how is that looking like?

Ashwin Devineni: So, I think in terms of the production volumes, we should actually see an uptake because we've had one of our shutdowns in Orissa in the month of December, where essentially for 15 days we were out of production. So, those numbers started to go up from Q4 onwards. In terms of the outlook, like I said, we are more or less booked until 31st March with very limited quantity left over. And I think based on the most recent bookings we are looking at a full recovery of cost as well as a margin.

Nidhi Shah: And for FY '26, do you have any outlook for being able to provide some colour on what we can expect in FY '26?

Ashwin Devineni: So, if you followed the ferroalloys market, it's been so extremely volatile that any assumption made today would not be holding true. But I think based on the fact that the raw material prices are going up, we hope that prices should either stabilize or improve going forward.

Nidhi Shah: Thank You.

Moderator: The next question comes from the line of A.M. Lodha from Sanmati Consultants. Please go ahead.

A.M. Lodha: I have two questions. One related to silicomanganese. I understand that the prices in last 10-15 days have gone by 6,000, 7,000 per ton. And the phase rates have also been normalized, which was already very high. Now, every phase has been normalized. So, can we expect the turnaround in ferroalloys in coming quarters?

Ashwin Devineni: Yeah, exactly, Mr. Lodha. So, prices are looking better than they were in Q3. And given that we have more or less a fixed cost structure for the next 6 months, any appreciation in finished products should help us in terms of profitability.

A.M. Lodha: Sir, my second question is related to domestic power rates. Domestic power rates are normalized. How they are presently and what is the expectation of the management in the coming summer? Can the domestic power rates go up so as our domestic power business can do something for the company?

Ashwin Devineni: The power sector, particularly in the domestic operations are also having long-term visibility in the sense that for most of the capacity that we have, we have tied up until about September, October. We only have a minimal quantity that has been left over and the primary idea behind doing that is to see, if there is a spurt in exchange prices, we would be in a position to take advantage of that.

But having said that, the tariffs what we are witness

sing this year around, even during the summer months are lower compared to last year. That is mainly on account of the election that took place last year.

AM Lodha: Thank you very much, sir. Wish you all the best.

Moderator: The next question comes from the line of Aryan from CIM. Please go ahead.

Aryan: I just wanted to know, could you segregate the segment revenue, the energy segment revenue, so can I have the domestic numbers and the numbers from Zambia?

Sultan Baig : So, we have published standalone and consolidated separately, Mr. Aryan. Standalone energy revenue is INR204 crores and consolidated energy revenue is INR3,513 crores.

Aryan: Okay.

Moderator: The next question comes from the line of Govind Gilada, an individual investor. Please go ahead.

Govind Gilada: Thanks for giving an opportunity again . Sorry, I could not hear properly, your reply to Mr. Lodha regarding this arbitration award. So, at the cost of reputation, I am asking, how much we have received amount in this quarter? Now, as on today, how much is due now?

Ashwin Devineni: So, what we have received this quarter is USD43 million. So what is pending or what is due is USD160 million.

Govind Gilada: USD160 million.

Sultan Baig : Yes.

Govind Gilada: It means that regularly we are receiving USD5 million and another some USD28 million, we have received extra other than the regular what they were giving. Is my understanding correct, sir?

Ashwin Devineni: No, as I mentioned during the last call, the payment plan is dynamic. We are in constant discussions with ZESCO. So it's not USD5 million a month anymore. It's when they get lump sum payments, we take that. So that's exactly why we received USD43 million during the last quarter. And we hope we will receive large payments in the months moving forward.

Govind Gilada: Great, sir. Happy to know that. Thank you very much.

Moderator: The next question comes from the line of Gargi Singh from Value Investment. Please go ahead.

Gargi Singh: Yes sir. Thank you again. Sir, a bit of colour if you can provide on the lithium and the magnetite mines where you were doing discovery. Sir, when do you expect contributions from this business?

Ashwin Devineni: So both lithium and magnetite, they are in their early stages of exploration. Surveys are being carried out, followed by drilling. So this process does take time. So we will not probably have

an answer for the next few months. It will take about a year for us to have a concrete plan in terms of how we are going to move forward.

Gargi Singh: So while this process of discovery is ongoing, what is the cost that is incurred in this space on an annual basis and how much of that we see in the books?

Ashwin Devineni: So I think, the cost that we have budgeted for the exploration activities is about USD2 million.

Gargi Singh: Thank you. All the best.

Moderator: The next question comes from the line of Viraj Mahadevia from MoneyGrow India. Please go ahead.

Viraj Mahadevia: This is regarding your thermal power plant business. Given that coal prices have come off meaningfully in the last 6, 8 months, are you expecting the spreads to widen and profitability to improve going forward, both at Maamba and at the India plants?

Ashwin Devineni: Yes, so in terms of Maamba, it doesn't really make a big difference because at the end of the day, we have our captive mines. In terms of India, yes, we do definitely want to take advantage of the coal prices. I don't think they've come down per se, but they've not gone up at the rate that they were going up in the past few years. But we are taking advantage of the coal prices for our India plants. You probably know fuel cost is the biggest cost factor, so that definitely would help

and benefit the plants.

Viraj Mahadevia: Okay. My second question, Ashwin, just to get this a bit straight because you have a lot of growth initiatives underway in terms of the rough timelines , the Maamba Stage 2 thermal power plant is August '26. The Avocado is, let's call it, end of FY '26 , Solar is early, but it's probably 2 to 3 years out , Lithium and magnetite are early, but probably 2 to 3 years out. Is there any other initiatives that's underway in terms of growth and expansion that I missed out on and are the

timelines correct?

Ashwin Devineni: Sugar is another one, which we are actively pursuing in Zambia, which is adjacent to the avocado plantation.

Viraj Mahadevia: And what is the timeline of that?

Ashwin Devineni: So, both agri, it's not like, a commissioning date or so on. Even the avocado, we should start having our first commercial fruit actually end of this year. And sugar is pretty quick, so I think the cultivation will start probably this year itself, if things go as planned.

And the other project I think you have listed is both the manganese exploration that's currently being carried out in Ivory Coast and also the possible processing plan that we plan on setting up at Ivory Coast.

Viraj Mahadevia: Okay. I thought my understanding, correct me if I'm wrong, I thought the manganese did not yield great results in Ivory Coast, or am I getting that wrong?

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Ashwin Devineni: You know, you are partly right. We've been allocated 2 mines, actually, one of which, as the results were not very encouraging. But the second mine, which was recently allocated, is an area of about 360 square kilometers. And the exploration works there are ongoing. So we should know more properly in a year's time.

Viraj Mahadevia: Thank you very much. All the best.

Moderator: Thank You. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Ashwin Devineni: As we conclude, I would like to reiterate that Nava Limited remains focused on maintaining operational excellence and delivering value to our shareholders. We are optimistic about our future growth prospects and will continue to strengthen our position in our key business sectors.

Thank you for all your time today and we look forward to your continued support. Thanks.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICICI Securities Limited, that concludes this conference. You may now disconnect your lines.

Note: 1. This document has been edited to improve readability and

2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: May 2025

NAVA LIMITED

NAVA /SECTL / 77 /2025-26

May 21 , 202 5

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051
NSE Symbol: 'NAVA'
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Scrip Code : '513023' / 'NAVA '

Dear Sir (s),

Sub: Transcript of Conference Call

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015: Transcript of the Conference call with investors.

Please find enclosed the transcript of the Conference Call (i.e., group meet) with Investors/Analysts held on May 16 , 202 5, on the operational and financial performance of the Company for the quarter and year ended March 31, 202 5.

This is also available on the Company's website at
<https://www.navalimited.com/investors/financials/investor-conference-call/>

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above

"NAVA Limited
Q4 & FY'25 Earnings Conference Call"
May 16 , 2025

MANAGEMENT : MR. ASHWIN DEVINENI – CHIEF EXECUTIVE OFFICER.
MR. GRK PRASAD – EXECUTIVE DIRECTOR.
MR. NIKHIL DEVINENI – EXECUTIVE DIRECTOR.
MR. K.V.S. VITHAL – CHIEF FINANCIAL OFFICER.
MR. VSN RAJU – COMPANY SECRETARY
MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES LIMITED

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Nava Ltd

Q4FY25 earnings Conference Call 16.05.2025

Moderator: Ladies and gentlemen, good day and welcome to the NAVA Limited Q4 & FY25 Earnings Conference Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “* ” then “0” on your touch tone phone.

I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you and over to you, sir.

Mohit Kumar: Yes. Thank you, Sruthi. Good evening. On behalf of ICICI Securities, I welcome you all to the Q4 FY25 Earnings Call of NAVA Limited.

Today, we have with us from the Management Mr. Ashwin Devineni – CEO, Mr. GRK Prasad – Executive Director, Mr. Nikhil Devineni – Executive Director , Mr. K.V.S. Vithal – CFO and Mr. VSN Raju – Company Secretary.

We'll begin with the opening remarks from the Management, which will be followed by “Q&A.”

Thank you and over to you, sir.

Ashwin Devineni: Thank you. Good evening, everyone and thank you for joining NAVA Limited Earnings Call for the 4th Quarter and the Full Year -ended March 31st, 2025. We appreciate your continued interest and support .

For FY25, NAVA group delivered multiple milestones. Our consolidated revenue was INR 4,135 crores at a year -on-year growth of 4.6% and a PAT of Rs.1,434 crores . Our revenue and profit for the year are the highest ever.

All our major segments, Metals, Mining and Energy have shown robust growth as compared to last year. Ferroalloys business turned around and contributed to the improvement in the profit in FY25. We have also seen significant improvement in MEL's receivables position . Post the close of the financial year MEL received US \$ 55 million, which has helped it repay its shareholder loan in full to the sponsor.

With an objective to improve shareholder value, we completed two corporate actions during the last financial year - a stock split in Quarter 3 and a share buyback for Rs.360 crores in Quarter 4. In addition to these, we continue to maintain our dividend distribution at a healthy rate.

Our new projects under Mambra Solar, Nava Avocado and Kawambwa Sugar are showing increasing progress.

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Nava Ltd

Q4FY25 earnings Conference Call 16.05.2025

We are progressing on a robust cash and capital allocation plan which sufficiently meets our expansion objectives. We remain committed to optimizing costs , improving efficiencies and driving strategic investments to create value for all stakeholders.

With that, let's dive into the specifics of our financial performance as I open the floor for any questions you may have. Thank you.

Moderator: Thank you, sir. We will now begin the question -and-answer session. If you have a question, please press * and 1 on your touch tone telephone and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 2. Participants are requested to limit the number of questions to 2 and rejoin the queue for further questions. Ladies and Gentlemen, let us wait for few moments until the question queue assembles . The first question is from the line of A .M. Lodha from Sanmati Consultants.

A.M. Lodha: Good afternoon, gentlemen. Congratulations on the good set of numbers. I have got two questions, Sir. Number one is relating to your tax provision. Your tax provision in standalone is Rs.27.44 crores in Quarter 4 whereas consolidated it is only Rs.6.39 crores . According to me, your tax exemption in MCL should have been expired in this December

'24. So in March quarter '25, MCL would have been required to pay 50% of the normally applicable tax. That is a rate of 35% in MCL. Please clarify this . Second question is on writeback . You have written back some Rs. 47.52 crores out of the earlier provision made for the credit loss . So, I wanted to know how much amount is still pending

to be written off when the amount will be received from the MEL for the arrears.

KVS Vithal : Yes. So, from a perspective, we still have \$105 million, which is pending to be collected and the corresponding ECL provision that is existing in the books is \$16.8 million. On the tax rate, Quarter 4 for the consolidated, the tax expense is Rs.21 crores as per the financial statement. And the MEL tax exemption that you have said, that tax difference continues till the end of Financial Year '26. And only after that we get into the next regime of 50% tax exemption for three years. So we are still in tax exemption for every year even for the next financial year.

A.M. Lodha: 100% tax exemption for next financial year?

KVS Vithal : Yes, that is right.

A.M. Lodha: It was five years from the date of commencement of the business.

GRK Prasad : From the date of commencement of taxable income, that is after adjusting the investment element.

KVS Vithal : We will have it up to the end of Financial Year '26.

A.M. Lodha: Okay, Sir. Thank you very much. I will rejoin the queue.

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Nava Ltd

Q4FY25 earnings Conference Call 16.05.2025

Moderator: Thank you. The next question is from the line of Mr. Shrikish Agarwal an individual Investor.

Srikish Agarwal: Good Afternoon Gentlemen, my questions have been answered, please go ahead.

Moderator: Thank you. The next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: Yes, thank you so much for taking my questions. So firstly on the solar power plant at Maamba, I wanted to know what is the cost of that plant and at the same time, do we have a tie up for Q1 for that 150 MW or not?

Ashwin Devineni: Your first question was on the total cost of the solar. So the project cost we envisage is US\$90 million, US\$63 million would come in the form of debt and US\$27 would come in the form of equity. What was your second question?

Nidhi Shah: So on the 150 MW power plant, I wanted to know if we have a tie for Q1 for that?

Nikhil Devineni: Yes, I think for the 150 MW, we have been looking at entering into short-term bilateral contract, of which we have a commitment until September.

Nidhi Shah: Alright. And lastly, I wanted to know what is the update on the construction progress of the 300 MW expansion.

Ashwin Devineni: Yes, it's progressing well and we are still sticking to the original schedule of commissioning in August 2026.

Nidhi Shah: Alright. I will get back in the queue for further questions. Thank you.

Moderator: Thank you. The next question is from the line of Viraj Mahadevia from MoneyGrow. Please go ahead.

Viraj Mahadevia: Hello. Hi. Congratulations on the shareholder value-enhancing measures. The 7.5 cents per kWh for the new plant is actually lower than the old plant. Is that correct and if you can throw some light on that?

Ashwin Devineni: Yes. The tariff for solar is actually 7.8 cents. That's the tariff that we have negotiated. That kind of escalates year-on-year. Yes, it's less than, I mean the tariffs we are getting for the coal-fired power plant, which is normal.

Viraj Mahadevia: 7.5 cents is for the Zambia Solar, is it?

Ashwin Devineni: Yes, 7.8 cents for the Zambia Solar.

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Viraj M

Mahadevia: And the second 300 MW is similar to the first thermal tariff, 9-point something?

Ashwin Devineni: So the tariffs for the Phase-II 300 MW is 9.5 cents, it starts at 9.5 cents and then year-on-year that keeps going up.

Viraj Mahadevia: Understood. You mentioned the target timeline for Zambia Power is August '26. How about the Sugar plant and the Avocado plantation, when will they start contributing to revenues?

Ashwin Devineni: So in terms of Avocado, we should actually get our first commercial fruit. It will come in a small way but in a very phased manner because as trees grow you get your fruit, we started in a small area of the 50 acres, that should start fruiting and we should get our first commercial crop by the end of this year, that will be in a small quantity. And in terms of sugar, March '28 is what we are looking at commissioning.

Viraj Mahadevia: Okay, understood. And the last question is the balance 100 million due from Zambia, when is that likely to come through for the arbitration award, can we expect it by September quarter?

Ashwin Devineni: I wish. We are in constant discussions with the utility. They have done a great job in terms of at least what they paid us till date. We forecast by the end of this financial year we should get the remainder of the amount.

Viraj Mahadevia: Okay. As of March '25, what is the net debt overall or consol level?
 Ashwin Devineni: I'm sorry. Can you repeat that?
 Viraj Mahadevia: What is the net debt of NAVA at the consol level as of March '25 prior to this \$55 million?
 Ashwin Devineni: You're asking about NAVA consolidated debt, right?
 Viraj Mahadevia: NAVA's consolidated net debt, yes.
 Ashwin Devineni: Yes. So apart from the Phase -II, which is 300 MW in M aamba where we have a current debt of about \$94 million , we don't have any other debt at the NAVA level.
 Viraj Mahadevia: Understood. So that's the only debt , call it a \$100 million ?
 Ashwin Devineni: Yes. And by the way that the Phase -II debt is non-recourse.
 Viraj Mahadevia: Understood. But presumably that will also get net off in Q1 with the \$55 million that's come in , in April, right?

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Ashwin Devineni: \$55 million has nothing to do with it. You could actually consider net debt as zero that the cash balance is much more than the debt that's not for Phase -II.

Viraj Mahadevia: Okay, understood. Thank you . All the best .

Moderator: Thank you. The next question is from the line of Anand from CI L. You may proceed.

Anand : Sir, congratulations on the wonderful set of numbers. The first question is that do you have any tax concessions on the Phase -II of the project, sir?

Ashwin Devineni: At this point it is not there, but we would probably go for that kind of a tax relief once the plant is commissioned. This actually will get kicked in , in about three to four years from the date of commissioning post the investment being absorbed by the company.

Anand: Okay, Sir. Also, like how many years of the PPA?

Ashwin Devineni: The PPA is for 20 years.

Anand: And how many years is remaining, sir?

Ashwin Devineni: Phase -I PPA started in 2016 for 20 years. So we have 12 years to go.

Anand: Okay. And like, what's the dead line for the solar plant that we have set internally?

Ashwin Devineni: Yes. So we are looking at commissioning it possibly by July '26.

Anand: Okay, sir, I will come back in queue for further questions. Thank you.

Moderator: Thank you. The next question is from the line of Vijay P , an individual Investor.

Vijay P : Good afternoon. I will begin with congratulating Mr. Ashwin Devineni on his designation as the Managing Director of the company and Mr. Nikhil Devineni to join the board as Executive Director.

My first qu

estion is for Mr. Ashwin Devineni. The press release was silent on the 300 MW power plant expansion, but then people have asked the questions already and most of my queries are answered . There is no mention about the Ivory Coast project of manganese mine and the ferroalloy plant and further concessions received in Zambia for critical minerals , etc., in iron ore. Could you please elaborate on that?

Ashwin Devineni: I think I will let Nikhil answer the Ivory Coast question. Could you repeat the other question please?

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Vijay P: No, I was saying the expansion was not referred to in the press release, but you already answered the questions that I had about the timeline , about the completion schedule , etc., which you have reconfirmed that it will be August '26.

Nikhil Devineni: So on the Ivory Coast, as we've disclosed, the plan is to set up 22.5 MVA furnace to start with , that's Phase -I producing about 40,000 tons of silico manganese per annum and this would be coupled with the captive power plant with biomass generation of about 25 MW. Now, this entire project essentially hinges on two main factors. One is raw material security and the second is acquiring the land. Now , on the raw material security, we have been allocated two mines: One, which was already explored for a period of two years , and we concluded that in terms of taking it forward with respect to commercial mining, it is not a viable prospect. The second mine, which is in the northern part of Ivory Coast is about 360 Sq . Kms., out of which about 27 has been shortlisted as a prospective zone . So the final geophysical studies are ongoing as we speak, and I think in about six months to a year we should have a clearer picture in terms of how the potential is. With respect to the land, we are working very closely with the government. I think in about three months we should have a clear update.

Vijay P : The second one was the question about the mining concessions in Zambia for critical minerals and iron ore ?

Ashwin Devineni: There were two basically that we had disclosed previously . One was with regards to the magnetite, the iron ore. We had conducted extensive exploration activities including drilling and what we found

was while the grade of the magnetite was very favorable on top as we kind of went down, it started to go down in terms of quality and we finally concluded that the commercial viability in terms of mining probably was not there. So we decided to take a halt on further activities at the iron ore magnetite mine, whereas on the lithium exploration activities are currently underway. We are sitting on two concessions of lithium spanning about 11,000 hectares. So it's quite a large piece of land and exploration activity is currently underway.

Vijay P: My second question is for Mr. Nikhil Devineni. I believe that he is now looking after the ferroalloy business in India. The ferroalloy business has been at a nearly standstill for the last many, many years. Do you have any plans to grow in ferroalloy business in India?

Nikhil Devineni: If you look at our plant load factors over the last couple of years, it's close to near optimum levels barring the unplanned shutdowns that we've had in a couple of instances. But in terms of expanding the production, it really does not make sense at this juncture given that there is a massive oversupply of material in the market. I think the only time we would seriously consider an expansion within India is probably once we get our hands on the raw material source because today that contributes about 40% of your entire costing. And if we do not have our own raw material source, we are essentially devoid of any competitive advantage. So given today's market, it really

doesn't make sense to expand without having that.

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Vijay P: Thank you very much. I have no further questions.

Moderator: Thank you. The next question is a follow-up question by A.M. Lodha from Sanmati Consultant. You may proceed.

A.M. Lodha: Hello, Sir I have got two questions. One is relating to your maintenance shutdown for MCL which happens to be every two years? When it is next due sir?

Ashwin Devineni: We have two shutdowns annually. So we take one half yearly which span across 15 days per unit and then we have a major shutdown which spans once every four years and that shutdown we are probably going to be taking during the early part of 2027.

A.M. Lodha: '27, Okay. The second question is other income in standalone has jumped from Rs.79 crores to Rs.188 crores. What component has increased by Rs.100 crores? A jump of Rs.110 crores.

KVS Vithal: In the standalone other income constitutes the dividend from the subsidiaries. So like in the last financial year, we have received dividend from two subsidiaries. So in standalone it is shown as other income. Those two dividends put together is Rs.110 crores.

A.M. Lodha: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Radha from B&K Securities. You may proceed.

Radha: Hello, sir. Thank you for the opportunity. I wanted to thank you for the buyback and high dividend payment. My first question was until the commissioning of Phase-II of Zambia, which is expected to be in first half of FY27, is there any incremental earnings growth driver for the company as tax also is expected to increase to 15% because of the expiry of tax holiday hence wanted to know your thoughts on the earnings growth for the near-term?

KVS Vithal: No, just to clarify on the tax holiday, we also mentioned this previously in the call, the tax holiday will continue till end of Financial Year '26, post which we will get into the second slab of 50% exemption for the next three years.

Radha: So, till FY26 it will continue, then FY27 like you had previously mentioned for two years 75% exempt?

KVS Vithal: Yes, from FY27 onwards it will be 50% exempt for three years.

Radha: Okay, got it. A bit more on the earnings growth driver for the near-term?

Nikhil Devineni: Yes. I think on the standalone level in terms of ferroalloy division, we foresee a better scenario for FY26 than for FY25, mainly because we are seeing that the product diversification into ferrosilicon

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is helping out as the demand in the US particularly is increasing and moreover our dependence on the Japanese market has increased over the course of FY26, which provides reasonably better margin than, say, domestic sales or export to any other country. So, on these two counts, we foresee that the ferroalloy division is more increasing for FY26. Now, coming to the power sector too, as I mentioned earlier, I think most of about 60% of our power capacity is already committed up until September through the short-term bilateral contracts, the remaining 40% also has been committed until July. So, we have some good visibility in that sense. Besides that in terms of reducing our cost of generation, which allows us to participate more in these centers, we have done a diversification of coal procurement from what was existing to many other sources, which has reduced the net fuel cost. And

furthermore, to add to that, I think you all must be aware that the final approval for O disha to convert these 60 MW CPP into IPP has just come through. This would enable that particular unit to run at a much higher PL F than we've seen in the last year . So all these things put together, we see an increase in size in terms of FY26 .

Radha: Just a bit on the ferroalloy division . In the previous call you had mentioned that you have low cost inventory , that last till September 2025. So , on the basis of that, since the prices are increasing , so I had assumed that the spreads would have improved in this quarter and I expected a sharp jump on a QoQ basis in terms of EBIT for the ferroalloy division, which did not happen. So , please give us some understanding as to how to see this number ? And from the volume perspective, how much growth are you expecting from the ferroalloy division in FY26?

Nikhil Devineni: See, market for ferroalloy is an extremely volatile one. So I can't put an exact number in terms of what the growth prospects are. But as you rightly pointed out, we are sitting on fairly low cost inventory compared to where the market is today. That is definitely providing us some cushion despite falling prices. But like I said, right now our main focus is not in terms of domestic sales where there's a lot of supply overhang, but we are focusing more in terms of niche products in markets like Japan, where there is a reasonable margin to be made.

Radha: Okay, sir.

Moderator: Thank you. The next question is from the line of Shree Gopal Kankani from S .G. Kankani & Associates.

Shree G Kankani : Good afternoon, sir. My question is that in spite of energy revenue operations almost constant in the March quarter as compared to the December '24 quarter, the profit has come down from Rs.351 crore s to Rs.296 crore s in the March quarter. What is the main reason sir?

KVS Vithal : So you're referring to the Maamba reduction in profitability ?

Shree G Kankani: No. If you see the consolidated accounts, consolidated revenue from energy operations is almost constant in March '25 quarter Rs.834 crores as compared to Rs.833 crores in December '24 quarter. While the energy revenue is almost same as compared to previous quarter, however, if you see the

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consolidated financial statements, the profit has come down to Rs.296 crore s as compared to Rs.351 crore s in December quarter. So what is the major reason for decline in profitability in spite of energy operations remain almost the same ?

KVS Vithal : At consolidated level, if you see a slight drift that we have quarter -on-quarter , that is mainly due to our MEL plant being on a shutdown. So , that's the reason why the revenue quarter -on-quarter has also dropped by close to \$10 million and -

Shree G Kankani: No, no, sir. Sir, revenue is almost at the same level. In December '24, it was Rs.833 crores and in March '25 it is 834 crores. However, there is a significant decline in profitability .

KVS Vithal : We will get back to you.

Shree G Kankani: If you see the cash flow from investing activity , it shows that an amount of Rs.1,325 crore s has been deployed towards investment made during the year '24-25. But if you see the capital work -in progress, there is an increase of around Rs.475 crore s only during the year. So when you have invested around Rs.1,325 crore s but the amount has been deployed towards capital work -in progress only increase d amount is Rs.475 crores. So, I think when you have shown investments apart from capital work -in progress, is there any other investments also made during the year?

KVS Vithal : So, the other investments are mainly in the form of reinvestment. So anything which is more than one year in terms of the maturity, it goes into the investment category. So the part of it is the capital work -in progress , the other part is the long-term investments.

Shree G Kankani: Okay. So just I wanted to know what are

the other long -term investments because Rs.1,325 crores are the investments and out of this Rs.1,325 crores, only around Rs.475 crores has been deployed in capital work -in progress , perhaps in this expansion of power plant. So where other investments made actually?

KVS Vithal : So these are investments in bonds and other securities which have matured beyond one year.

Shree G Kankani: Okay. I am waiting for your reply to my first question regarding decline in profitability in March quarter in spite of energy operations almost at the constant level.

Ashwin Devineni : Will get back to you.

Shree G Kankani: Okay Sir.

KVS Vithal : For the follow up on the question by Mr. Kankani on the drop in profit from energy segment. So from a revenue perspective as I mentioned, the MEL revenue has dropped quarter -on-quarter, but it has been made up by the other energy generating units here in India. Net -net the revenue is stable quarter -

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on-quarter, but when it comes to profitability, the profitability of Maamba is much higher than the ones in India and therefore there is a drop in the profitability from the quarter-on-quarter perspective.

Moderator: Thank you. The next question is from the line of Faisal Hawa from HG Hawa. You may proceed.

Faisal Hawa: There was an announcement that we are getting into lithium mining also in one of the African countries. Is there any progress on that and would it make a material difference to the balance sheet and the profit & loss of the company in future?

Ashwin Devineni: We basically are exploring lithium concessions that we have been granted i.e., MEL has been granted, we have about 11,000 hectares that's been granted. So exploration activities for lithium is currently underway. So it's at a very early stage right now to finalize any future plan in terms of what our involvement would be.

Faisal Hawa: So which country is this?

Ashwin Devineni: Zambia, the subsidiary of Maamba.

Faisal Hawa: So is there a fair chance that there could be a good amount of lithium in that area?

Ashwin Devineni: I wish I could answer that. If I could answer that, we wouldn't need to do any exploration activities. So the whole point of exploring is to figure out what the quality of the lithium in the concession is and if it's commercially viable to mine.

Faisal Hawa: With the low cost of solar falling so dramatically, are any of these African governments also encouraging you to put up solar plants and successfully giving them the power?

Ashwin Devineni: Yes. So, I mean, the current initiative we've taken which is the 100 MW solar plant, was encouraged by the government and hence we closed the power purchase agreement also at an attractive tariff. So, there is encouragement from Zambia and other African countries for the companies to put up solar plants.

Faisal Hawa: And sir, if you could give some kind of a vision for the next two to three years, so where do we see our revenue and profitability for the next 3 to 4 years and particularly in light of the recent buyback that we did in absolutely adverse market conditions, which I would really congratulate the management, we were amongst only two or three companies which did buy back during that time, so how do you see the next two to three years panning out in terms of revenue and profitability?

Ashwin Devineni: Well, I think we currently have a very strong ongoing operational base, both standalone and internationally. So, I think we would see all the current operating assets that we have performing well in the next two-three years. Apart from that, I think you would start seeing some added revenue from the projects that are currently underway, which the solar we are looking at commissioning by July.

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2026, the expansion of 300 MW we are looking at commissioning in August 2026 and the Agro i.e., Avocado will start generating some revenue at least by end of this year and also we see some progress taking place on the Ivory Coast level. So I think with all these in the next two to three years, yes, the future looks good.

Faisal Hawa: Thanks a lot. I appreciate your answering my questions.

Moderator: Thank you. The next question is from the line of Anand from CIL. You may proceed.

Anand: Hello, sir. Thank you for taking my question again. There is a target that you have put like in one of the presentations I was reading that we are going to increase external sales of coal mine from 40,000 tons in 12 to 15 months. So what kind of sales like are we targeting and the capacity of the mine, sir?

Will this mine be able to suffice the coal requirement for Phase -II of the power plant?

Ashwin Devineni: Yes. So in terms of supplying coal for Phase -II, definitely, because we would not have started with the Phase -II project if we didn't have the coal and for the fuel security. We have a very large concession area and we have ample coal for both Phase -I, Phase -II possibly even Phase -III and any amount of outside sale. With regards to any specific target for external sales, we are essentially targeting about 35,000 tons on a monthly basis. Today, we have other competing coal mines. So, there are challenges that are involved, but as far as our external sales are concerned, we are doing fairly well. But if you look at the target, it's about 35,000 to 40,000 per month.

Anand: Okay. You talked about converting your power plants to IPP. So will that not reduce the alloy production because you're converting your power and you're selling it to the grid?

Nikhil Devineni: It won't because right now in Odisha we have two furnaces which require a maximum of about 30 MW. So that will remain intact. The additional 60 MW which is also under captive right now, is now being transferred to IPP. So there won't be any change to the ferroalloy operation.

Anand: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Radha from B & K Securities. You may proceed.

Radha: Hi, sir. Thanks again. So for the 100 MW of solar plant in Zambia, could you highlight whether the terms and conditions will be similar to the Phase -II of Zambia power plant and whether any tax

benefits will be there , when will it be commissioned and what is the expected PLF in this plant ?

Ashwin Devineni: Yes. So I mean in terms of the commissioning of the plant or not , I think I have repeated myself multiple times during this call. We are planning on at least the date is July 2026. This is a solar plant and the other plants are coal plants. So there are certain similarities and there are certain differences as the terms and conditions that we negotiate with the government .

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Radha: What PL F are you expecting from solar plant?

Ashwin Devineni: It's too early to say . Right now we've not narrowed down on the plant manufacturer , that's currently underway and under discussions in the EPC , but I think the PL F we are targeting is about 20 % to 22%.

Radha: Secondly, currently we have a net debt of about Rs.580 crores. So what is the peak debt that we are expecting considering the future CAPEX plan? And overall what is the CAPEX if you could highlight for the next two to three years?

K.V.S. Vithal : Can you repeat your question please?

Radha: What is the peak debt that you're expecting for the next two, three years ?

And what is the per year

CAPEX plan for the same?

K.V.S. Vithal : Maintenance CAPEX is generally around \$25 million per year and these are consolidated numbers.

Radha: Yes, sir. You were telling about the maintenance CAPEX being \$25 million per year, post which we lost you.

K.V.S. Vithal : So this is the maintenance CAPEX that we have and we will also have the expansion projects which have been explained during the course of the call.

Radha: And what is the peak debt you're expecting for?

K.V.S. Vithal : Sorry ?

Radha: Peak debt to fund the CAPEX.

K.V.S. Vithal : Debt should be around \$250 million to \$300 million, taking all the expansion projects together.

Moderator: Thank you. Due to time constraint, that was the last question. I now hand the conference over to the management for closing comments.

Ashwin Devineni: As we conclude, I would like to reiterate that NAVA Limited remains focused on maintaining operational excellence, delivering value to our shareholders. We are optimistic about our future growth prospects and will continue to strengthen our position in our key business sectors. Thank you for your time today and we look forward to your continued support .

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Note: 1. This document has been edited to improve readability and

2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: Aug 2025

NAVA LIMITED

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ISO 9001 | ISO 14001 | ISO 45001 | ISO 50001
NAVA / SECTL / 204 /2025-26
August 18, 2025

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051
NSE Symbol: 'NAVA'
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers,
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MUMBAI – 400 001

Scrip Code: '513023' / 'NAVA '
Dear Sir (s),

Sub: Transcript of Conference Call.

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
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Please find enclosed the transcript of the analyst / investor conference call (i.e. gro up meet) held on August 14, 2025, on the operational and financial performance of the Company for the quarter ended June 30 , 2025.

This is also available on the Company's website at
<https://www.navalimited.com/investors/financials/investor-conference-call/>

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above.

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Q1FY26 earnings Conference Call 14.08.2025

"NAVA Limited
Q1 FY '26 Earnings Conference Call "

August 14, 2025

MANAGEMENT : MR. ASHWIN DEVINENI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER , NAVA LIMITED
MR. GRK PRASAD – EXECUTIVE DIRECTOR , NAVA
LIMITED
MR. NIKHIL DEVINENI – EXECUTIVE DIRECTOR ,
NAVA LIMITED
MR. K .V. S. VITHAL – CHIEF FINANCIAL OFFICER ,
NAVA LIMITED
MR. VSN RAJU – COMPANY SECRETARY , NAVA
LIMITED
MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES LIMITED

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Q1FY26 earnings Conference Call 14.08.2025

Moderator : Ladies and gentlemen, good day, and welcome to the NAVA Limited Q1 FY ' 26
Earnings Conference Call hosted by ICICI Securities .

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during this conference call, please signal an operator by pressing “*” then
“0” on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mohit Kumar from ICICI Securities . Thank
you, and over to you, sir.

Mohit Kumar : Hi. Thank you, Good evening. On behalf of ICICI Securities, I welcome you all to the
Q1 FY '26 Earnings Call of NAVA Limited.

Today, we have with us from the Management Mr. Ashwin Devineni – Managing
Director & CEO , Mr. GRK Prasad – Executive Director , Mr. Nikhil Devineni –
Executive Director , Mr. K. V. S. Vithal – CFO , and Mr. VSN Raju – Company
Secretary.

We will begin with the opening remarks from the Management , which will be followed
by Q&A.

Thank you and over to you, sir.

Ashwin Devineni : Thank you. Good evening , ladies and gentlemen. Thank you for joining us today. I am
delighted to share that NAVA has once again set a new benchmark delivering its
highest ever quarterly profit in Q1 FY '26, a clear reflection of strong and consistent
operational performance across all businesses.

Consolidated revenues reached Rs.1,213 crore, rising nearly 15% sequentially, while
net profit surged over 61% quarter -on-quarter to Rs .490 crore. This exceptional growth
was driven by robust energy operations, higher realizations in our metal businesses,
and disciplined cost control.

One of the most notable achievements this quarter was the sharp improvement in
Maamba Energy Limited 's receivable position, where arrears of \$75 million
successfully collected. Equally significant was made with the maiden dividend of
\$32.5 million declared by MEL, further strengthening our balance sheet and enhancing
cash flow visibility.

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On the growth front, we are making steady, tangible progress. The MEL Phase II
expansion 300 megawatts of capacity and the 100 megawatt solar project in Zambia

are moving forward on schedule.

Our commercial agriculture initiatives in Africa are advancing, with avocado plantations poised for their first commercial harvest later this year, and the integrated sugar project progressing as planned.

In India, our strategy to convert captive power plants in Telangana and Odisha into independent power producers will enable higher PLF and open new market opportunities. This quarter's performance highlights not just the resilience of our business model and the strength of our execution capabilities, but also, the clear momentum in our strategic growth initiatives.

We are building on this foundation to deliver even greater value in the quarters ahead.

I now welcome your questions. Thank you.

Moderator: Thank you, sir. We will now begin the question-and-answer session. If you have a question, please press * and 1 on your touch tone telephone and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 2. Participants are requested to limit the number of questions to 2 and rejoin the queue for further questions. Ladies and Gentlemen, let us wait for few moments until the question queue assembles. The first question comes from the line of Anukool, an individual investor. Please go ahead.

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nukool: Hi, sir. Thanks for the opportunity. Congratulations on receiving the receivables that were due in MEL. I just wanted to know that since the outstanding receivables are now \$85.5 million, how much of this are you expecting for this year, for FY '26?

Ashwin Devineni: Yeah, so I think, with regards to arrears, like I have mentioned on the previous calls too, this is a constant discussion process with ZESCO. We expect to receive the entire \$85 million in arrears before the end of this financial year.

Anukool: Okay. So, would the entire receivables be received this year?

Ashwin Devineni: Yes.

Anukool: Got it. Another question that I had was, in the last call you said that the tax exemption will continue for the entire financial year, but this year the tax was there.

Could you just throw some light on the same?

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K. V. S. Vithal: Yes, so we have revisited the tax position in consultation with the local tax authorities in Zambia. And we have received confirmation that from this year onwards, which is financial year '26 onwards, part of the tax exemption will not be available.

So just to clarify, up to last year, we had 100% of the power of profits, profits generated out of the power business were exempted ... for the next three years, which is FY '26, FY '27 and FY '28, we will be taxed at 50% of the tax rate, which is 15%. And the last two years, we will be taxed at 75% of the tax rate, which is 22.5%.

Anukool: Got it Sir. Thank you so much for that.

Moderator: Thank you. The next question comes from the line of Viraj Mahadevia from MoneyGrow. Please go ahead.

Viraj Mahadevia: Hi, congratulations on stable results. If you could elaborate a little bit on the sugar cane or the sugar plant in Zambia, you mentioned the power plant has been set for relocation.

If you can elaborate what that is, why you decided to enter sugar in Zambia, and how this 200 million will be funded, debt and equity?

GRK Prasad: The sugar plant, the co-generation power plant has been in NAVA since 2017. What we found is, we could actually have them relocated as part of the KSL integrated project to obtain two benefits, one to meet full power requirement of the sugar project and also, to provide an opportunity to sell power in that region, which is very short in terms of power. That is how the proposal is to relocate the 20 MW power plant to Zambia.

Viraj Mahadevia: Just to understand the full process, the raw cane stocks on the plantation were used as part of the sugar power plant to generate electricity, which is sold back to the grid. Is that correct?

GRK Prasad: No. This power plant has been idle. It has not been generating any power in NAVA. What we are proposing is to have that relocated to Zambia to obtain a better value.

Otherwise, we need to have it scrapped here.

So what, by doing the relocation, we actually are getting a much value upside in terms of capturing the entire WDV value of that sugar plant.

Viraj Mahadevia: Understood.

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Ashwin Devineni : The Baggas from processing the sugar would be used as fuel. Part of the power would be used for captive use by the sugar plant and the remainder balance would be sold in the open grid.

Viraj Mahadevia: Understood. Can you elaborate the requirement of 200 million , if the plant is already in existence in India and shipped to Zambia?

GRK Prasad : Right. The \$200 million comprises the full-fledged plantation. The plantation cost also is included in that \$200 million, aside from the sugar plant, the

co-generation power plant and the distillery .

Viraj Mahadevia: Over what period will this investment be made?

GRK Prasad : This will get spent till April '28, by when we expect the crushing and the sugar production to come into existence.

Viraj Mahadevia: So next two financial years?

GRK Prasad : That is right .

Viraj Mahadevia: Okay, thank you.

Moderator : Thank you. The next question comes from the line of Nidhi Shah from ICICI Securities. Please go ahead.

Nidhi Shah : Yes, thank you so much for taking my questions. So my first question is on MEL II. So, I just wanted to ask what is the CapEx that was done in Q1 and what is the CapEx that remains for this plant?

GRK Prasad : MEL started with Phase II in August '24. Currently, the process is on and we expect that the incremental CapEx that you see is practically on MEL Phase II . It is about Rs.600 crores . And the balance works will happen over the next four quarters. We expect the bulk of that CapEx getting incurred in that period with the balance towards the commissioning phase , which is end of Q1 of FY '27.

Nidhi Shah : All right. My second question is that I recall that 70% of the power, the capacity for Phase II has been tied up. So, what was the tariff for that and what is your plan for the remaining 30% that is currently untied?

Ashwin Devineni : No, 100% of the power is tied up.

Nidhi Shah : Okay. So that remaining 30% is another player or is it the same?

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Ashwin Devineni : Always it is the state utility , ZESCO . We have a PPA with them for all our power.

Nidhi Shah : All right. What is the tariff of that PPA?

Ashwin Devineni : 9.5 cents per kilowatt hour.

Nidhi Shah : Okay. And on ferroalloys, my question is that the volumes and the realization s have gone up significantly, yet we see that P BT is down on a Y -o-Y level. Were there any, extraordinary or one-time costs?

Nikhil Devineni : No. So, in terms of the overall market, the ferroalloys has been not much of a difference compared to last quarter. It still continues to remain in a fairly subdued manner. But I think over the last quarter, you saw better realizations on two counts.

One is the reliance upon the Japanese market where we have a long term contract. That has yielded far better results than the spot market. And adding to that is the product diversification into ferrosilicon. That too has helped us achieve better results, mainly owing to the exports made to the US. So both these things jointly have yielded better realizations.

Nidhi Shah : Right. Sir, my question primarily was that the realizations are better and the volumes are better. So why is P BT down this quarter for ferroalloys, like on a Y -o-Y basis?

K.V.S. Vithal : Silico Manganese realization was lower year -on-year. But that is compensated by ferrosilicon realizations being higher.

Nidhi Shah : All right. Thank you.

Moderator : Thank you. The next question comes from the line of Shreegopal Kankani from S.G. Kankani & Associates . Please go ahead.

Shreegopal Kankani : Good afternoon, sir. I want to get reconfirmation that 100 MW solar power plant is to be commissioned by July '26 and 300 megawatt thermal power plant is to be commissioned by August '26.

Ashwin Devineni : Yes, these are correct. That is the plan.

Shreegopal Kankani : Okay. And one more question. In this quarter, the mining operations profitability has come down way over budget. Are there any major reasons?

K.V.S. Vithal : This is mainly on account of the Forex impact between US D and Zambian Kwacha .

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Shreegopal Kankani : Okay. Thank you, sir.

Moderator : Thank you. The next question comes from the line of Viraj Mahadevia from MoneyGrow . Please go ahead.

Viraj Mahadevia: What is the net cash on the books for Q1? Net cash / debt at a consolidated level.

K.V.S. Vithal : Rs. 2,400 crores of Gross cash.

Viraj Mahadevia : Okay. And how much is the debt?

K. V. S. Vithal : Net cash will be around Rs.1,400 crores .

Viraj Mahadevia: Okay, thank you. My second question is, is there a Zambia power plant shut down for maintenance planned in Q2?

Ashwin Devineni : Both the units are going to go under shut down in the next two months. But they are scheduled for maintenance.

Viraj Mahadevia: Right. Okay, thank you. Sir, just a suggestion. It would be helpful if we could get in the investor presentation or a press release a table of sources and uses of funds for the various projects that are underway. Because we have four projects or five projects underway with different timelines, with different amounts. It would be really helpful if we could have a summary table highlighting what is the CapEx we are planning to spend over the next two years and what are the sources for that and the timelines for which project.

VSN Raju : Sure, will do.

Viraj Mahadevia: Thank you very much. All the best.

Moderator : Thank you. The next question comes from the line of Vijay P. , an Individual Investor. Please go ahead.

Vijay P.: My first question is regarding the company policy of distributing 25 % of the profits to the shareholders as dividend. Does that policy still hold?

Ashwin Devineni : Yes. I think our primary dividend policy is between 25 % to 30 %. I think the last few years we have been giving 27 % - 28% of the standalone profits. But that being said, that is our standard dividend policy.

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But given how our international operations perform and what dividends we receive from the international operations, which sometimes is unknown at this point, we will always be open to considering a special dividend in addition to the normal dividend based on the policy.

Vijay P.: So, this 25 % received by NAVA Limited will be including the dividend or including the profits of the Zambia operations?

Ashwin Devineni : No. The Zambia operations profits are shown on the consolidated level. If once Zambia declares a dividend to the Singapore entity and the Singapore entity in turn declares the dividend to NAVA , it comes into the NAVA books anyways.

So, you know, it is difficult for us to declare a dividend here , when we have not received it from the Zambian entity. And that is exactly why our dividend policy is based on the standalone numbers. We have the leeway to always announce special dividends like we have this time based on dividends we receive from the Zambian operations.

Vijay P.: Okay. Coming to the next point that I have, it says in strategic updates that NAVA Global will directly hold 65 % percent equity in MSEL JV. Now, what is MSEL?

Ashwin Devineni : MSEL is Maamba Solar Energy Limited. It is basically the company that is setting up the 100 MW solar plant.

Vijay P.: I see. So, otherwise the Maamba Energy Limited, 65 % holding is with NAVA Limited.

Ashwin Devineni : No, Maamba Energy is also owned by NAVA Global. So, NAVA Global was previously called Nava Bharat Singapore , which was the holding entity for all these assets. We have changed the name on 1st of August. Then , NAVA Global also owns 65% of MEL. All we are doing here is moving out MSEL, the solar entity from Maamba Energy Limited and having a direct shareholding from NAVA Global at 65 % and ZCCM -IH at owning 35 %.

Vijay P.: Yeah. So, with all this consolidation taking p

lace of Zambia operations under the control of NAVA Global Limited, is NAVA Global Limited having any intention of listing itself on Singapore Exchange or any of the foreign exchanges or having an IPO?
Ashwin Devineni : Currently, that is not in the plans.
Vijay P.: But there is a possibility that NAVA Global will go global and get listed on foreign stock exchanges?

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Ashwin Devineni : No. I mean, I do not want to speculate on this call right now . But currently that is not on the books.

Vijay P.: Okay. So, in that case, NAVA Limited remains the ultimate owner of NAVA Global Limited?

Ashwin Devineni : Yes.

Vijay P.: Thank you.

Moderator : Thank you. As there are no further questions from the participants, I now hand the conference over to management for closing comments. Thank you and over to you, sir.

Ashwin Devineni : Thank you for your insightful questions. You may reach out on the wider investor platform for any further queries or clarifications. Thank you.

Moderator : Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: 1. This document has been edited to improve readability and

2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: Nov 2025

NAVA LIMITED

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ISO 9001 | ISO 14001 | ISO 45001 | ISO 50001
NAVA / SECTL / 326 /2025-26
November 13 , 202 5

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051
NSE Symbol: 'NAVA'
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street
MUMBAI – 400 001

Scrip Code: '513023' / 'NAVA '
Dear Sir (s),

Sub: Transcript of Conference Call.

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
--o0o--

Please find enclosed the transcript of the analyst / investor conference call (i.e. group meet) held on November 07 , 2025 on the operational and financial performance of the Company for the second quarter ended September 30, 202 5.

This is also available on the Company's website at
<https://www.navalimited.com/investors/financials/investor-conference-call/>

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above.

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"Nava Limited
Q2 FY '26 Earnings Conference Call "
November 07, 202 5

MANAGEMENT : MR. ASHWIN DEVINENI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NAVA LIMITED
MR. GRK PRASAD -- EXECUTIVE DIRECTOR – NAVA
LIMITED
MR. NIKHIL DEVINENI – EXECUTIVE DIRECTOR –
NAVA LIMITED
MR. K.V.S. VITHAL – CHIEF FINANCIAL OFFICER –
NAVA LIMITED
MR. VSN RAJU -- COMPANY SECRETARY – NAVA
LIMITED

MODERATOR : MR. MOHIT KUMAR – ICICI SECURITIES LIMITED

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November 07, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Nava Limited Q2 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mohit Kumar from ICICI Securities. Thank you, and over to you, sir.

Mohit Kumar: Thank you. Good evening. On behalf of ICICI Securities, I welcome you all to the Q2 FY '26 Earnings Call of Nava Limited. Today, we have with us from the management, Mr. Ashwin Devineni, Managing Director and CEO; Mr. GRK Prasad, Executive Director; Mr. Nikhil Devineni, Executive Director; Mr. K.V.S. Vithal, CFO; and Mr. VSN Raju, Company Secretary. We will begin with the opening remarks from the management, which will be followed by Q&A. Over to you, sir.

Ashwin Devineni: Thank you. Good evening, everyone, and thank you for joining us today. I'm pleased to share that the second quarter has been another strong period for Nava, marked by consistent operational performance and strategic progress across our businesses. In line with our commitment to shareholder value, I'm also pleased to note that Nava has declared a 300% interim dividend, which marks the highest ever interim dividend in its history.

And this further reinforces our strong balance sheet and consistent track record of rewarding shareholders. We also continued to deliver steady dividend distributions from both Maamba Energy and Nava Global, reflecting our healthy cash generation and disciplined capital management. This remains one of our key strengths and a clear demonstration of our focus on delivering sustained returns to our shareholders.

Our revenues grew steadily, driven by robust performance in the Metals segment and sustained momentum in our Energy business. One of the key milestones this quarter was the successful transition of our Odisha captive power plant into an independent power plant, a move that strengthens our growth trajectory in the energy sector.

Our new projects, including the 100 -megawatt solar power project under construction and the 300-megawatt expansion at Maamba are advancing well, laying a strong foundation for the next phase of growth. Above all, our long -term fundamentals are robust. We will remain agile, prudent and committed to rewarding your trust as we advance our business aspirations.

I now open this call for your questions. Thank you.

Moderator: Thank you, sir. We will now begin the question -and-answer session. If you have a question, please press * and 1 on your touch tone telephone and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 2. Participants are requested to limit the number of questions to 2 and rejoin the queue for further questions.

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Ladies and Gentlemen, let us wait for few moments until the question queue assembles . The first question is from the line of AM Lodha from Sanmati Consultants.

AM Lodha: Sir, I got two questions. One is energy sale relating to outside India and energy sales in India . Second question is regarding employee cost. The total energy sale is down from INR1,045

crores to INR877 crores in quarter 2. This is partially on account of shutdown in Zambia as well as lower price realization in the domestic front. Can you please clarify this?

KVS Vithal : Yes. So the energy sale, the drop is on two counts. One - there was a semi -annual shutdown in Maamba. It was a one -off, and it was planned. And the second one was on account of lower demand in India

on account of the prolonged monsoon and weather conditions.

AM Lodha: Sir, can you quantify the Zambia loss of revenue in the shutdown ?

Ashwin Devineni: We'll get back to you, Mr. Lodha.

AM Lodha: Okay, sir. Regarding the 60-megawatt Odisha power plant IPP, which commenced from 1st November ' 25, how much revenue –the company can achieve on the sale of energy from the 60 - megawatt power plant? I think it is a thermal power plant.

Nikhil Devineni: Correct. It's a thermal power plant IPP. I think in terms of sales, in fact, recently, we have secured a long -term PPA for a period of 5 years for the Odisha IPP. Basically, it's for the state of Tamil Nadu. And the PPA commences from Feb , 2026 and is on until 5 years thereafter.

AM Lodha: Okay. How much revenue this power plant can generate in terms of PPA?

GRK Prasad : This PPA is for 50 megawatt out of the 60 x 2 IPP in Odisha. And we expect the operation to cover at about 50 -plus megawatt on an annualized basis.

AM Lodha: What is the rate at which we are selling the power to the government.

Nikhil Devineni: As per the long -term PPA, which I had mentioned, the delivered rate is INR 5.95.

AM Lodha: Okay. Now second question is, sir, regarding employee cost. In this quarter, there is a sharp jump in employee cost , it is INR111.6 crores against INR65.77 crores. Is this a one-off in employee cost or company started recognizing the expenses of the employees at MEL Zambia?

KVS Vithal : So it has two components. One is the salary increases and the revisions that have happened in second quarter effective 1st of April. That is one. And second is we also do the fair valuation of the RSUs, which is done every quarter. So, these are the two components of the salary cost.

AM Lodha: Sir, can we expect the similar expenses in the coming quarter?

Ashwin Devineni: Mr. Lodha, I think you can come back in line.

Moderator: The next question is from the line of C K Bhartia as a shareholder.

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C K Bhartia : Yes. Just what Mr. AM Lodha was asking, previous speaker, regarding employees benefit expenses, which has gone up from INR65 crores to INR111 crores. Please continue with your answers.

KVS Vithal : It was already explained in the previous question.

C K Bhartia: No, no, it was not explained properly. You said there are two components. One is because of increment in the salary. Other is because of the revaluations or some fair value adjustment. Can you just quantify both these? How much is towards increment and how much is towards reinstatement of fair valuations?

KVS Vithal : Yes, we will get back.

C K Bhartia: And another question is just I wanted to know dividend policy of Nava Global. I understand from your presentation that you have received \$72.8 million from Maamba towards dividend. And how much you have distributed from Nava Global to Nava India dividend s o far out of the \$72.8 million?

Ashwin Devineni: So the dividend policy for Nava Global is adopted by the Board is 30% of PAT would be distributed as dividend. And as it stands right now, that's what we have followed. And therefore, Nava Global after receiving the dividend from MEL has declared \$10 million to Nava.

C K Bhartia: And can you just enlighten us what are the uses of cash with Nava Global, how we are going to deploy those?

Moderator: Sorry to interrupt, C K Bhartia . Please rejoin the queue . The next question is from the line of Abhinav Nalawade from ICICI Securities.

Abhinav Nalawade : I understand the MEL 2 plant is going as per the planned commissioning. I just wanted to know what is the capex that was done in Q2? And what is the capex that is pending for this plant?

KVS Vithal : Total outlay is \$400 million for Phase 2. And out of that, currently \$226 million has been spent.

Abhinav Nalawade : Understood. My second question is on Avocado plantation. It is mentione

d that the first fruit

yield and income is projected in second half FY '26. What are the earnings that we can expect from this?

Ashwin Devineni: Yes. So in terms of the Phase 2 coming on stream, it's going to be during the later part of next year.

Moderator: The next question is from the line of Shikhar Tewari as an Individual Investor .

Shikhar Tewari : My question is regarding the company now having a significant amount of cash flow on its balance sheet. So going forward, what is the policy of this management to utilize the cash flow?

Are we going to invest in more businesses in Zambia? Or are we going to look for opportunities throughout Africa or India and invest in those profitable opportunities? And the second question is if there is any policy regarding the dividend distribution from this cash flow going forward?

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Ashwin Devineni: Yes. So in terms of our growth plan, I don't think we are specific to any geography. As and where we see good opportunities, we evaluate the risk versus return, and if it makes sense for us, we will expand.

Today, as it stands, if you look at our current projects that we have in the pipeline, we have a total equity commitment of approximately about \$200 million, agri and in the energy sector. So -- but notwithstanding that, we have adopted a dividend policy at the Nava Global level that 30% of the PAT would be declared as dividend to its shareholders.

Moderator: The next question is from the line of C K Bhartia, as an Individual Shareholder.

C K Bhartia: Yes, sir, the same question that what are the uses of Nava Global balance 70%? You told that \$200 million will be required for the expansion and how the balance funds will be utilized?

Ashwin Devineni: I've explained this before, sir. I've very clearly stated that as funds come into -- I'm talking about the Nava Global level, 30% of them will be declared as a dividend based on the dividend policy.

And the remainder will be used for expansions and growth capital. And today, as we stand, we have approximately about \$200 million of equity commitments. And apart from this, we're always looking at new opportunities too. So that's the utilization of the funds.

Moderator: The next question is from the line of Prabhakar from RLP Securities.

Prabhakar: Sir, I have two questions. One is what is the status of the mining exploration? And second thing, last time you said that you have appointed a consultant with regards to the Nacharam land, how it can be utilized? And what is the outcome of that report and what we are going to plan with that land? And another thing, is there any proposal of giving the bonus out of the existing reserves to the shareholders?

Ashwin Devineni: Okay. In terms of your first question, with regards to exploration, which exploration are you talking about? There's lithium and there's also the manganese exploration in Ivory Coast.

Prabhakar: Yes. The government has allotted the land to us for exploration of mining. I think other than Zambia.

Nikhil Devineni: I think in both geographies in Zambia as well as Cote d'Ivoire, the exploration works are still underway. And I think once we have some concrete information out of that, we'll report it.

Prabhakar: It will take how much time, sir?

Nikhil Devineni: I can't put a number on it, but we expect to have some news by the end of next year.

Ashwin Devineni: I think, sir, one thing we need to understand is exploration activities are -- they could take a small amount of time or a very long amount of time. Unfortunately, we can't put our finger and say there are minerals in a certain area and so on.

So I don't think we can give you a timeline in terms of when we can show you results because these are very large pieces of land that we are exploring. There's a very long drawn process. But

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as soon as we strike something positive that needs to be reported, we will definitely let the shareholders know in the first instance.

Prabhakar: Okay. What about the Nacharam land?

Ashwin Devineni: Yes. So Nacharam, we're still exploring better -- good options. I mean as you probably know, the Hyderabad real estate values, especially in that region are climbing and they're increasing.

So we do see some interest. And so we're basically still evaluating options.

Prabhakar: Is there any proposal of giving a bonus to the shareholders out of the existing reserves?

Ashwin Devineni: We just declared a dividend, our highest ever interim dividend. So I think we've been very, very generous in terms of declaring dividends and interim dividends on a yearly basis. Every time we receive funds from MEL through dividends, a portion of that is always distributed back here to the shareholders.

Prabhakar: There's no proposal to issue bonus shares?

Ashwin Devineni: Currently, there's no proposal. Right now, we've just declared a dividend.

Moderator: The next question is from the line of Shikhar Tewari, as an Individual Investor.

Shikhar Tewari: I just would like to understand how does the management see the company 5 years from now onwards? Will it be a diversified business, which will invest in profitable enterprises? Or do we see ourselves as an energy company or a mining company? What is the vision of the Board?

Ashwin Devineni: So, I think as a company, we have extremely strong roots in certain verticals, be in the energy

sector, the metal sector, the mining sector and the agri sector, we definitely want to leverage on those expertise to expand the business. Today, already, we have a very good pipeline of future projects that are going to add to the revenues and bottom line in the next coming years. In addition to that, we are constantly exploring new opportunities in similar verticals, both as greenfield and M&A activity, which will definitely add to the pipeline of projects that we want to undertake.

One thing to note is given our assessment of projects that we get into, where we evaluate the risk versus reward, we're in a very good situation where we have very, very limited debt. So whenever a good opportunity arises, we can jump on that immediately.

Moderator: The next question is from the line of Vansh Jain .

Vansh Jain : Yes. So I'm able to see that your EBITDA margin has been dropped from 48% to 34%. So I wanted to know like going forward, will we be able to recover the 48% margin or 34% will be the new normal? And moreover, that 100 -megawatt solar project that we have signed, I want to know what is the rate at which we have signed and what is the revenue that we'll be getting 2 years down the line from that project?

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KVS Vithal : On the EBITDA part, it is mainly due to -- one is the forex has been impacting us. You are referring to Y -o-Y Q2 of last year, 48% to 34%. So the forex has impacted adversely in this particular quarter, which definitely we feel it will reverse.

And the second is in terms of the demand condition , in this particular quarter has also impacted. So definitely, these one -offs are there in this quarter, and somehow we should be able to bounce back to a level which is much higher than the current quarter.

Vansh Jain : And can you give the light on the 100 -megawatt solar project?

Ashwin Devineni: Yes. So, the solar project, the tariff at the power purchase agreement that we've signed with the utility is at 7.8 cents per kilowatt hour.

Vansh Jain : And what is the revenue that we'll be looking 2 years down the line and margins?

Ashwin Devineni: I mean I think in terms of revenue, we don't want to start talking about margins and all on this call. So in terms of the revenue, we'll give you the information at a later period.

Moderator: The next question is from the l

ine of Radha from B&K Securities.

Radha: Sir, what I wanted to understand is from next quarter, we'll start seeing the avocado revenue coming in. So , with respect to that, you have four phases of plantation. So in the second half of FY '26, is it fair to assume that only Phase A, which is 1 lakh trees will contribute this year in terms of revenue? However, on the expense side, initially, the employee and other expenses might look higher?

Ashwin Devineni: So, in terms of the avocado, we did have a very small but initial first crop production this year itself. End of next year will be slightly larger, which will slowly scale up. And I think we're looking at probably full production at FY '28. So it will slowly increase , kind of in a phased manner like in all agriculture.

Radha: So the 1 lakh trees of the crop yield will not be sold in second half. That is not the right assumption, but it would be lower since it's the initial phases currently?

Ashwin Devineni: No, it will be done in phases. When you plant 100,000 trees, they don't all fruit at the same time. So -- this is agriculture, so it will take a little while. But if you're looking at full production and in terms of full revenue, you're looking at '28 baskally.

Radha: Okay . And sir, is this going to be B2B sales? Have you identified those customers already? And what kind of margin potential that this business has? Is it fair to assume that this business can do 60% plus EBITDA margins at optimal utilization?

Ashwin Devineni: No. See, I'm not going to talk about margins and so on, on this call. But in terms of the sale, we currently are evaluating , we have distributors that essentially take your entire crop and then they deal with the marketing and the sales. So that's one option we're looking at.

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But we're also open to kind of looking at the combination where we do have some direct sales and we have distributors. But that's something we are currently evaluating, and we will decide before the end of next year when we have a larger production.

Radha: Will the employee and other expenses go up in next quarter as well?

KVS Vithal : So there were some one -offs, as I mentioned, in terms of valuation and all that. We don't expect the employee cost to go up beyond this level.

Moderator: The next question is from the line of AM Lodha from Sanmati Consultants.

AM Lodha : Sir, I wanted to know the USD55 million payment from the ZESCO is still outstanding. When do you expect to get this due?

Ashwin Devineni: We should expect -- I mean hopefully, I'm not going to commit on anything, but we hope to receive it before the end of this financial year.

AM Lodha : Before the end of this financial year, by March '26.

Ashwin Devineni: Yes.

AM Lodha : Second question, sir, the bank borrowing has gone up from INR823 crores to INR1,559 crores in the consolidated balance sheet. And whereas we have got cash and cash equivalent at bank to INR1,800 crores. So this INR1,800 crores -- still we have borrowed the money, could we utilize this INR1,800 crores in the project sir?

KVS Vithal : Yes. So the borrowings are mainly towards the Maamba Phase 2. We are borrowing in a phased manner in line with the development of the project. A big part of that is still in our cash and cash balance, which will be used subsequently to fund that project. That is one reason. The other is, as we mentioned, we are realizing the arrears from ZESCO, which is also contributing to the increase in cash balance quarter-on-quarter.

AM Lodha : Another question, the investment have gone up from INR597 crores to INR726 crores in the quarter. -- Is this investment related to mutual funds, bonds or it is intercompany investment?

KVS Vithal : No, it is investment in current investments, which is effectively bonds and other investments, which have maturity of more than 1 year, which are cla

ssified as investments. These are not investments in any other company.

Moderator: The next question is from the line of Shreegopal Kankani from SG Kankani & Associates.

Shreegopal Kankani : I wanted to know the status of implementation of 300 -megawatt power expansion in Zambia. Is it as per schedule?

Ashwin Devineni: Yes, The progress is going well. We expect to have both the units commissioned by the later part of next year.

Shreegopal Kankani : Later part. I think earlier it was planned in August '26.

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Ashwin Devineni: Yes, that's as per the schedule. So I mean, I don't want to commit on an exact date or a month right now because this is a very, very aggressive time schedule that we've agreed. Generally, these plants take about 3 to 4 years to build. We are trying to do it in 2 years. So we are doing our best. Things are going fine, and we're still looking at the later part of next year.

Shreegopal Kankani : Okay, sir. Second thing, in the last con call, you had said that there is a planned maintenance shutdown of Zambia plant for 2 months, whether that shutdown has been taken place in this quarter or it is going to come in next quarter?

KVS Vithal : It has already happened in this particular quarter.

Shreegopal Kankani : In this quarter. So from October onwards, there is no such maintenance shutdown in Zambia plant.

GRK Prasad : No, not for this year.

Moderator: The next question is from the line of Bhagwandas Gandhi from CMS.

Bhagwandas Gandhi: I want to know that are you acquiring land from government in Andhra Pradesh for any project?

Ashwin Devineni : No, we currently have no plans.

Moderator: The next question is from the line of AM Lodha from Sanmati Consultants .

AM Lodha: Sir, last question. Any plan for monetization of Hyderabad land?

Ashwin Devineni: No, we just explained it, Mr. Lodha. Basically, we are looking at opportunities. The price is going up in that region, and we are considering various opportunities. But when there's anything material, we'll let the wider group know.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments. Over to you, sir.

Ashwin Devineni: Thank you. I trust we've answered all your queries. If there are any further queries, please feel free to reach out to our investor team. I know there have been one or two questions that we need to respond, which we will do. And we'd like to thank our shareholders and partners for their continued confidence as we stay focused on building a stronger, sustainable Nava. Thank you, everyone.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Note: 1. This document has been edited to improve readability and

2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: Feb 2026

NAVA LIMITED

Regd . Off.: Nava Bharat Chambers, 6 -3-1109/1, 3rd Floor, Raj Bhavan Road, Somajiguda, Hyderabad - 500 082, Telangana , India. CIN: L27101TG1972PLC001549

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www.navalimited.com

ISO 9001 | ISO 14001 | ISO 45001 | ISO 50001

NAVA/SECTL/459/2025-26

February 11, 2026

Listing Department

National Stock Exchange of India Limited

Exchange Plaza, 5th Floor,

Plot No.C/1, G Block

Bandra Kurla Complex, Bandra (E)

MUMBAI – 400 051

NSE Symbol: 'NAVA' Dept. of Corp. Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street

MUMBAI – 400 001

Scrip Code: '513023' / 'NAVA '

Dear Sir (s),

Sub: Transcript of Conference Call.

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.

--oOo--

Please find enclosed the transcript of the analyst / investor conference call (i.e. group meet) held on February 05, 2026 on the operational and financial performance of the Company for the third quarter ended December 31, 2025.

This is also available on the Company's website at

<https://www.navalimited.com/investors/financials/investor-conference-call/>

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,

for NAVA LIMITED

VSN Raju

Company Secretary

& Vice President

Encl: as above.

Page 1 of 9

"Nava Limited

Q3 FY '26 Earnings Conference Call "

February 05, 2026

MANAGEMENT : MR. ASHWIN DEVINENI – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – NAVA LIMITED

MR. GRK PRASAD – EXECUTIVE DIRECTOR – NAVA
LIMITED

MR. NIKHIL DEVINENI – EXECUTIVE DIRECTOR –
NAVA LIMITED

MR. VSN RAJU – COMPANY SECRETARY – NAVA
LIMITED

MR. B. SRINIVASA RAO – FINANCIAL CONTROLLER –
NAVA LIMITED

MR. P. KARTHIK – AGM (PROJECTS & FINANCE) –
NAVA LIMITED

Nava Limited
February 05, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the Nava Limited Q3 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nidhi Shah from ICICI Securities. Thank you, and over to you, ma'am.

Nidhi Shah: Thanks, Shubham. Good evening. On behalf of ICICI Securities, I welcome you all to the Q3 and FY '26 Earnings Call of Nava Limited. Today, we have with us from the management, Mr. Ashwin Devineni, Managing Director and CEO; Mr. GRK Prasad, Executive Director; Mr. Nikhil Devineni, Executive Director; and Mr. VSN Raju, Company Secretary. We will begin with opening remarks from the management, which will be followed by Q&A. Over to you, sir.

Ashwin Devineni: Thank you. Good afternoon, everyone and thank you for joining us. I would like to begin with a key milestone that underscores our commitment to shareholder value. The successful completion of Nava Global \$50 million buyback, supported by strong dividend flows from Maamba Energy. This transaction reflects the quality of our underlying assets, disciplined capital allocation and our continued focus on strengthening results to shareholders. Operationally, Q3 FY '26 was a strong quarter for Nava. We delivered healthy revenue growth and a sharp improvement in profitability with consolidated net profit rising 83.5% quarter-on-quarter.

Our energy business remained resilient. MEL continued to reduce arrears while maintaining high plant availability and mining posted improved volumes and margins. Equally important, our growth projects are progressing steadily, from the 300-megawatt MEL expansion and the 100-megawatt solar project in Zambia, to experiencing early success in our Avocado plantations and steady execution of the Kawambwa Sugar project. These investments are designed to diversify earnings, enhance cash flows and build long-term resilience.

We will take any questions now. Thank you.

Moderator: Thank you very much. We will now begin with the question and answer session. If you have a question, please press * and 1 on your touchtone telephone and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 2. Participants are requested to limit the number of questions to 2 and rejoin the queue for further questions.

Ladies and Gentlemen, let us wait for few moments until the question queue assembles. The first question comes from the line of Kaushik Doshi from ICICI Securities.

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Kaushik Doshi: Congratulations for the great achievement. My first question is other income jumped sharply to INR70.4 crores in quarter 3 compared to INR26 crores in quarter 2. Can you break this down between dividend, interest and indicate what portion is sustainable?

B Srinivasa Rao: So you are referring to the consolidation level or at the stand-alone level?

Kaushik Doshi: Sir, at consolidation level.

B Srinivasa Rao: At consolidation level, it is mainly on account of foreign currency fluctuations.

Kaushik Doshi: Okay, sir. And what portion is sustainable? Can you indicate that?

P. Karthik: Sustainable other income under consolidated per quarter is around INR40 crores.

Kaushik Doshi: Okay, sir. And sir, my second question is EBITDA margin expanded sharply to 48.3% from 34.5% quarter-on-quarter. How much of this expansion is driven by MEL PLF normalization versus cost reversal?

P Karthik: The major contribution is from MEL power plants.

This quarter, MEL power plant operated with 97% PLF. In Indian Energy business, the PLFs were good, but at the same time, few power plants had planned shutdown activities.

Kaushik Doshi: Okay. Sure. Got it. Sir, my next question is mining revenue grew 16.6% quarter-on-quarter due to higher volume. Is this volume run rate sustainable? Or is Q3 usually strong?

Ashwin Devineni : Yes, in terms of the mining division, I think we average in terms of sales, about 35,000 tons to 40,000 tons to 42,000 tons on a monthly basis. That's what we've been averaging, and that's sustainable.

Kaushik Doshi: Okay Sir. Thank You.

Moderator: The next question comes from the line of Vaishnavi Gurung from Craving Alpha Wealth Fund.

Vaishnavi Gurung: I have 2-3 questions from my end. The first one is with respect to Zambia. In terms of macro perspective, with respect to power, what are the plans of the government to diversify away from hydropower? And do you see any or expect any projects that will generate revenue for us?

Ashwin Devineni: Yes. I think the answer to that is Maamba, right? They're already diversifying from hydropower by signing PPAs and absorbing power from us, from Phase 1 and from Phase 2. Aside from that, they're increasing a lot of solar projects. We are undertaking a 100 -megawatt solar project, while there are other solar projects also in the country coming up, some commissioned and some yet to be commissioned. So I think they are eagerly diversifying away from hydropower.

Vaishnavi Gurung: So apart from the upcoming 300 -megawatt project, do you see any other projects for us?

Ashwin Devineni : Yes, we are setting up another 100 megawatts solar and we are also exploring other opportunities in terms of renewables.

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Vaishnavi Gurung: Okay. And sir, another question is on the cash that we are receiving from Nava Global. How do we plan to deploy that?

Ashwin Devineni: So I presume you're talking about the buyback amount?

Vaishnavi Gurung: Yes, sir, buyback and dividend .

Ashwin Devineni: Yes. So like we've always stated, our primary objective is to ensure that we have enough cash to fund future projects, mainly greenfields or expansion. And then apart from that, we always look at corporate actions, and we've been fairly generous in this past year with regards to corporate actions, which always boost shareholder confidence.

Vaishnavi Gurung: Okay sir, noted. Another question is on the avocado and agriculture front, how do we plan to scale this segment? And how much further do we plan to invest there?

Ashwin Devineni: I think on the avocados, we have 4 divisions split into 275 hectares each. Right now, as we speak, 2 divisions have already been planted and the first division has given us the first pilot crop of about 140 metric tons. I think going forward, we are looking at about a time horizon of 8 years until the full production from all 4 divisions hits the markets.

Vaishnavi Gurung: So for this segment to grow significantly and contribute to the revenue, how much time frame would we expect?

Karthik P : Down the line 4 to 5 years to be a significant segment.

Moderator: The next question comes from the line of Shree Gopal Kankani from S.G. Kankani & Associates.

Shree Gopal Kankani: I have seen the presentation where you have mentioned that at H1 of next financial year completion target for solar power plant and H2 for thermal power plant. But I wanted to know that what is the expected completion time for sugar complex?

Ashwin Devineni: The sugar complex processing unit will be complete by around April 2028. So, I'd say, mid 2028.

Shree Gopal Kankani: And my second question is , what is the area of the Nacharam land? And what is the present market value approximately?

VSN Raju 65 acres.

Shree Gopal Kankani: And what is the present market value approximately?

Nikhil Devineni:

See, what we know is the fact that the area is garnering a lot of interest. And the market value, say, from 10 years ago has definitely been on the upswing. So to give you a precise number at this juncture, we will not be able to, but we know it's on the inclining trend.

Shree Gopal Kankani; Thank You sir.

Moderator: The next question comes from the line of Jatin Damania from SVAN Investments.

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Jatin Damania: I just wanted to understand the capex that we'll be spending for the 300 -megawatt and 100 -megawatt separately in Zambia?

Karthik P : For the 300 -megawatt expansion thermal plant, total capex outlay is \$400 million. And for the 100-megawatt solar plant, capex outlay is \$90 million.

Jatin Damania: And out of this, how much we have already spent?

Karthik P : As of 31st December, for the thermal plant, total spend was around close to \$190 million. For solar plant, spent close to \$10 million.

Ashwin Devineni: This includes your debt and equity. This is not just equity, this is debt and equity.

Jatin Damania: And the debt equity is in ratio of 70 -30, right?

Karthik P : Correct.

Jatin Damania: And the entire capex is funded by Nava or even the Zambian government is contributing to the project?

Ashwin Devineni: It's 65 -35. So we contribute on the equity side, we contribute 65% and ZCCM -IH, our partner contributes 35%.

Jatin Damania: Okay. Sir, definitely, that is a good visibility in terms of the power project coming from the Zambia. But when you come to the domestic market, the scenario looks little bit lower in terms of the pricing as well as demand. So how do you see the domestic power segment growth going ahead?

Ashwin Devineni: As you rightly pointed out, the domestic power seems to be on the declining trend. If you look at the exchange pricing itself, I think there's been a drop of about 12% year -on-year. So I think we are looking at mitigating this downturn through mainly entering into long -term and short -term contracts rather than being completely dependent on the exchange where there's a lot of volatility.

I think in this regard, we have informed you in the last quarter that we have engaged into a long -term 5 -year period bilateral contract with Tamil Nadu for our 60 -megawatt IPP plant in Odisha. So besides that, we're also looking at targeting similar allocations for the other units that we have domestically.

Jatin Damania: And at what rate that we have entered into a contract on the PPA side ?

Ashwin Devineni: This is at INR5.2 per kilowatt hour, the long-term Tamil Nadu contract.

Jatin Damania: Last question on other than the power business, what's your take on the Ferro Alloys because the segment is consistently underperforming. I understand the market is not good. But now given the recent safeguard duty on the steel and some uptick in the prices on the Ferro front, how do you look this segment growth in the coming quarters or probably for FY '27?

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Nikhil Devineni: If you compare the last quarter with this quarter that we're in, there's been an improvement of pricing by about 8% . I think this has a lot to do with the capital allocation that the government has put upon in terms of infrastructure and so on.

So going forward, we are hopeful that prices don't increase to a very large extent, at least they are going to remain stable. So while we don't look at it as a very high -margin vertical, but we are confident that in terms of the scale, there will always be a good top line involved with it.

Jatin Damania: I'm looking from the operating performance. As you indicated that the quarter -on-quarter, the prices have increased. But when you look at the segmental results, there's a sharp drop in the profitability in the Ferro segment. So I'm just unable to digest it because from INR2 crores of EBIT we are

almost at breakeven on the Ferro front .

Nikhil Devineni: No, what I mentioned was from quarter 3 to the quarter that we're in , current quarter 4 there's been an increase.

Jatin Damania: Ok, Noted. That's all from my side and all the best.

Moderator: The next question comes from the line of Kaushik Doshi from ICICI Securities.

Kaushik Doshi: My next question is, what is the amount of debt at the end of 9th month FY '26?

Karthik P : Close to \$200 million.

Kaushik Doshi: Sir, my next question is, do you have any tie -up of power for this summer for Indian power plant?

Ashwin Devineni: Yes. In terms of quarter 4, we are more or less fully committed.

Kaushik Doshi : Thank you. That's it from my side.

Moderator: The next question comes from the line of Jainam from ICICI Securities.

Jainam: My first question is for the 300 -megawatt MEL phase 2 and 100 megawatts solar project? Can you share the expected capex funding mix and steady -state EBITDA and ROCE?

Ashwin Devineni: I think we've just answered that with regards to both the plants, just a couple of minutes ago in terms of the capex .

Jainam: Okay, sir. Sir, how much is the outstanding receivables for Maamba?

Ashwin Devineni: The arrears amount that is yet to be paid is about \$30.5 million.

Jainam : Thank you Sir.

Moderator: The next question comes from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: Sir, could you please update us on the Ivory coast? And also, can you give us the payback period that you are expecting from the solar project?

Nava Limited

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Nikhil Devineni: So in terms of Ivory Coast, as you're aware, we are currently under exploration for the 360 square kilometer concession that we were awarded. I don't have much to share in terms of the discovery yet. I think that's still underway. So when we do have something, I'll get back.

Sailesh Raja: Okay. And what about the solar investment, we are investing USD90 million. What about the payback period that you are expecting from this solar project?

Ashwin Devineni: It's 10 to 12 years.

Sailesh Raja: Okay. Currently, in Zambia, what is the mix between thermal and solar?

Ashwin Devineni: So right now, we are only in thermal.

Ashwin Devineni: Yes. So initially, Zambia was almost 95% hydro when we came into the picture with thermal. But now there are quite a few solar plants that are coming up, but they're all without storage. So possibly the only other baseload apart from the thermal would be hydro. But I think there's a fair bit of solar coming up and there's also talk of some other thermal projects coming up. But I think solar is gaining more traction.

Sailesh Raja: Thank You.

Moderator: The next question comes from the line of Stuti Agarwal from CIL.

Stuti Agarwal: Could you comment on the increase in employee cost from INR191 crores to INR268 crores?

B. Srinivasa Rao: Can you please tell me which period you are referring to?

Stuti Agarwal: 9 months comparison on consolidated level

B. Srinivasa Rao: Yes. It is on account of commission. The closing was made in the last quarter. So on like 9 months period, it is more compared to the previous 9 months period in 2024.

Stuti Agarwal: Okay, sir. And another question was, Nava Global has bought back 50 million of shares. So is there any future plan to like make it a wholly-owned subsidiary?

Ashwin Devineni: It is a wholly-owned subsidiary. It was a buyback, the share capital reduced. So it is still a wholly-owned subsidiary of Nava. Nava owns 100% of Nava Global.

Stuti Agarwal: Then what is the reason for buyback?

VSN Raju: Nava is single shareholder. Hence, even after buyback, it still holds 100%.

Ashwin Devineni: Nava Global bought back the shares. Nava still remains the 100% owner.

Stuti Agarwal: Thank You.

Moderator: The next question comes from the line of Vaishnavi

Gurung from Craving Alpha Wealth Fund.

Nava Limited

February 05, 2026

Vaishnavi Gurung: With respect to commissioning of the power plants and thermal power plants in 2026, what kind of revenue you are expecting from these 2 power plants? If you can give us a broad guidance like around in FY '26 or '29?

Karthik P: On the 300-megawatt thermal power plant in case of full year operations, the expected revenue is \$180 million to \$200 million and from the 100-megawatt solar project in case of full year operation, the expected revenue is \$15 million to \$16 million.

Vaishnavi Gurung: So by when do we expect the full operation of these 2 power plants?

Karthik P: It will be from the financial year 27-28.

Vaishnavi Gurung: And sir, just last question from my end. Do we have any planned shut down for this FY '26 and FY '27?

Ashwin Devineni: Yes, all the plants undergo shutdown and maintenance every year. So there are going to be planned shutdowns for all our units during the year.

Vaishnavi Gurung: Anything major?

Ashwin Devineni: No, nothing major.

Vaishnavi Gurung: Thank You.

Moderator: The next question comes from the line of Shree Gopal Kankani from S.G. Kankani & Associates.

Shree Gopal Kankani: Thank you, sir. We have recently learned from newspaper that MOIL has increased the prices of manganese ore by 5% from 1st of February. Do we have sufficient stock of manganese ore or this is going to adversely affect our profitability for production of silicon manganese?

Nikhil Devineni: No, our exposure to MOIL is extremely limited. We don't buy any lumps from them. We only buy a very small amount of fines. So we should not have much of an impact.

Shree Gopal Kankani: Okay. So then from where our manganese requirement is being met?

Nikhil Devineni: From various sources, mostly outside of India.

Shree Gopal Kankani: Thank You.

Moderator: The next question comes from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: Sir, could you give us some broad-based idea on capex for FY '27 and FY '28, where are we looking to spend the capex? And of the capex that we are doing, what kind of revenues we can expect in the next coming years?

Ashwin Devineni: That's a fairly broad question. So in terms of the current year with regards to the capex

commitments, it's all based on the ongoing projects, namely, I think the Phase 2, 300 -megawatts thermal. You have phase 1 of solar, which is 100 megawatts committed with the potential of another phase that may get committed later based on market dynamics. Then on the agri side, Nava Limited
February 05, 2026

Page 9 of 9

we broadly spoke about the avocado where it's a \$ 55 million commitment and the sugar project, the Kawambwa Sugar Limited, which is \$ 100 million commitment.

Nidhi Shah: So we're expecting all of this capex to kind of be undertaken till FY '27 end, right? So do we have anything in mind for FY '28?

Ashwin Devineni: Yes, we do have projects in the pipeline that we are thinking about. But it's too early for us to commit or discuss those projects. But as we progress, as we have projects that we are developing, we also are constantly evaluating new projects that we can take up.

Nidhi Shah: All right. Lastly, on the capex front, what was the capex that was undertaken in the 9 months of this year?

Karthik P : Phase 2 thermal power plant, the capex incurred is around \$90 to \$100 million and towards the 100 megawatt solar power plant, the capex incurred is \$10 million. Avocado plantation, the capex incurred is around \$8 million. For the KSL Sugar Plant, the capex incurred is \$8 million.

Nidhi Shah: Okay. And my last question would be that for the Indian power plants, do we have a tie -up for power this summer?

Ashwin Devineni: Yes. I mentioned earlier, for quarter 4, we are more or less fully committed. I think for the Q1 of FY '27 too we are

in the process of tying up most of our surplus quantities .

Nidhi Shah: Thank You.

Moderator: The next question comes from the line of Stuti Agarwal from CIL.

Stuti Agarwal: Yes, I wanted to check on what is the status of lithium mines in Africa ?

Ashwin Devineni: So, in terms of the lithium mines, we're still in the exploration stage. That's currently underway. These processes take a little while, and they involve various steps.

Stuti Agarwal : Thank You.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.

Ashwin Devineni: Thank you once again for joining us today. I hope we have answered all your questions. We appreciate all your continued interest and support. As we move ahead, we remain focused on delivering sustainable long -term value for all stakeholders. Thank you, and have a nice day.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: 1. This document has been edited to improve readability and
2. Blanks if any, in this transcript represent inaudible or incomprehensible words.

Call: May 2026

NAVA LIMITED

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ISO 9001 | ISO 14001 | ISO 45001 | ISO 50001
NAVA/ SECTL/ 49/2026 -27
May 20, 2026

Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No.C/1, G Block
Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 051
NSE Symbol: 'NAVA'
Dept. of Corp. Services
BSE Limited
Phiroze Jeejeebhoy Towers,
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MUMBAI – 400 001

Scrip Code: '513023' / 'NAVA '
Dear Sir (s),

Sub: Transcript of Conference Call.

Ref: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 : Transcript of the Conference call with investors.
--o0o--

Please find enclosed the transcript of the analyst / investor conference call (i.e. group meet) held on May 15, 2026 on the operational and financial performance of the Company for the fourth quarter and year ended March 31, 2026.

This is also available on the Company's website at
<https://www.navalimited.com/investors/financials/investor-conference-call/>

Kindly take the same on record and acknowledge the receipt.

Thanking you,

Yours faithfully,
for NAVA LIMITED

VSN Raju
Company Secretary
& Vice President

Encl: as above.

Nava Limited
May 15, 2026

1

"Nava Limited
Q4 FY '26 Earnings Conference Call"
May 15, 2026

MANAGEMENT: MR. ASHWIN DEVINENI – MANAGING DIRECTOR & CEO –
NAVA LIMITED
MR. NIKHIL DEVINENI – EXECUTIVE DIRECTOR – NAVA
LIMITED
MR. GRK PRASAD – EXECUTIVE DIRECTOR – NAVA LIMITED
MR. B. SRINIVASA RAO – CHIEF FINANCIAL OFFICER – NAVA
LIMITED
MR. VSN RAJU – COMPANY SECRETARY – NAVA LIMITED

MODERATOR: MS. NIDHI SHAH – ICICI SECURITIES LIMITED

Nava Limited
May 15, 2026

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Moderator

Good evening, ladies and gentlemen. I'm Madhuri, moderator for the conference call. Welcome to NAVA Limited Q4 FY26 Earnings Conference Call. As a reminder, all participants will be in listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing * and then 0 on your touch -tone telephone. Please note this conference is recorded.

I would now like to hand over the floor to Ms. Nidhi Shah. Thank you, and over to you, ma'am.

Nidhi Shah

Thank you so much, Madhuri . Good evening. On behalf of ICICI Securities, I welcome you all to the Q4 and FY 26 earnings call of NAVA Limited. Today, we have with us from management , Mr. Ashwin Devineni, Managing Director and CEO; Mr. Nikhil Devineni, Executive Director ; Mr. G.R.K. Prasad, Executive Director ; Mr. B. Srinivasa Rao, Chief Financial Officer and Mr. V.S. N. Raju, Company Secretary .

We will begin with opening remarks from the management, which will be followed by a Q &A.

Over to you, sir.

Ashwin Devineni

Thank you very much. Good afternoon, everyone, and thank you for joining us today. FY26 has been a strong and important year for NAVA , both from an operational and strategic perspective. Our business continued to perform steadily across geographies, supported by disciplined execution, stable operations , and improving efficiencies. At the standalone level, we reported 116% increase in profit after tax to INR 911 crore, marking one of the strongest performances in the company's history.

The growth was primarily supported by healthy upstream dividend flows from our overseas investments and buyback proceeds received during the year. We also witnessed one of our strongest years of cash generation, supported by these inflows , alongside healthy operational cash flows, further strengthening our liquidity and balance sheet position.

On the consolidated side, profitability was impacted by a certain accounting -led tax adjustments at MEL, which is Maamba Energy Limited, relating to deferred tax movements. To provide some context on this, the increase in deferred tax expenses, which is a non -cash item, was primarily driven by approximately 32% appreciation of the Zambian Kwacha, resulting in unrealized foreign exchange gains.

These unrealized gains create a timing difference between how income is recognized in the financial statements and how it is treated for tax purposes. As a result, a deferred tax liability is recorded . However, the underlying operational and cash performance of the business remains healthy and consistent. And on this, it is important to note the following, and there are four points on this deferred tax provision.

One, non-cash in nature. This deferred tax does not involve any immediate cash outflow and is purely an accounting adjustment. The second is it's linked to the exchange rate movement. The deferred tax position will be reassessed during every reporting period based on the outstanding loan balances and the prevailing exchange rate.

Third, that it's temporary and reversible. Since the underlying driver is foreign exchange fluctuation, the impact can be temporary. And as exchange rates stabilize or move in opposite direction, the deferred tax liability is expected to reverse over time, and it has no impact on the core performance. This movement should be viewed as a technical accounting adjustment and not as an indicator of the company's operational performance or cash position.

That being said, overall, we believe today NAVA is in a stronger position operationally, financially, and strategically with stable core businesses, healthy liquidity, improving cash flows, and multiple long-term growth drivers in place.

Nava Limited

May 15, 2026

3

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t to this is the dividend declared for the year at INR 8.50 per share, which is the highest in the company's history.

With that overview, I would now like to hand over the call for a detailed discussion on the financial and operational performance for the year. Thank you very much.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad, and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and then 1 again.

The first question comes from Adithya Sriman from PCS Securities. Please go ahead.

Adithya Sriman

The first one is the status of the projects of the 100-megawatt solar project and the 300-megawatt thermal project, sir.

Ashwin Devineni

Yeah. So, the solar project is due to be -- at least commissioning is supposed to commence in the month of July, 2026. And the Phase 2, which is a 300-megawatt expansion at MEL, is to be commissioned during the early part of January 2027.

Adithya Sriman

Okay, sir. And what is the status for the avocado and the sugar complex?

Nikhil Devineni

Well, on the avocado front, in fact, this year we've had our first commercial harvest of about 150 tons. As we speak, the rest of the growth in the last division, Division D, is taking place. We expect that to be complete towards the end of this financial year, post which, in terms of plantations, we would be fully complete with it. However, in terms of commercial sale, we are expecting next year there would be a harvest sale of about 1,000 tons. And going from there, every year the quantity would double in nature and up until 2034.

Adithya Sriman

Sir, one last question. What are the domestic realizations for power?

B. Srinivasa Rao

Power for the current year, we estimate it around INR 5.50.

Adithya Sriman

Okay. Thank you, sir.

Moderator

Thank you, sir. Participants are kindly requested to ask two questions in the initial round and may join the queue for more questions. The next question comes from Saket Kapoor from Kapoor & Co. Please go ahead.

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Saket Kapoor

Sir, if you could just explain to us the allowance of expected credit loss that we have factored of INR 20 crore for this quarter and an amount of INR137 crore for the entire year.

B. Srinivasa Rao

See, it is an account just for use, which was outstanding as on 31st March '25. We have received during the year about \$15.5 million. On that the provision made in the previous years was reversed.

Saket Kapoor

Okay. Sir, these are gains that we have booked for the current year?

B. Srinivasa Rao

Yes.

Saket Kapoor

And sir, going ahead, will this be any recurrence of the same, or how much more will be reversed back going ahead?

B. Srinivasa Rao

We are left with \$1.3 million, which will be reversed during the next financial year.

Saket Kapoor

Sir, if you could give some understanding of how the core business expect in terms of the different verticals behaving, the silico manganese, the ferro silicon, and the expected realizations going ahead? As you mentioned about the cash flow from the subsidiaries and the buyback program, what should one anticipate going ahead, and how are the power realizations going to shape up?

I think in your presentation you did allude to the fact of lower reduced realizations for both ferro alloys, as well as the Indian energy increased fixed cost, which was mentioned in the financial highlights. So if you could brief me on the setup of the business environment for all the verticals, and going ahead what should we anticipate?

Nikhil Devineni

That's a very broad question but let me try to answer it the best I can. I think, first, with respect to the ferro alloys vertical

cal, yes, there were many pricing pressures on account of two major possibilities. One was, the fact that India now produces about 4 million tons of manganese alloys, out of which approximately 1 million is slated for export, and the main export destinations are Europe and Middle East.

So, over the course of the last year, the European Union has imposed safeguard duties against Indian imports into the country. That, coupled with the geopolitical situation going on in the Middle East, has definitely put a strain on Indian exports, and as a result of that, we are seeing a lot of that material being dumped in the domestic market, which is essentially causing the prices to come down. However, I think when it comes to NAVA, we are fairly well-insulated from these volatilities because of, one, we have a long-term arrangement, a yearly contract with the two major Japanese mills, which essentially accounts for 40% of our production.

In addition to that, we also have quarterly fixed-base contracts with some of the big steel producers, private steel producers in India, which again accounts for another 40-50%. So, our level of volatility or exposure to the spot market is only to the extent of 10-15% per se. So going forward, I do see that there should be a slight improvement even in terms of the metals vertical.

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Now, I think coming to the power side, this year in terms of our entire cost structure, it would look very different from the preceding year, because of the drop in coal prices by Singareni Collieries, whom we are essentially drawing 100% of our coal from, in the Telangana operations. So, this allows us to essentially have a better cost structure and be able to participate in a lot of these bilateral tenders even during the non-peak season, which was not the case earlier. So as a result of this, this year onwards we're going to be looking at a fairly better overall PLF.

Saket Kapoor

Sir, only for the coal prices, I could not get the correlations you were trying to explain for the Singareni coal mine. If you could repeat what you said.

Ashwin Devineni

Our off-take for coal, which is the sole raw material for power generation in Telangana is coming from Singareni Collieries. Over the course of the last year, sometime in September of 2025, they have decreased their coal prices to be more in line with the international market, and this essentially has had a big impact on our operations, where now we are able to operate year-round with a higher PLF and gain more contracts.

Saket Kapoor

Right. I'll join the queue, sir. Thank you.

Moderator

Thank you, sir. Participants are kindly requested to ask two questions in the initial round and may join the queue for more questions. The next question comes from Viraj Mahadevia from MoneyGrow. Please go ahead.

Viraj Mahadevia

Hi, Ashwin. One is, the financial assets and investments of INR 1,347 crores, is that cash-like in nature, i.e., is it in debt products, NCDs, etc., like it was the prior year? And what is the planned use for this?

B. Srinivasa Rao

The major investments are in liquid mutual funds and then the debt products.

Viraj Mahadevia

Right. What is the planned use for this money going forward?

Ashwin Devineni

Yeah. So, I think as you're aware now, we have the agro-projects in the pipeline, with both the avocado and the sugar, which are to be funded essentially from the corpus in the Indian accounts.

Viraj Mahadevia

Understood. So, what is the equity contribution still pending for all these new projects coming on stream? And how much incremental debt is likely to be taken to complete all these projects? So, delta on equity, and delta on debt.

Ashwin Devineni

So right now, if you look at the total commitment, I'm talking about for the group as such, total commitment is about \$130 million

on in terms of equity. And in terms of the Agri-side debt, we're looking at about \$100 million. And for the

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Maamba we've already taken on the debt, for the Phase 2. And I think for the solar, \$30 million is spending. So that

is pending. These are for existing projects that we are currently implementing. But as you kind of know, we're always looking at other projects that could probably shape up during the course of the year. So those are not considered.

Viraj Mahadevia

Understood. So , just to clarify, \$100 million from Agri on debt remaining to be taken and \$30 million on solar debt remaining to be taken. So, \$130 million incremental debt , and \$130 million equity contribution into Agri still remaining.

Ashwin Devineni

Not into Agri. So , in Agri, it is about 100 , and then we have some equity contribution that needs to go into Ma amba. Sorry, t he M aamba is about \$17.5 million, not solar. Solar, we made our entire equity contribution. I'm talking about for Phase 2, we have a large tranche that needs to go in, and the remainder of that is for the agri, which includes sugar and avocado.

Viraj Mahadevia

Understood. Very clearly. I'll come back for more questions. Thank you.

Moderator

Thank you, sir. The next question comes from Abhinav Nalawade from ICICI Securities. Please go ahead.

Abhinav Nalawade

Thanks for the opportunity. My first question is , what is the cost of 100 megawatt s solar plant , and what is the tariff?

Ashwin Devineni

Yeah. I'm not going to go into the cost of the solar plant now , but in terms of the tariff , it's \$0.078 .

Abhinav Nalawade

Ok. Second question is on NB EIL. What is the revenue of it and PAT for FY26 ?

Ashwin Devineni

I'm sorry, revenue and profit after tax.

B. Srinivasa Rao

It's INR 442 crore, and then PBT is INR 80 crore. PAT is INR 59 crore.

Abhinav Nalawade

Understood. Thank you, sir.

Moderator

Thank you, sir. The next question comes from J halak Jain from C hhatigarh Investment Limited. Please go ahead.

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Jhalak Jain

Yeah. Sir, my question is, how is the situation in Zambia currently? And due to West Asia crisis, do we have any power receptions in Zambia? And are there any problems in receiving the payment from DISCOM?

Ashwin Devineni

So, the situation in Zambia is fine. The only change there is Zambia is going into elections. Elections are due to be held in the month of August. There the power situation is fine. And with currently what is happening, there are no major disruptions. I think the only disruptions is what the rest of the world is facing, which is increase in fuel price. And with regards to receivables, we've been getting it on time.

Jhalak Jain

Okay. And my second question is , due to the West Asia crisis, are we anticipating any increase in supply of coal in Zambia from mines ?

Ashwin Devineni

We have our own captive mine there, right ? So, it's a mine -to-mouth power plant. So, we are not dependent on import of coal.

Jhalak Jain

So sir, are we thinking it to sell even more , as their demand is rising?

Ashwin Devineni

No, we have a large customer base. Our sales for our coal business is fairly healthy , and definitely, yes, if opportunities arise and there is a good market, we will definitely explore it.

Jhalak Jain

Okay , thank you.

Moderator

Thank you, ma'am. Dear participants, if you have any questions, please press * and 1 on your telephone keypad. The next question comes from S aket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor

Yeah, thank you for the opportunity again, sir. When we look at our EBITDA margin, excluding the one -off also before that, the EBITDA margin for the quarter has declined on a consolidated basis from Q oQ basis. So , what should be the number that we shou

ld factor in for the current financial year? And in terms of our subsidiary, MEL Zambia, there also we have seen that the PLF on Q oQ basis was down. So, what should we be penciling in, in terms of how the trajectory for the EBITDA margin is likely going to trend going ahead ?

Ashwin Devineni

Just give us a second. I just wanted to get the numbers before I answer ed your question. So , in terms of the EBITDA delta, it's because in the last quarter there was other income , hence EBITDA was slightly higher.

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Saket Kapoor

Sir, I'm talking about the Q oQ part only for Q3 December quarter versus the March quarter .

B Srinivasa Rao

Yes, sir. There are decreases in the other income by INR 18 crore in Q 4. And the other reasons, in Q4 Ma amba Energy power plant had a planned shutdown , because of which there is an increase in the manufacturing expenses and replacement maintenance. These are the major reasons for decreasing EBITDA.

Saket Kapoor

Okay. Then we as investors, what should we be penciling in, in terms of a steady -state EBITDA margin trajectory for

the foreseeable future? And sir, second question was also with respect to the volume in terms of silicon and ferro alloys, what kind of incremental volume can we expect in terms of production and sales for the next year?

Ashwin Devineni

So, with regards to what you can expect, I don't think you should be looking at QoQ . There are a lot of variables and so on. So, I think you should look at basically annual performance and base your forecast on that and then proceed.

Saket Kapoor

For the year as a whole , what should we be penciling in , in terms of the EBITDA margin trajectory, for the current year i.e. for 2027 ?

Ashwin Devineni

It is very dynamic, right? Because on a YoY basis you have various things coming up. We have Phase 2 coming up. We have tax holidays that we are losing for Phase 1. So, it's very hard for us today to give you an exact number until we get everything up and running and everything is as usual.

Saket Kapoor

Okay. You must have worked out on a trajectory of say 35 -40% or 40 -45%, wherein we should be in that , sailing through that period with the type of adjustments which you have just talked about?

Ashwin Devineni

Yeah. So, you can assume 35 -40%.

Saket Kapoor

Okay. And now for the volume increase in terms of ferro and silico manganese part of the storage, what are the utilization levels , and any incremental off-take that we may anticipate for the current year?

B. Srinivasa Rao

With regard to ferro alloy production, the total production will be on the same lines like last year , because the Odisha plant was under shutdown for the first quarter of the year. So , the sales quantity will remain like in the previous year.

Nikhil Devineni

I think in total we're looking at about 130 ,000 tons for the next year.

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Saket Kapoor

Okay. This time we did 134 for Silico, and ferro was 8,000 ?

Nikhil Devineni

We've actually discontinued ferro silicon , because the market for silico manganese is more favorable at the moment. So, I'm just talking about silico manganese being at 130,000.

Saket Kapoor

Okay.

Moderator

The next question comes from Sai Shreyas from Scientific Investing. Please go ahead.

Sai Shreyas

Sir, thank you for the opportunity. My first question is, can you please help us understand why is there a sudden jump in the employee costs YoY ?

B. Srinivasa Rao

This is partly on account of ESOP s we are giving to employees , to some extent on account of th e labor code and the normal wage hike being given to the employees.

Sai Shreyas

Okay. So , will this be the sustainable cost or is there any expected increase?

B. Srinivasa Rao

It will be a sustainable subject to increment we usually give to the emp loyees .

Sai Shreyas

Okay. My next question, can you please help us understand what is the revenue potential from the agro sector i.e. avocado and sugar?

B. Srinivasa Rao

With regard to avocado, when it is in peak, the expected revenue is \$22 million .

Sai Shreyas

Is it yearly \$22 million , and from when will it start contributing?

B. Srinivasa Rao

Already the commercial operations have begun . We start harvesting some fruit, but it will be incremental. The revenue will not be static or equal o ver the years. By the time it reaches the peak, the total revenue would be \$22 million .

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Sai Shreyas

Okay. The peak revenue is \$22 million , and from when will this commercialization start? Is it from FY27 or FY28, sir?

Nikhil Devineni

So, I think the peak we can look at post 2032. But until then, you're going to definitely have incremental revenues flowing in every year.

Sai Shreyas

Okay. Thank you, sir.

Ashwin Devineni

Just to add, we've already started selling fruit. It's just commenced. It starts in a small way and then slowly picks up as the trees grow.

Moderator

Thank you, sir. The next question comes from Viraj Mahadevia from MoneyGrow. Please go ahead.

Viraj Mahadevia

Okay. The way I look at the financials, there seems to be a bit of a structural cross -currency issue, right? Historically, you had the benefit of dollar billing in Zambia and dollar weakening against the rupee and the local currency also weakening against the rupee , so higher revenues and lower costs. That seems to have swapped more recently, which is why you've seen massive cost escalations and a jump particularly in employees. Is that the right understanding?

And secondly, if that is the case, then it's probably better to build -in some natural hedge on currency where local employees are paid there in dollars since your revenue s are in dollars.

Ashwin Devineni

Yeah. So, it's a good thing, the Zambian Kwacha has appreciate d, because that means that the country is doing well , and I also think that this also ensures that we get paid on time. The GDP is growing very healthily.

Viraj Mahadevia

Yeah, in your cross -currency translation to INR, you take a hit.

Ashwin Devineni

Yes. Exactly. And even in Zambia we have to report in Kwacha. So once the dollar balance sheet gets converted to Kwacha, you have these issues that sometimes are notional in nature. In terms of employees, the Zambian government passed a law or a statutory instrument late last year, where it said that all local employees, local contractors and transactions have to be transacted i n Zambian Kwacha. So , you can't have an employee there getting paid in dollars. I mean this used to benefit us before when the Kwacha was appreciating. But now it is, it's kind of become stable. I think it's appreciated extensively in a very short period of time. We may see some correction later, but I look at this as a good thing.

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Viraj Mahadevia

Yeah, b ut I guess then the next question is, can you change your PPA s from dollars to Kwacha at the current rate? Because it's like -for-like hedge, right? Right now you're on the wrong side of the currency equation in terms of INR financials. So , if the rupee continues to weaken and the Kwacha continues to strengthen, then you'll continue taking a hit on your consol P &L.

Ashwin Devineni

Yeah. See, the Kwacha appreciation from cash flow point of view , are not affected at all. This only affects the tax position. And trust me you want to keep the PPA as USD. In fact, when the law was passed and the statutory instrument was passed to move all local transactions, they actually ring -fenced power assets and so on, where they can continue at USD. So, all our expenses, O & M expenses, everything are USD -based

. So apart from just tax purposes, because we have to convert our balance sheet from USD to Kwacha , there really is no effect of this appreciation.

Viraj Mahadevia

But why not on employee costs? Because the Kwacha cost of your employees translated to INR is getting more and more expensive , because the Kwacha is strengthening and INR is weakening.

Ashwin Devineni

Yes. But that is hedged with my coal sales , right? My coal sales today is in Kwacha now. So , while the cost of the employees is kind of going up to a slight extent --

Viraj Mahadevia

So, is the coal sale value. Is that covered?

Ashwin Devineni

Yes, t he revenue generated from coal sales. So , the delta is hardly anything. And in terms of my core employees there,

it's not much.

Viraj Mahadevia

Understood. Very helpful. Sorry, my next question is the 10% that's remaining of the receivables,,,,, by the way, congratulations on collecting 90%. But the 10% that's remaining, when is that likely to be due from ZES CO over the course of FY27?

Ashwin Devineni

Yes, definitely. I'd say in the next six months we should get it.

Viraj Mahadevia

Okay.

Moderator

The next question comes from Jhalak Jain from Chhatisgarh Investment Limited. Please go ahead.

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Jhalak Jain

Thank you for taking my question. My question is, can you please shed some light on the mining activities in Africa, like MNO and lithium?

Nikhil Devineni

I think with respect to manganese, we are focused on Ivory Coast. And the second mine which has been allocated to us, which is 360 square kilometers, in fact we have just completed the exploration works recently in a 2 square kilometer area. And we have found promising results where we are able to take this forward towards an exploitation permit, that's what we are currently working on. And I think, hopefully in the next one year we should be able to achieve that.

Ashwin Devineni

Yeah, and on the lithium front, as we had informed before, exploration is underway. Although the initial exploration results in certain parts were fairly positive, we did come across a certain obstacle, where there was another company, once after seeing our activity, had claimed some of that area for a different license, a tin license. So that is currently under review by the ministry. And what we have indicated is, until we get clarity and clearance, we won't proceed further. So, it's currently underway, but it's under review by the ministry, to overcome this hurdle.

Jhalak Jain

Okay, thank you.

Moderator

Thank you, ma'am. The next question comes from Keta Joshi from Nibhay Assets Management. Please go ahead.

Keta Joshi

Thank you for the opportunity. My question is, what is expected incremental revenue and EBITDA from Mamba solar power project - 100-megawatt?

B Srinivasa Rao

The top line expected is \$20 million to \$22 million, and then bottom line expected is \$6 million to \$7 million.

Keta Joshi

Okay. Thank you so much.

Moderator

Thank you, ma'am. The next question comes from Saket Kapoor from Kapoor and Co. Please go ahead.

Saket Kapoor

Yes, sir. Only an understanding of how the power realization per unit would shape up. You have alluded to the fact of softening of the Indian energy business. So, what should be the outlook on the tariff front? And second question is, again pertaining to the volume for the ferro silicon part, wherein you mentioned 130. So we will be flattish for this year, since last year was 134, the sales number for silico manganese?

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Nikhil Devineni

In terms of the production volumes, we are expecting a slight uptick in it. But with respect to pricing, again, that's an extremely fluid situation. Month-on-month it does vary, but I don't see any reason for it to fall comp

ared to the
preceding year as of now.

Saket Kapoor

And for the power part, what should we anticipate in terms of the realization power?

Ashwin Devineni

I think on the power side, although India has reached the expected peak demand is supposed to touch 277 gigawatts, you are also seeing a huge capacity addition in the form of renewable energy, which is serving as a deterrent for prices going up. So if you just look at the exchange, YoY there's been a 13% drop. So, our strategy has been more to rely upon the bilateral contracts where the net realizations are faring better than what it is on the spot. So, given the situation, I think we can expect somewhere close to INR 5.50.

Saket Kapoor

Okay. Thank you.

Moderator

Thank you, sir. The next question comes from Vedant Sarda from Nirmal Bang Securities. Please go ahead.

Vedant Sarda

Congratulations to the management for a good financial year. My question is with respect to volume. Like you said, the production would be a bit high. But over the long-term horizon, three to five years of time frame, how can we see the volume growth in our ferroalloys business?

Nikhil Devineni

See, at full capacity utilization, we are able to produce about 160,000 metric tons with the current setup in place. However, we are always evaluating which vertical. Is it better to produce alloys versus export that power to the grid.

Vedant Sarda

Okay. And like you said, on pricing you can't comment, but can you give some more color on what's the factors which can drive the prices upwards or downwards on ferro alloys?

Nikhil Devineni

Yes, It's directly linked to steel , because this is the feedstock that goes into steel production. So, if you see an uptick in steel prices, ferro alloy prices also invariably go up. Although there is healthy increase in the steel production in India, there is a lot of surplus alloy supply in India too , because of the lack of export markets, which I touched upon earlier. As a result of that, we're seeing a lot of pricing pressure right now. Hopefully if the situation in Europe and the Middle East improves soon, we can probably look at a rebound.

Vedant Sarda

Thank you so much .

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Moderator

The next question comes from Viraj Mahadevia from MoneyGro w. Please go ahead.

Viraj Mahadevia

Hi, Ashwin. So , going back to our earlier point, the financial investments would be enough to cover your equity contributions required for the projects. You'll incrementally have roughly about INR 1,200 crores of debt that you take on between Agri and Solar. You'll obviously generate free cash flows next year, but any plans on the land sale, the land bank in India? Because it's obviously a privilege to run a thermal business with zero debt.

Ashwin Devineni

Yes. I mean, in terms of the land, we're exploring different options. Now we have two . We have the Nacharam land, which is in Telangana, then we have the Dharmavaram land. It could be used for industrial use and so on. But on the Nacharam land, the value has been appreciating. So, if you were on the previous investor calls years ago, there was a lot of pressure to sell it, sell it, and thank God we held on to it , because now the value is a lot higher. So now , I think , we are exploring options of possible JVs and so on in terms of developing that land.

Viraj Mahadevia

So, it would be like a JVA kind of as opposed to outright sale?

Ashwin Devineni

I mean both options are available, but essentially, we're trying to look at options, and we're probably going to engage a third party to give us options in terms of sales, JV and whatever makes sense, we will take it forward.

Viraj Mahadevia

Understood. And would I be able to ask what would be the rough value of that land today approximately?

Ashwin Devineni

It's hard for me to say.

Viraj Mahadevia

Even a broad range, are we talking INR 500 crores, INR 800 crores? Is it more ? Just a broad range?

Ashwin Devineni

I wouldn't want to speculate on this call.

Viraj Mahadevia

Understood. I missed you on your last point on Africa mining , the line was unclear. I think you mentioned one of them

had encouraging results and lithium was on hold because the lease is contested. Is that right?

Ashwin Devineni

Yes.

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Viraj Mahadevia

So, which one has had positive results and what's the way forward?

Ashwin Devineni

The manganese mine that we were exploring in certain areas at Ivory Coast. So, one seems promising, which we need to take forward and the various steps involved there. And in terms of the lithium, we've started the exploration. The initial part was done. There were certain areas that were slightly promising. But that area or some of these areas have been contested by another company that has a different license. It's actually a license.

Viraj Mahadevia

So, this is the Kalomo district, right? The lithium, amethyst, tantalum, tin?

Ashwin Devineni

Yes, Mapatitza, that area.

Viraj Mahadevia

Right.

Ashwin Devineni

In Zambia. It's actually close to where our thermal plant is.

Viraj Mahadevia

Understood. Okay, all the best. Nothing more for me. Thank you.

Moderator

Thank you, sir. There are no further questions. Now, I hand over the floor to management for closing comments.

Ashwin Devineni

Thank you once again for joining us today and for your continued trust and support in NAVA. We remain committed to build a strong, sustainable and future-ready business through disciplined execution, prudent capital allocation, and long-term value creation. Thank you, and we look forward to interacting with you again next quarter.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Doo r Sabha's conference call service. You may disconnect your lines now. Thank you and have a pleasant evening.

Note: 1. This document has been edited to improve readability and
2. Blanks if any, in this transcript represent inaudible or incomprehensible words.